



AN INTRODUCTION TO
BUSINESS

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by

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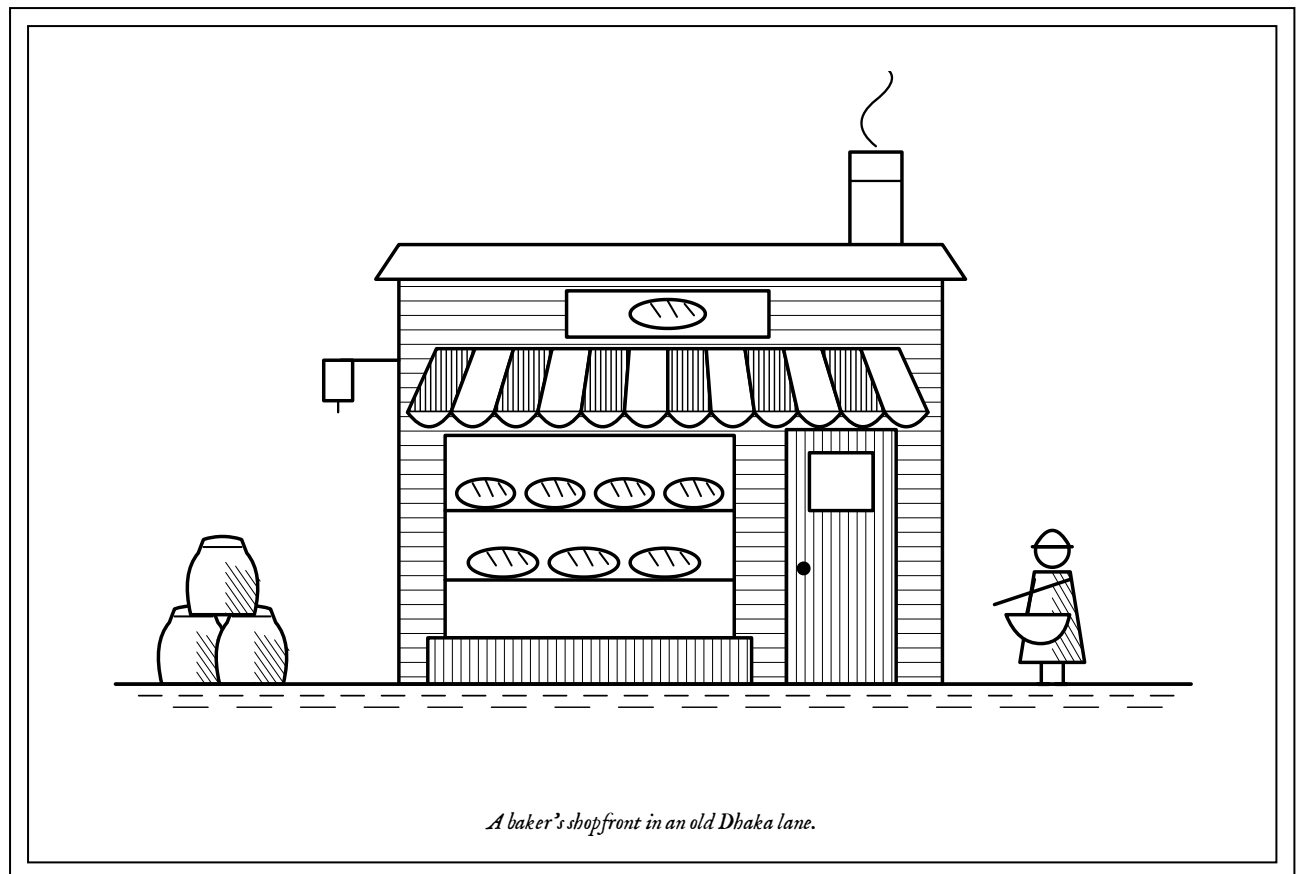
TO THE READER

This book is written for a reader who is meeting business for the first time. It begins with everyday scenes, such as a baker in a Dhaka lane, a small shop and a market, and builds one idea at a time towards the larger forms of business: partnerships, companies, cooperatives, trade between nations and firms that combine.

Beside the main text runs a column of short notes. The italic lines give the gist of the paragraph beside them, so that you can see the argument at a glance or find your place again. A note that begins with a word in bold explains a key term in a single line, and a short note in small capitals asks you to go slowly.

A term is set in bold only where it is first used and explained. Small raised numbers refer to footnotes at the foot of the page. Tables, figures and boxed definitions appear only where they help. At the back of the book the glossary gathers every key term in alphabetical order, with the chapter where it first appears.

Most chapters end with a worked case, a summary, questions to think through, a note on where people commonly go wrong, a short piece of history and review questions. Try the questions without looking back, and then check yourself against the chapter.



CHAPTER I

Understanding Business

When does baking bread become a business?



This chapter gives you the first words of the subject and a picture of the whole. It explains what business is, how it divides into industry, trade and the services that support them, and what a new business must have in order to succeed.

Two women bake the same bread, but only one is in business.

The puzzle: why is one woman's baking a business and the other's not?

What this chapter does, and what it assumes about you.

A bakery idea, which the book will follow chapter by chapter.

This section teaches fourteen words on which the whole book rests.

Some things people cannot do without; others they merely like.

Need. Something a person must have to live and work, such as food.

Want. Something a person would like to have but can live without.

The line between need and want moves with the person and the place.

Early on a Friday morning, in a lane of an old Dhaka neighbourhood, two women are baking bread. They use the same flour and the same kind of oven, and both bake well. The first woman bakes twelve loaves for her own family. The second bakes twelve loaves and carries them to a small shop, where neighbours buy them. By the evening the first woman has a fed family. The second has a fed family and a handful of money.

Only the second woman is in business, and the reason is not the bread. The loaves are the same, and so are the flour, the oven and the skill. Something else has changed. The bread has left the home, it has been given in return for money, and the exchange was meant to leave her better off. But is that enough? Suppose she sold bread only once, to repay a favour. Suppose she gave all of it away. Suppose a clinic charged fees for its beds. Which of these is business, and which is something else?

This chapter answers those questions step by step. It assumes no earlier knowledge of business. Every business word is explained when it first appears, in bold type, and repeated in the narrow column beside the text. The chapter begins with a small set of basic words. It then explains what business is, how its work divides into branches, and what a new business must have to succeed.

Case file, illustrative. On 5 January 2026 a person who enjoys baking decides to consider opening a bakery in a Dhaka neighbourhood. The bakery would make bread, cakes and biscuits. No shop has been chosen, no money has been gathered and no staff have been found. It is only an idea. The book follows this bakery from its first day through the chapters that follow. Every figure in the case is invented to teach, and none describes a real firm.

THE FIRST WORDS

Every subject has its own small stock of words, and business is no exception. Some of them you already use every day, but in business they carry a more exact meaning. This section teaches fourteen of them, one group at a time. It starts from ordinary life and arrives at the bakery. Go slowly. Nothing later in the chapter will make sense without these words.

NEEDS AND WANTS

Think of one ordinary day. A person must eat, drink water and find shelter from the rain. The same person would also enjoy a sweet, a new shirt or a new phone. The first group of things is different in kind from the second. A **need** means something a person must have to live and work, such as food, water and clothing. A **want** means something a person would like to have but can live without, such as a sweet.

The line between the two is not fixed. For a student in a city, a mobile phone may be close to a need, because lessons and messages arrive through it. For a farmer in a distant village, the same phone may remain a want. Business does not judge which is which. It supplies both, and each person decides how much to pay for

GOODS AND SERVICES

Walk through a busy market and you will see two kinds of offer. A fish seller hands a fish to a buyer. A barber cuts a buyer's hair. The fish is a physical thing, and the haircut is work done for someone. Business has a name for each kind. **Goods** means physical things that people grow or make and sell, such as rice, bread and cloth. **Services** means work done for someone else that cannot be held in the hand, such as a haircut, a bus journey or a medical check.

Many offers mix the two. A restaurant sells food, which is goods, and also the work of cooking and serving it, which is a service. Whoever buys either kind is a **customer**. A customer may be a child buying a biscuit, a family buying a month's rice or a large firm buying a hundred bags of flour. Business exists because customers exist, and every later idea in this book returns to that fact.

EXCHANGE, MONEY AND MARKETS

Imagine a time before money. A farmer has spare rice and wants cloth. She must find a weaver who wants rice at that moment and who will accept the amount she offers. If the weaver wants fish instead, the farmer must search again. Every trade needs two people whose wants match exactly. This is slow, and it often fails.

Money solves the problem. The farmer sells her rice to any buyer for money, and then uses that money to buy cloth from any weaver. The two wants no longer have to match. Each act of giving one thing and receiving another in return is an **exchange**. **Money** means anything that people accept as payment for goods and services. Today it is mainly notes, coins and balances held in bank accounts, and in Bangladesh the money is the taka.

Buyers and sellers need some way to meet. A **market** means any place or arrangement where buyers and sellers meet to exchange goods and services. A fish market beside a river is a market in the plain sense. So is a website where thousands of people shop without ever seeing the sellers. A market does not need walls. It needs buyers, sellers and a way to agree on a **price**, which means the amount of money asked for one unit of goods or services. A loaf of bread at Tk 40 has a price of Tk 40.

Pause and check. A customer pays Tk 150 to a barber for a haircut. Name the service, the money and the exchange in this story. (Answers are at the back of the book.)

SALES, COST AND PROFIT

Begin with a tea stall at a bus stop. Each morning the tea seller spends Tk 700 on milk, tea leaves, sugar and gas.¹ During the day she sells 100 cups of tea at Tk 10 a cup. The money she receives from selling is her **sales**: 100 cups at Tk 10 is Tk 1,000.² The money

¹ Tk is the written sign for taka, the money of Bangladesh. This book uses it before every amount.

² English has several words for money received from selling, among them *revenue* and *turnover*. This book uses *sales* for all of them.

What people need or want arrives either as a thing or as work done.

Goods. Word in use. In daily life, a person's belongings. In business, physical things grown or made to be sold.

Services. Work done for someone else that cannot be held, such as a haircut.

Many offers mix goods and services; the buyer is the customer.

Customer. A person or organisation that buys goods or services.

GO SLOWLY HERE.

Before money, trade needed two people whose wants matched exactly.

Money lets each person sell to one buyer and buy from another.

Exchange. Giving one thing and receiving another in return.

Money. Anything people accept as payment for goods and services.

A market is a meeting of buyers and sellers, in a place or online.

Market. Word in use. In daily life, a place to shop. In business, any meeting of buyers and sellers.

Price. The amount of money asked for one unit of goods or services.

Test yourself on the words so far.

GO SLOWLY HERE.

A tea seller shows the idea of profit with small numbers.

Sales. The money a business receives from selling goods

Profit is what remains of sales after every cost is paid.

Profit. The money left from sales after all costs are paid.

Costs stay fixed when sales fall, so profit can shrink or turn into loss.

Loss. The amount by which costs are greater than sales.

Two slips to avoid when you calculate profit.

A test sentence for the profit idea.

Every business belongs to someone, who gains its profit and bears its loss.

Owner. A person with the right to a business's profit, who also bears its loss.

A short recap of the section.

A fee-charging clinic and an old phone sold once test the idea of business.

The meaning: providing goods or services to customers in order to earn profit.

The tea seller keeps what is left. Her **profit** means the money left from sales after all costs are paid. In words, profit equals sales minus costs. We follow three steps, because every later chapter uses them. Step one: find the sales, which is $100 \times \text{Tk } 10 = \text{Tk } 1,000$. Step two: find all the costs, which is Tk 700. Step three: subtract, so $\text{Tk } 1,000 - \text{Tk } 700 = \text{Tk } 300$. The profit is Tk 300. As a check, add the profit back to the costs: $\text{Tk } 300 + \text{Tk } 700 = \text{Tk } 1,000$, which equals the sales.

Now change the numbers. On a quiet day only 80 cups are sold. Sales are $80 \times \text{Tk } 10 = \text{Tk } 800$. The costs are still Tk 700, because the milk was bought before the customers came. Profit is $\text{Tk } 800 - \text{Tk } 700 = \text{Tk } 100$. On a day when few people travel, only 60 cups are sold. Sales are Tk 600, and costs are still Tk 700. Costs are now greater than sales by Tk 100. This result is a **loss**, which means the amount by which costs are greater than sales.

Two slips are common. The first is to call sales "profit". Sales are the money received; profit is only what remains after the costs. The second is to forget a cost, such as the daily payment for the pavement space where the stall stands. A forgotten cost makes the profit look larger than it really is, and the owner then believes she is richer than she is.

You should now be able to say: "Profit is what is left of sales after all costs are paid, and a loss is the amount by which costs are greater than sales."

OWNERS

Every business belongs to someone. The person who has the right to the profit of a business, and who also bears its loss when there is one, is its **owner**. The tea seller owns her stall, so the Tk 300 profit on a good day is hers, and the Tk 100 loss on a poor day is hers as well. Some businesses have one owner, some have several, and some have thousands. The ways of owning a business are called forms of ownership, and Chapters V to VIII teach them. For now, one owner is enough to hold in mind.

Before moving on. You now hold fourteen words. People have needs and wants; goods and services meet them; exchange through money, in markets, passes them from seller to customer. The seller's sales minus costs give profit, or loss. The owner takes either result.



WHAT BUSINESS IS

Ask first whether a clinic that charges fees is a business. Ask also whether a woman who sells her old phone to a neighbour is in business. Many people answer that it depends. The word requires an exact meaning, and the meaning rests on a few features that must all be present. We state the meaning first and then examine each feature in turn.

Business means the activity of providing goods or services to customers in order to earn a profit. The second woman in the

THE FEATURES OF BUSINESS

It is an exchange for money. Goods or services pass to a customer, and money passes back. Where there is no exchange there is no business, however skilful the work. Cooking at home is not business, and neither is a gift. The exchange can be simple, such as one cup of tea for Tk 10, or large, such as a factory selling a thousand machines.

It aims at profit. The owner hopes that sales will be greater than costs. This hope is what separates a business from a body that sells things only to cover its costs or to help others. The aim does not guarantee the result. Many businesses make a loss at some time, and some make a loss for years. What matters is that they were started with the hope of profit.

It is regular. One sale does not make a business. A woman who sells her old phone once is not in business. A woman who buys phones every week and sells them again is. Regular dealing means that the activity repeats and is expected to continue. A business has a name, a place or a method, and customers who expect to return.

It carries risk. The tea seller's quiet day showed the problem. She bought her milk and sugar before she knew how many customers would come. **Risk** means the chance that things turn out worse than planned. Every business carries it, because costs are met first and sales come later. The person who starts a business, brings its parts together and accepts its risk is the **entrepreneur**. Risk can be reduced, for example by insurance, which is explained later in this chapter, but it can never be removed.

It serves customers. A business survives only if enough customers want what it offers, at a price they accept. A bakery that makes excellent bread nobody wants to buy will close. Looked at from the owner's seat, business is a search for profit. Looked at from the customer's seat, it is a source of goods and services. Both views are true, and each depends on the other.

It is lawful. An activity that the law forbids, such as selling banned drugs, may earn money, but it is a crime and not business as this book uses the word. A lawful business must also follow the rules about licences, taxes and safety, which later chapters introduce one by one.

These six features give a firm test. Take the old phone sold once: it has exchange, but it is not regular and it was not started to earn profit. It fails the test. Take a bakery: it passes every feature. There are also cases between the two, such as a hobby baker who sells at weekends, and for these the features show where the doubt lies. Chapter II shows that a business pursues other aims as well, alongside profit.

BUSINESS, PROFESSION AND EMPLOYMENT

A doctor, a teacher and a baker all earn money, but they earn it in different ways. A **profession** means work that requires long special training and follows rules set by a professional body, as medicine and law do. A professional charges a fee, which is a payment for a particular piece of work. **Employment** means work done for an

Feature one: business is an exchange of goods or services for money.

Feature two: the aim is profit.

Feature three: business is regular, not a single act.

Feature four: risk, and the person who accepts it, the entrepreneur.

Risk. The chance that things turn out worse than planned.

Entrepreneur. A person who starts a business, brings its parts together and accepts its risk.

Feature five: the business must serve customers who want what it offers.

Feature six: the activity must be lawful.

Business is not the same as selling for profit alone; other aims matter too.

Three ways of earning a living are easily confused.

Profession. Work that needs long special training and follows rules set by a professional body.

BUSINESS, PROFESSION AND EMPLOYMENT COMPARED

FEATURE	BUSINESS	PROFESSION	EMPLOYMENT
Where the money comes from	Profit from selling goods or services	Fees paid by clients	Wage or salary paid by an employer
Who bears the risk	The owner	The professional, who depends on clients	Mostly the employer
Training expected	Varies; skill in the trade helps	Long, formal training	Depends on the job
Example	A bakery owner	A doctor in private practice	A baker paid by a bakery

The three overlap; one person may be in all of them.

The three overlap. A doctor who owns a clinic and hires staff practises a profession and also runs a business. A baker may work for wages by day and sell cakes from home at night, and so be an employee and an owner in the same week. The table describes the usual case. It does not forbid a person from belonging to more than one column.

The clinic puzzle: the difference lies in the aim, not the activity.

Return to the clinic that charges fees. A clinic run to earn a profit for its owner is a business. A clinic run by a charity, which charges low fees and spends any money left over on its patients, serves real needs but does not aim at profit. It sells a service, yet by the features above it is not a business. The difference lies in the aim, not in the activity. The same medical work can sit on either side.

A short recap of the section.

Before moving on. Business provides goods or services to customers to earn profit. It is an exchange, it aims at profit, it is regular, it carries risk, it serves customers and it is lawful. It differs from a profession, which earns fees, and from employment, which earns a wage.



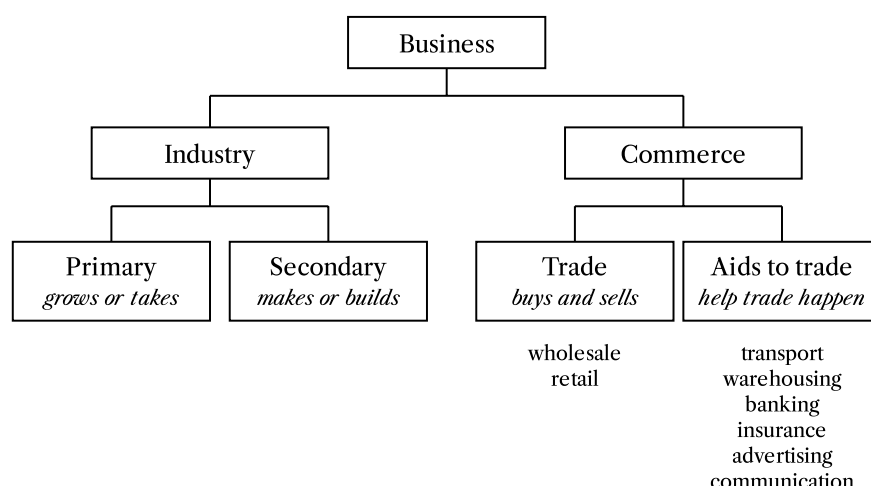
INDUSTRY, TRADE AND COMMERCE

A loaf of bread passes through many hands on its way to the table.

Follow one loaf of bread backwards. It lies on a shop counter. Before that, a baker made it. The baker used flour from a mill, and the mill ground wheat that a farmer grew. A van carried the flour, and a bank handled the payments. Each person did a different job, and each earned money, yet none did the same work. How can so many jobs be sorted so that we understand them? Business sorts them into branches.

Business has two great branches, industry and commerce.

A branch of business means one of the main kinds of activity into which business divides. There are two great branches. One is industry, which grows, takes or makes goods. The other is commerce, which helps goods reach customers. Both words are defined in full below. Figure 1 shows how each divides further. Look at it before reading on, and come back to it as each part is explained.

FIG. 1. *The branches of business and their parts***INDUSTRY**

In this book, **industry** means the branch of business that grows, takes or makes goods. Notice that the word has another daily use. People speak of the garment industry or the tea industry and mean a whole group of firms. Here the word names a kind of work, not a group of firms. The kind of work divides in two, according to whether the goods are taken from nature or made from materials already taken.

Primary industry means industry that grows or takes things from nature, such as farming, fishing, forestry and mining. **Secondary industry** means industry that turns materials into other goods or builds things, such as baking bread, weaving cloth, assembling bicycles and building houses. In the story of the loaf, the farmer's work is primary and the work of the mill and of the bakery is secondary. Some writers class mining or building differently, but this book keeps to the plain rule: taking from nature is primary, and making or building is secondary.

TRADE

Trade means buying goods and selling them again to earn a profit. The trader does not make the goods. A fish seller at a market buys fish from a fisherman and sells it to households. Trade fills the gap between the maker and the user. Makers prefer to sell in large amounts, while a household wants to buy a little at a time. The word *trade* also means a skilled occupation, such as carpentry, but here it has only the first meaning.

Trade often passes through two stages. A **wholesaler** means a trader who buys large amounts from makers and sells smaller amounts to shops. A **retailer** means a trader who sells small amounts of goods to final customers. A bag of flour may travel from a mill to a wholesaler, and from the wholesaler to a grocer, who sells it by the kilogram to a household. When the bakery sells its own bread across the counter, it acts as the retailer of its own goods.

Trade inside one country is called home trade. Trade between

Industry grows, takes or makes goods; it has two main kinds.

Industry. Word in use. In daily life, a whole group of firms, such as the garment industry. Here, the branch that grows, takes or makes goods.

Primary industry takes from nature; secondary industry makes or builds.

Primary industry. Industry that grows or takes things from nature, such as farming.

Secondary industry. Industry that turns materials into other goods or builds things.

Trade buys goods and sells them again, without making them.

Trade. Buying goods and selling them again to earn a profit.

Trade has two stages: wholesale and retail.

Wholesaler. A trader who buys large amounts from makers and sells smaller amounts to shops.

Retailer. A trader who sells small amounts of goods to final customers.

Trade can be inside a country

Commerce is trade together with its helping services.

Commerce. Trade together with all the services that help trade take place.

Aids to trade. Services that help buying and selling take place, such as transport and banking.

Transport removes the obstacle of distance.

Transport. Moving goods and people from one place to another.

Warehousing removes the obstacle of time.

Warehousing. Storing goods safely until they are wanted.

Banking removes the obstacle of payment.

Bank. An organisation that keeps money safe, lends money and carries payments.

Insurance removes part of the obstacle of risk.

Insurance. A contract in which a small payment buys protection against a named loss.

Advertising removes the obstacle of ignorance.

Advertising. Telling people about goods and services so that they will want to buy.

Communication removes the obstacle of silence between buyer and seller.

Communication. Passing messages between people, by post, telephone or internet.

The table shows the three kinds of work in the bakery.

COMMERCE AND THE AIDS TO TRADE

Commerce means trade together with all the services that help trade take place. Goods seldom move from maker to customer by themselves. They must be carried, stored, paid for, protected and made known. The helping services are called **aids to trade**, which means services that help buying and selling take place.³ There are six main aids. Each one removes a particular obstacle that would otherwise stop trade, and we take them one by one.

Transport means moving goods and people from one place to another. It removes the obstacle of distance. Wheat grown in one district reaches a mill in another, and the flour reaches a bakery in the city. Trucks, trains, boats and vans are all transport. Transport also brings customers to the shop.

Warehousing means storing goods safely until they are wanted. It removes the obstacle of time. A farmer harvests wheat in one season, yet people eat bread in every season. A warehouse protects stock from rain, insects and theft until a buyer is ready.

A **bank** means an organisation that keeps money safe, lends money and carries payments from one person to another. Banking removes the obstacle of payment. A customer in one city can pay a seller in another without carrying notes. A bank can also lend money to a business that must buy goods before it has sold any.

Insurance means a contract in which a small payment buys protection against a named loss. It removes part of the obstacle of risk. A baker pays a small amount each year. If fire then destroys the shop, the company that sold the contract pays for the damage, up to the limit agreed. Insurance does not stop the fire; it softens the blow.

Advertising means telling people about goods and services so that they will want to buy them. It removes the obstacle of ignorance. A new bakery may be excellent, but customers will not come until they know that it exists. Signboards, leaflets, radio and online posts all advertise.

Communication means passing messages between people, whether by post, telephone or internet. It removes the obstacle of silence between buyer and seller. An order, a price and a complaint all travel as messages. A trade that cannot send messages cannot agree on a price.

The table below gathers the branches and gives an example from the bakery for each. Read each row from left to right: the branch, its job, and the bakery's example.

THE BRANCHES OF BUSINESS AT A GLANCE

BRANCH	WHAT IT DOES	EXAMPLE IN THE BAKERY
Industry (secondary)	Makes goods from materials	Mixing dough and baking bread
Trade	Buys and sells goods	Selling loaves over the counter
Aids to trade	Help trade take	A delivery van, a bank account,

³ Some books place these services in a group of their own. This book keeps them with trade, because their purpose is to help buying and selling happen.

E-COMMERCE

Imagine a customer who at nine in the evening opens an app on her phone and orders a birthday cake for the next morning. She chooses the size, pays through her phone and receives a message to confirm the order. In the morning a rider delivers the cake. This is **e-commerce**, which means buying and selling goods and services over the internet. It is not a third branch beside trade. It is trade carried out in a new way, and it leans on the aids to trade: communication carries the order, banking carries the payment and transport carries the cake.

E-commerce has clear gains. The seller reaches customers far beyond the neighbourhood. The shop is open at any hour, because the app does not sleep. A seller may need a smaller shop or none at all, which lowers cost. A customer can compare prices from home. For a small bakery, these gains can mean many more customers than the shop door could ever bring.

It also has limits. A customer cannot touch, smell or taste the goods before paying. Payment or delivery may go wrong, and then the seller must put it right. The method works only where people have internet access and trust the seller. A bakery whose cakes arrive late or crushed will lose its online customers faster than it won them.

ONE FIRM, SEVERAL BRANCHES

A single firm often works in several branches at once. The bakery makes bread, which is industry. It sells the bread, which is trade, and it takes orders through an app, which is a way of trading. It uses a van, a bank and an insurer, which are aids. It would be wrong to ask whether the bakery is industry or trade. The better question is about each activity. We ask three questions in turn. Does the work change materials into new goods? Does it sell goods, or buy goods to sell again? Does it help buying and selling happen? The first yes gives the branch.

Before moving on. Business divides into industry and commerce. Industry grows, takes or makes goods. Commerce is trade plus the aids to trade: transport, warehousing, banking, insurance, advertising and communication. E-commerce is trade over the internet. Classify each activity, not the whole firm.



FUNCTIONS, SUCCESS AND THE BUSINESSPERSON

Picture the bakery on an ordinary Tuesday. The bread must be made. Flour must be bought, and loaves must be sold. Someone must find money to pay the suppliers. Staff must be guided, the day's sales written down, and the risks watched. Different people may do these jobs, or one person may do them all, but they must be done.

WHAT A BUSINESS MUST DO

E-commerce is trade over the internet, not a new branch.

E-commerce. Buying and selling goods and services over the internet.

E-commerce widens the market and lengthens the hours of trade.

E-commerce has limits that every seller must plan for.

Classify the activity, not the firm.

A short recap of the section.

Imagine the bakery on an ordinary Tuesday and list its jobs.

Records and risk complete the six functions.

Ten bakeries stand in one area; why do some close within a year?

First group: real demand and enough money.

Second group: a suitable place and capable people.

Third group: knowing the rules and keeping records.

Fourth group: the ability to adapt.

A businessperson owns or runs a business; some qualities help.

Businessperson. A person who owns or runs a business.

Vision, judgement and willingness to bear risk.

Hard work, honesty and trust.

bakery with good ovens but no money, or with money but no willing staff, will not last.

The fifth function is keeping records, which means writing down what comes in and what goes out, so that profit is known and not guessed. The sixth is guarding against risk, which means protecting the business against fire, theft, loss and change. Later chapters, and later subjects, examine each of these six functions in much more depth.

WHAT A NEW BUSINESS NEEDS TO SUCCEED

Suppose ten bakeries open in one neighbourhood. After a year, eight are still open and two have closed. The bread was not the whole difference. A business succeeds when several conditions hold together, and it can fail when one is missing. We take the conditions in four groups.

The first condition is real demand: customers who want what is offered at a price they accept. The second is enough money, both to start and to continue until sales cover costs. The money put into a business is called capital, which Chapter II explains. Many new businesses make a loss at first, so the money must last through that period.

The third condition is a suitable place, such as a shop that customers can reach easily. Chapter II shows how to choose one. The fourth is capable people: an owner who knows the trade and workers who are willing and trained. A good place with weak people, or good people in a bad place, produces a weak business.

The fifth condition is knowing the rules. A business needs licences and must pay taxes, and Chapter V shows the first of these, the trade licence. The sixth is careful records. An owner who knows costs exactly can set prices that bring a profit. An owner who guesses may sell for less than the goods cost.

The seventh condition is the ability to change. Customers change their habits, rivals appear and rules are altered. A business that cannot adapt may lose its customers without noticing. Chapter III teaches how to watch such changes. No business meets all seven conditions perfectly, but a strong one meets most of them most of the time.

THE BUSINESSPERSON

A **businessperson** means a person who owns or runs a business. The entrepreneur is the businessperson at the moment of starting. Many people ask what such a person needs to be like. No list is complete, but a few qualities appear again and again in successful businesspeople, and each can be learned.

The first quality is vision, which means seeing what customers will want before they ask for it. Linked to it is judgement, which means weighing the facts and choosing sensibly when the answer is not certain. The third is willingness to bear risk. A person who fears every loss will never begin, and a person who ignores every loss will not last. Good judgement stands between the two.

The fourth quality is hard work with persistence. A new business seldom pays quickly, and the owner must continue through the

qualities. They are built by practice, and a beginner can start building them today.

Before moving on. A business must perform six functions: producing, buying and selling, finance, managing people, keeping records and guarding against risk. It succeeds when demand, money, place, people, knowledge of the rules, records and the ability to adapt hold together. The businessperson needs vision, judgement, willingness to bear risk, persistence, honesty, leadership and a readiness to learn.



A short recap of the section.

WORKED CASE: SORTING THE BAKERY'S ACTIVITIES

Case file, illustrative. Situation. Later on 5 January 2026 the person lists seven jobs that the planned bakery would do. Job 1: mix dough and bake loaves. Job 2: sell loaves over the counter to passers-by. Job 3: take cake orders through a phone app. Job 4: hire a van to deliver cakes. Job 5: pay each day's sales money into a bank account. Job 6: buy insurance against fire in the shop. Job 7: print leaflets announcing the opening.

The situation: seven jobs planned for the bakery.

Question. Into which branch of business does each of the seven jobs fall: industry, trade or aids to trade?

The question: which branch does each job belong to?

Reasoning. We ask three questions of each job, in order. First: does it change materials into new goods? If so, it is industry. Second: does it sell goods, or buy goods to sell again? If so, it is trade. Third: does it help buying and selling happen, by carrying, storing, paying, protecting or informing? If so, it is an aid to trade. Job 1 changes flour and water into bread, so it is industry. Job 2 sells goods to customers, so it is trade. Job 3 also sells goods, but over the internet, so it is trade carried out as e-commerce. Jobs 4 to 7 neither make nor sell anything. Job 4 carries goods, which is transport. Job 5 handles money, which is banking. Job 6 protects against loss, which is insurance. Job 7 tells people that the bakery exists, which is advertising.

The reasoning uses the three questions in order.

Conclusion. The table gives the branch of each job and the reason.

The conclusion appears in a table.

BRANCH OF EACH JOB IN THE BAKERY'S PLAN

JOB	BRANCH	REASON
1. Mix dough and bake loaves	Industry (secondary)	Changes materials into goods
2. Sell loaves over the counter	Trade	Sells goods to customers
3. Take cake orders by phone app	Trade (e-commerce)	Sells goods over the internet
4. Hire a van for delivery	Aid: transport	Carries goods to customers
5. Pay sales money into a bank	Aid: banking	Handles money safely

is no bread to sell. The aids support the work, but industry and trade are its centre.

SUMMARY

The chapter in brief.

Business is the activity of providing goods or services to customers to earn a profit. Profit is what remains of sales after all costs are paid, and it is the owner's reward for bearing risk. Business is an exchange that is regular, aims at profit, carries risk, serves customers and is lawful. It differs from a profession, which earns fees, and from employment, which earns a wage. Business divides into industry, which grows, takes or makes goods, and commerce, which is trade together with the aids to trade. The aids are transport, warehousing, banking, insurance, advertising and communication. E-commerce is trade carried out over the internet. A business performs six functions and needs several conditions to succeed, and its owner benefits from vision, judgement, honesty and persistence.

THINK IT THROUGH

A problem: two clinics, one charging profit-making fees, one charity.

Think it through, one. A town has two clinics. Clinic A charges Tk 500 a visit, pays its doctor and staff, and gives any money left over to its owner. Clinic B is run by a charity. It charges Tk 50 a visit and spends any money left over on medicines for patients who cannot pay. Both sell a service. Apply the six features of business to each clinic and decide which is a business. Then say whether your answer would change if Clinic B raised its fee to Tk 500 and began paying what remained to its founder.

A problem: test a juice-cart plan against the conditions for success.

Think it through, two. A student plans to sell fresh fruit juice from a cart outside a university gate. She has a supplier of fruit and a cart. She has not visited the gate at the busiest hours, has no licence and does not plan to write down her costs. Test her plan against the seven conditions for success. Which hold, which do not, and which one would you advise her to settle first?

WHERE PEOPLE GO WRONG

Mistake one: calling sales "profit".

"Sales and profit mean the same." They do not. Sales are all the money received from selling. Profit is only the part that remains after every cost has been paid. A shop can have large sales and a small profit, or even a loss.

Mistake two: believing business means only factories or shops.

"Business means a factory or a shop." Business is a kind of activity, not a kind of building. A farmer selling rice, a rider delivering parcels and a website selling books are all in business if they meet the six features.

Mistake three: using "commerce" to mean only trade.

"Commerce is the same as trade." Trade is only buying and selling. Commerce includes trade and the aids to trade, such as transport and banking.

Mistake four: thinking one sale makes a business.

"Anyone who sells something is in business." A single sale, such as selling an old phone, lacks regularity and the aim of profit. Business means repeated dealing with an aim to earn.

was the product of a whole chain of work. Farmers grew a fine local cotton, which was primary industry. Spinners and weavers, working by hand, turned the cotton into cloth, which was secondary industry. Merchants gathered the cloth and sold it at home and abroad, which was trade. Boatmen carried it along the rivers, which was transport, and others handled payment and credit, which was banking.

In the nineteenth century, cheap cloth made by machines in Britain reached the markets of Bengal in large amounts. Hand-woven muslin took great skill and long labour, and it could not match the new low price. The craft shrank sharply. When the market for the finished cloth weakened, every part of the chain suffered together: the farmers, the weavers, the boatmen and the merchants.

The lesson is twofold. First, the branches of business depend on one another. Industry has no use without trade, and trade has no goods without industry. Second, all of them depend on customers, and customers change their choices. A business must watch such change, and Chapter III shows how.

The chain weakened when cheaper machine-made cloth arrived.

The lesson: branches depend on one another and on customers.

REVIEW QUESTIONS

1. Explain in your own words what is meant by *business*, and give a small example that is not found in this chapter.

Review one: the meaning of business, with a new example.

2. State and explain four features that separate a business from a hobby.

Review two: the features of business.

3. How does business differ from employment? Use two points of difference and give an example of each.

Review three: business and employment.

4. Distinguish between industry, trade and commerce.

Review four: industry, trade and commerce.

5. Place each of these activities in industry, trade or aids to trade, and give a reason: a farmer growing jute; a rice wholesaler; a courier carrying parcels; a garment factory; a firm that insures ships.

Review five: sorting activities.

6. Describe any three aids to trade, and say which obstacle each removes.

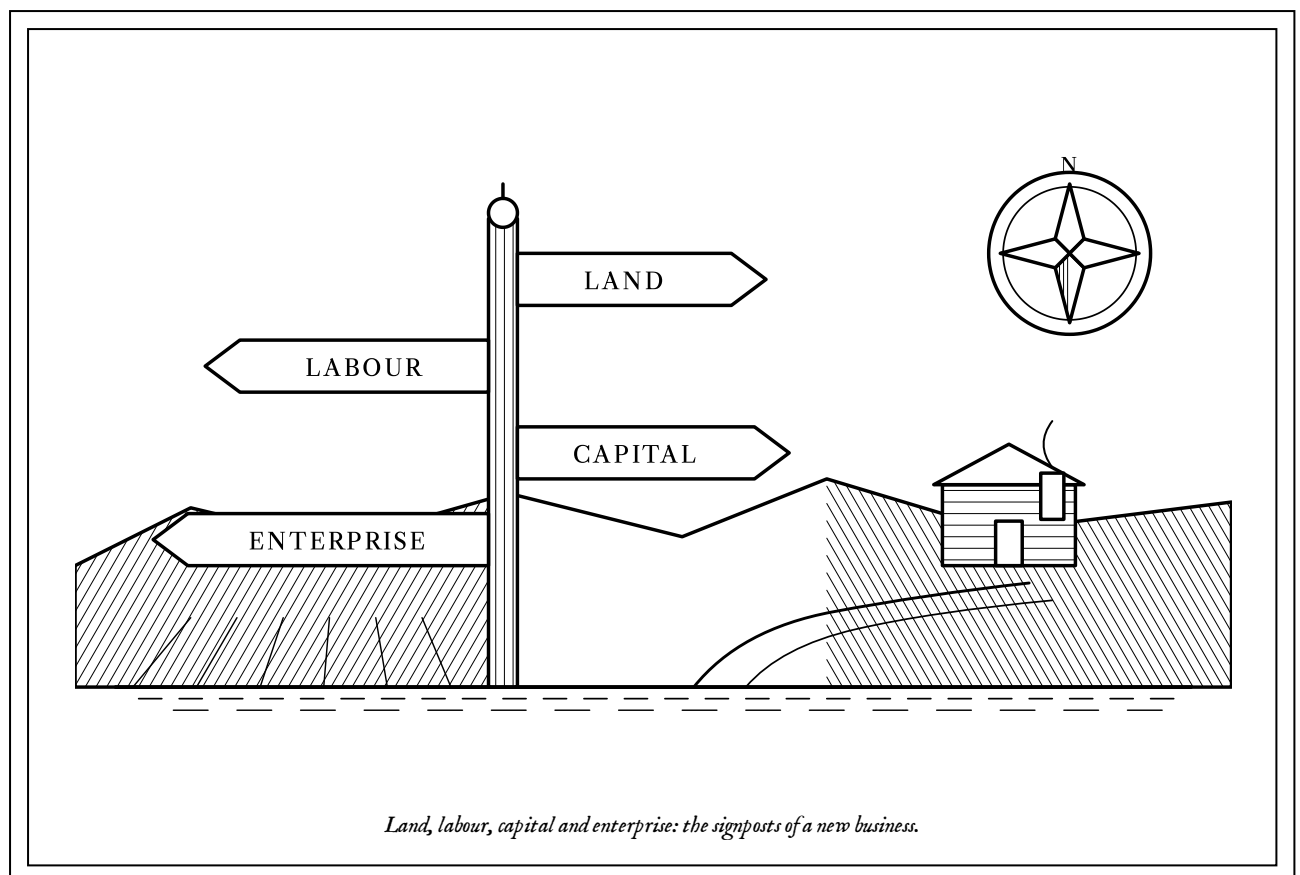
Review six: the aids to trade.

7. Write a short note on e-commerce, giving its meaning, one gain and one limit.

Review seven: e-commerce.

8. Explain four qualities that help a person run a business well, and say why honesty matters to a seller.

Review eight: qualities of a businessperson.



CHAPTER II

Aims, Resources and Location

Why does a business exist, what does it use, and where should it stand?



This chapter explains the results that a business works to reach, the four kinds of resource it uses to reach them, and the choice of a place in which to work. It ends by putting the three together in one plan.

Three friends give three different reasons for opening one bakery.

Before any baking, two more questions wait: what to use, and where to stand.

What this chapter assumes from Chapter I.

The bakery sets its first targets.

A business works toward results, which are called aims.

Aim. A result that a business works to reach.

Aims fall into four groups: economic, social, human and national.

Economic aims are profit, survival and growth.

Three friends stand in front of the same empty shop in Dhaka and each says what a bakery there would be for. The first says, "To earn a good living." The second says, "To give the neighbourhood clean bread at a fair price." The third says, "To give work to people who cannot find any." All three speak sincerely, and all three are right. Yet if one bakery tries to do all three things at once, its owner will meet hard choices. Cheaper bread lowers the profit. More workers raise the cost.

Before anyone bakes a loaf, two more questions wait. What must the bakery have: ovens, flour, a shop, workers, money? And where should it stand: in this lane, or in the next district? The first question is about the results a business wants and the resources it uses. The second is about place. This chapter answers both, and then joins the answers into one plan.

You will need four ideas from Chapter I: business, profit, risk and entrepreneur. They are explained in Sections 1 and 2 of that chapter. Every new word in this chapter is explained when it first appears, as before.

Case file, illustrative. On 12 January 2026 the person sets targets for the bakery. The target is a monthly profit of Tk 60,000. The plan is to rent a shop of 600 sq ft at Tk 45,000 a month,¹ to hire four staff and to start with Tk 12,00,000 of the person's own savings.² This money for the business is called capital, which Section 2 explains. Three possible sites have been compared, and Dhanmondi is chosen. The chapter shows how that choice was made.

AIMS OF BUSINESS

Every business works toward some results, whether its owner has written them down or not. The three friends in front of the shop were stating results. We call such a result an **aim**, which means a result that a business works to reach. Another word for it is *objective*, but this book uses *aim* throughout. A bakery may have the aim of earning Tk 60,000 a month. It may also have the aim of paying every worker on the first day of the month.

Aims come in many forms, but they fall into four main groups. Economic aims concern money. Social aims concern the customers and the community around the business. Human aims concern the people who work in it. National aims concern the country as a whole. We take the groups one at a time, and a table afterwards puts them side by side.

ECONOMIC AIMS

An aim is *economic* when it concerns the money a business earns and the size it reaches. The first economic aim is profit, which Chapter I explained as the money left from sales after all costs are paid. The second is survival, which means earning enough to stay.

¹ The sign sq ft means square feet. A shop of 600 sq ft measures about 56 square metres.

² Bangladesh groups large numbers as 12,00,000, which is twelve lakh. This book uses that grouping for taka. In the grouping used in many other countries the same sum is written 1,200,000.

SOCIAL AIMS

A business sells to people and works among people, so it has aims toward them. These are *social* aims. They include selling goods that are safe and of the quality promised, charging fair prices, giving honest weights and treating neighbours with respect. A bakery that sells stale bread as fresh may earn more this week, but it breaks a social aim and, in time, loses its customers. Chapter IV studies these duties in full. For now, hold in mind that a business belongs to a community, and that the community can reward or punish it.

Social aims are about customers and the community.

HUMAN AIMS

The people who work in a business are not only a cost. They have needs of their own, and a business can set aims for them. These are *human* aims. They include fair pay, safe working conditions, a chance to learn new skills and respectful treatment. A baker who works at a hot oven with a safe floor and a fair wage will usually work better and stay longer. A human aim therefore does good to the worker first, and often to the owner afterwards.

Human aims are about the people who work in the business.

NATIONAL AIMS

A large number of businesses together shape a country, so a business may also set aims for the nation. These are *national* aims. They include creating jobs, paying taxes on time, making goods at home that would otherwise be bought from abroad, and earning money for the country by selling goods abroad. A single small bakery contributes a little to each of these, by paying wages and taxes. Chapters IX and X explain the trade between nations that lies behind the last two.

National aims serve the country, through jobs, taxes and trade.

The table below compares the four groups of aims. Read one row at a time. Each row names a group, says what it seeks, says who gains most and gives an example from the bakery.

A table sets the four groups side by side.

THE FOUR GROUPS OF AIMS COMPARED

GROUP	WHAT IT SEEKS	WHO GAINS MOST	EXAMPLE IN THE BAKERY
Economic	Profit, survival and growth	The owner	Earn Tk 60,000 profit each month
Social	Fair dealing with customers and community	Customers and neighbours	Sell fresh, safe bread at a fair price
Human	Fair treatment of workers	The workers	Pay wages on the first of the month
National	Benefit to the whole country	The country	Pay taxes and give work to local people

WHEN AIMS CONFLICT

Each aim looks reasonable on its own. Trouble arrives when two of them pull in opposite directions. Suppose the bakery can buy a cheaper grade of flour that makes slightly poorer bread. The economic aim says to buy it because costs fall and profit rises. The

Aims can pull against one another, even when each is good.

them is wrong. A business owner must therefore decide how much of each aim to give up for the sake of the others. Many owners find that the choice is smaller in the long run than it seems today, because honest goods and fair wages bring loyal customers and loyal staff, and these protect profit. Yet in the short run the conflict is real, and a good owner admits it. Chapter IV returns to this question.

A check on the four groups of aims.

Pause and check. Which group of aims does each statement belong to? (a) "Pay every worker on the first of the month." (b) "Open a second shop within two years." (c) "Pay all taxes on time." (d) "Sell only bread baked the same morning." (Answers are at the back of the book.)

A short recap of the section.

Before moving on. An aim is a result a business works to reach. Aims fall into four groups: economic, social, human and national. They can conflict, and the owner must choose how far to follow each.



FACTORS OF PRODUCTION

A single loaf contains the work of land, people, tools and an owner.

Look at one loaf. It was made from flour, and the flour came from wheat that grew in the ground. A baker kneaded the dough with her hands. An oven baked it, and the oven was bought with money saved for the purpose. Behind all of this stood a person who decided to bake, found the shop, hired the baker and accepted the risk of a loss. A loaf of bread is a small bundle of four different contributions. Economists give each contribution a name, and the names have lasted for more than two hundred years.

The four contributions are called factors of production.

Factor of production. A resource used to make goods or provide services.

A **factor of production** means a resource that a business uses to make goods or to provide services. There are four: land, labour, capital and enterprise.³ Each is paid for being used, and each has its own name for its payment. This section takes the four one at a time. Go slowly, because the rest of the book keeps returning to these ideas.

GO SLOWLY HERE.

Land in business includes every gift of nature a business uses.

Land. Word in use. In daily life, ground. In business, all gifts of nature that a business uses: ground, water, minerals and forests.

The payment for land is called rent.

Rent. Payment for the use of land or buildings.

LAND

Begin with something familiar. A farmer's field gives wheat, a river gives fish and a quarry gives stone. None of these was made by a person. Business gives such gifts of nature one name: **land**, which means all the gifts of nature that a business uses, including ground, water, minerals and forests. Notice that the word has a wider sense here than in daily life. A fishing business uses river water as land, even though no ground is involved. A bakery uses a site to stand on.

The owner of land lets a business use it and receives a payment. This payment is **rent**, which means payment for the use of land or buildings. The bakery's shop is the nearest example. It stands on ground and it is a building, and the person pays Tk 45,000 a month for it. Strictly, a building was made by people and is therefore capi-

³ Some writers count only three factors and include enterprise within labour. This book counts four, because the entrepreneur does a different job: bearing the risk.

LABOUR

The second factor is people. **Labour** means human work, of body or mind, used to make goods or provide services. The baker who kneads dough uses her body. The person who plans recipes and sets prices uses her mind. Both are labour. The payment for labour is **wages**, which means payment for labour, whether called a wage, a salary or by another name.

A business pays wages to those who work for it, but labour is not limited to employees. An owner who bakes beside her staff is also supplying labour, and so she supplies more than one factor. This is common in small businesses. It means that one person can appear in two rows of the same table.

CAPITAL

The third factor is **capital**, which means money and the things bought with money that a business uses to produce, such as ovens, tools and a stock of flour. Take care with the word. In daily life, *capital* may mean the chief city of a country, as Dhaka is of Bangladesh. In business it means something quite different: the money put into the business and the equipment that money has bought. The bakery's capital will be its Tk 12,00,000 of savings and, once they are bought, its ovens and trays.

Capital can be the owner's own, or it can be borrowed from a bank or another lender. A lender gives up the use of her money for a time and asks a payment in return. This payment is **interest**, which means payment for the use of borrowed money. In daily life the word has another meaning, such as a person's interest in music. Here it is a payment, usually stated as a share of the sum borrowed for each year. If the bakery borrowed Tk 1,00,000 and agreed to pay Tk 10,000 a year for the loan, the Tk 10,000 would be interest.

ENTERPRISE

The fourth factor is **enterprise**, which means the work of bringing the other factors together and bearing the risk. Chapter I called the person who does this work the entrepreneur. The entrepreneur finds the shop, hires the baker, buys the oven and accepts that sales may not cover the cost. The other three factors are paid whether the business succeeds or not, in most cases. The entrepreneur is different, because her reward depends on what is left.

The reward of enterprise is profit, which Chapter I defined as the money left from sales after all costs are paid. Look again at what that means. Rent, wages and interest are usually agreed before the business starts. Profit is not agreed. It is whatever remains, and it can be large, small or even negative, which is a loss. This is why enterprise is the riskiest of the four factors, and why the entrepreneur is rewarded with the uncertain part.

THE FOUR FACTORS AND THEIR REWARDS

The table gathers the four factors with their rewards. Read each row from left to right: the factor. what it means. its reward and an

GO SLOWLY HERE.

Labour is human work of body or mind, and its payment is wages.

Labour. Human work, of body or mind, used to make goods or provide services.

Wages. Payment for labour.

Labour is not only the work of employees; an owner may supply it too.

GO SLOWLY HERE.

Capital is money and the things money buys for use in the business.

Capital. Word in use. In daily life, the chief city of a country, or a large letter. In business, money and the things it buys for use in the business.

The payment for the use of borrowed capital is interest.

Interest. Word in use. In daily life, curiosity or a hobby. In business, payment for the use of borrowed money.

Enterprise is the work of bringing the factors together and bearing the risk.

Enterprise. The work of bringing the other factors together and bearing the risk.

The reward of enterprise is profit, which is not fixed in advance.

A table gathers the factors, their meanings and their

FACTORS OF PRODUCTION AND THEIR REWARDS

FACTOR	MEANING	REWARD	EXAMPLE IN THE BAKERY
Land	Gifts of nature, site, buildings	Rent	The rented shop at Tk 45,000 a month
Labour	Human work of body or mind	Wages	Four staff who bake and sell
Capital	Money and equipment bought with it	Interest	Tk 12,00,000 of savings, then ovens and trays
Enterprise	Bringing factors together; bearing risk	Profit	The person who starts the bakery

Reading the table: sort real facts into the four rows.

The factors are combined in a mix, and the mix can change.

A short recap of the section.

The table is a tool, and the best way to learn a tool is to use it. The bakery's facts on 12 January fall into the four rows. The rented shop is land, and its reward is rent. The four staff are labour, and their reward is wages. The savings are capital. The person who sets the targets and takes the risk supplies enterprise, and her reward is the profit, if any. If part of the savings were borrowed from a bank, the bank would earn interest and the owner would receive what remained.

A business combines the four factors in some proportion, which is called its mix. The mix can change. A bakery may knead dough by hand, which uses much labour and little capital, or by machine, which uses more capital and less labour. Which is better depends on the price of each factor. Where wages are low and machines are costly, hand work may pay. Where wages rise, a machine may become the cheaper choice. The owner therefore watches the prices of all four factors, and not the profit alone.

Before moving on. A factor of production is a resource used to make goods or provide services. There are four: land, labour, capital and enterprise. Their rewards are rent, wages, interest and profit. Profit is the only one not fixed in advance.



THE LOCATION OF A BUSINESS

A baker and a sugar maker would not choose the same kind of place.

Location means the place where a business is set up.

Location. The place where a business is set up.

Plant. The buildings, land and machines where goods are made. Not a living plant.

Would a bread baker and a sugar maker choose the same kind of place? Fresh bread goes stale within a day, so a baker wants her shop near the people who will eat it. Sugar is made from cane, and cane is heavy and spoils soon after cutting, so a sugar maker wants his mill near the fields. The two make different choices for good reasons, and the reasons are what this section teaches.

The place where a business is set up is its **location**. For a factory, the place of the factory itself is called the **plant**, which means the buildings, land and machines where goods are made. Do not confuse it with a living plant, which has the same spelling. A shop has a location too, though it has no plant, because it makes nothing. Choosing a location is important because it is hard to change. A bad shop can be repainted, but a bad place stays bad, and moving costs money.

The second is nearness to materials. A business that uses heavy or fast-spoiling materials saves cost by standing near them. A rice mill near the paddy fields pays little to carry the paddy. A mill far away pays a great deal. By contrast, a business that uses light, long-lasting materials may stand anywhere.

Nearness to materials matters when materials are heavy or spoil.

The third is the supply of labour. A business needs workers with the right skills, and it needs them nearby, since few people will travel far each day for a modest wage. The fourth is transport. Roads, railways and rivers carry materials in and goods out. A business with poor transport pays more for every journey and delivers more slowly.

Labour supply and transport matter to all businesses in different ways.

The fifth is power and water. A factory needs a steady supply of electricity, gas or water, and a site without them may cost more to serve than it saves in rent. The sixth is the cost of land, which appears as the rent or the price of the site. A central site costs more, because many businesses want it, and a distant site costs less.

Power, water and the cost of land also shape the choice.

The seventh is the set of rules and help from the government. Some places forbid certain kinds of business, to protect homes or the environment. Other places offer special help, such as lower taxes, to attract business. Chapter XII describes the special zones that the government of Bangladesh has set aside for export factories. The eighth is room to grow. A site that cannot hold a second oven will limit the business later.

Rules and help from the government can also decide.

CHOOSING AMONG SITES: THE WEIGHTED COMPARISON

In practice no site is best on every factor. One is close to customers but costly. Another is cheap but far from workers. The owner must choose, and a careless owner is likely to follow the factor most easily seen. A method helps. The method used here is the weighted comparison, which asks the owner to say how much each factor matters and then to score each site on each factor.

No site is best on every factor, so a method is needed to compare them.

In words, the method has three steps. First, give each factor a weight, which is a number showing how much that factor matters. The weights of all factors add up to 10, so the most important factor takes the largest share. Second, score each site on each factor from 1 to 5, where 5 is best. Third, multiply each score by its weight and add the results. The site with the highest total is the best by this method. In symbols, the weighted score of a site is the sum, over all factors, of weight times score.

The method in words: weight each factor, score each site, add.

We now follow the method with small, clean numbers. *Given:* a tailor compares two sites, X and Y. She uses three factors with these weights: customers nearby 5, rent 3 and ease of access 2. The weights add up to 10. *Find:* which site has the higher weighted score. *Scores:* Site X scores 4 on customers, 3 on rent and 3 on access. Site Y scores 2, 5 and 4. For rent, a low rent earns a high score.

A first, clean example: a tailor chooses between two sites.

A TAILOR COMPARES TWO SITES

FACTOR	WEIGHT	SITE X SCORE	SITE X WEIGHTED	SITE Y SCORE	SITE Y WEIGHTED
Customers nearby	5	4	20	2	10

*A new setting: a rice mill,
where materials matter most.*

*The method is a help to
judgement, not a replacement
for it.*

A short recap of the section.

+ 8 = 33. Site X, with 35, scores higher than Site Y, with 33. *Check.* The weights add up to 10, and the greatest possible total is $10 \times 5 = 50$. Both totals are below 50, as they must be, and Site X leads because the tailor values customers most.

Now change the setting. A rice mill has different weights, because paddy is heavy and costs much to carry. Suppose the weights are paddy nearby 4, transport to buyers 3, power supply 2 and customers nearby 1. Site P, in the farming district, scores 5, 3, 2 and 2. Site Q, in the city, scores 2, 4, 5 and 4. Site P gives $20 + 9 + 4 + 2 = 35$ and Site Q gives $8 + 12 + 10 + 4 = 34$. The farm site wins narrowly, because paddy has the heaviest weight. The same method gave a city answer for the tailor and a farm answer for the mill, because the weights differ.

The method has limits. The scores are judgements, not measurements. Two careful people may score the same site differently. The weights are also judgements, and a different set of weights can give a different winner, as the worked case at the end of this chapter shows. The method does not decide for the owner. It makes the owner's reasons plain, so that they can be examined and argued about before the money is spent.

Before moving on. The location is the place where a business is set up. The main factors are nearness to customers and to materials, labour supply, transport, power and water, cost of land, government rules and room to grow. The weighted comparison scores each site on each factor, multiplies by the weight and adds.



PUTTING RESOURCES, PLACE AND AIMS TOGETHER

*The three parts of this chapter
must fit one another.*

*A first test: sales must cover
rent and the target profit
together.*

GO SLOWLY HERE.

*The aims change the test:
higher wages or lower prices
raise the sales needed.*

The three parts of this chapter must fit together. The aims say what the business is trying to do. The factors say what it must have. The location says where it will stand. A plan is sound only when the three agree. If the aim is a profit of Tk 60,000 a month and the shop's rent is Tk 45,000, we should ask at once whether the shop can earn enough to pay for both.

We can make a first test with the figures from 12 January. Profit is sales minus costs, so sales must equal the costs plus the profit. The only cost fixed so far is the rent of Tk 45,000 a month. Add the target profit of Tk 60,000, and we reach Tk 1,05,000. The bakery must therefore sell at least Tk 1,05,000 of goods each month, and that is before it pays for flour, fuel and the four staff. Those costs will push the figure higher. This is not a forecast. It is only a quick test that shows the target is not trivial.

The other aims change the test. Suppose the human aim is to pay each worker Tk 2,000 more each month. With four staff this adds Tk 8,000 to the costs, and the sales needed rise by Tk 8,000 for the same profit. Suppose the social aim is to keep bread cheap. Then each loaf brings less money, and more loaves must be sold to reach the same sales. Each aim therefore has a price, and the plan must say who pays it. Sometimes the owner pays by accepting less

Before moving on. A sound plan fits its aims, its factors and its location together. A quick test is that sales must at least cover the costs plus the target profit. Each extra aim has a price, and the owner must decide who pays it.



A short recap of the section.

WORKED CASE: CHOOSING THE BAKERY'S SITE

Case file, illustrative. Situation. In the days before 12 January 2026 the person compares three sites for the bakery, each of 600 sq ft. Site A, in Dhanmondi, rents at Tk 45,000 a month. Site B rents at Tk 30,000 and Site C at Tk 35,000. The person judges four factors: customers nearby, rent, access for supplies and deliveries, and few rival bakeries. The weights are 4, 3, 2 and 1, which add up to 10. Scores run from 1 to 5, and the scores are the person's own judgement.⁴

The situation: three sites, four factors and three sets of figures.

Question. Which of the three sites has the highest weighted score, and how sure can the person be of the answer?

The question: which site has the highest weighted score?

Reasoning. The person scores each site on each factor. Site A scores 5 for customers, 2 for rent, 4 for access and 3 for rivals. Site B scores 3, 5, 3 and 3. Site C scores 3, 4, 2 and 4. For rent, a lower rent earns a higher score, and for rivals, fewer rivals earn a higher score. Each score is multiplied by its weight, and the products are added down each column of the table. In the table each cell shows the score and, in brackets, the weighted figure.

The reasoning multiplies each score by its weight and adds.

WEIGHTED COMPARISON OF THREE BAKERY SITES

FACTOR	WEIGHT	SITE A	SITE B	SITE C
Customers nearby	4	5 (20)	3 (12)	3 (12)
Rent	3	2 (6)	5 (15)	4 (12)
Access	2	4 (8)	3 (6)	2 (4)
Few rivals	1	3 (3)	3 (3)	4 (4)
Total	10	37	36	32

Conclusion. Site A scores $20 + 6 + 8 + 3 = 37$. Site B scores $12 + 15 + 6 + 3 = 36$. Site C scores $12 + 12 + 4 + 4 = 32$. Site A, in Dhanmondi, has the highest total and is chosen. Its lead over Site B is only one point, so the person should not be very sure.

The conclusion: Site A leads, but only by one point.

Check. First, the weights add up: $4 + 3 + 2 + 1 = 10$, so the greatest possible total is $10 \times 5 = 50$, and all three totals lie below it. Second, test how sensitive the result is. Suppose the person cared more about rent and less about customers, with weights of 3, 4, 2 and 1. Site A would then score $15 + 8 + 8 + 3 = 34$, Site B would score $9 + 20 + 6 + 3 = 38$ and Site C $9 + 16 + 4 + 4 = 33$. Site B would win. The choice of Site A therefore depends on the person's belief that customers matter more than rent, which is reasonable, since a profit target of Tk 60,000 needs large sales. The person records this reason and goes ahead with Dhanmondi.

The check: weights, maximum and a test of how sensitive the result is.

⁴ The scores are judgements, not measurements. Two careful people may score a site differently. What matters is that the reasons are written down.

business uses four factors of production: land, paid rent; labour, paid wages; capital, paid interest; and enterprise, paid profit. Profit is the only reward not fixed in advance. The location is the place where a business is set up, and the plant is the buildings and machines where goods are made. The main factors in choosing a location are customers, materials, labour, transport, power and water, cost of land, government rules and room to grow. The weighted comparison scores each site, multiplies by the weights and adds. A sound plan fits aims, factors and location together.

THINK IT THROUGH

A problem: a tie between two sites for a furniture workshop.

Think it through, one. A small furniture workshop compares two sites using three factors. The weights are timber supply 4, labour supply 3 and rent 3. Site V, in a village, scores 2 for timber, 4 for labour and 5 for rent. Site T, near a timber market, scores 5, 3 and 2. Calculate the weighted score of each site. What do you find? Name one more factor, not in the table, that you would use to break the tie, and say why.

A problem: a pay rise and the profit target.

Think it through, two. The bakery considers paying each of its four staff Tk 2,000 more each month. If nothing else changes, what happens to the monthly profit of Tk 60,000? Name two ways the owner might respond, and say which aims each way serves and which it gives up.

WHERE PEOPLE GO WRONG

Mistake one: believing profit is the only aim.

"A business has one aim, which is profit." Profit matters most in order of time, but a business also has social, human and national aims. A firm that follows profit and ignores the rest often loses its customers and its staff.

Mistake two: treating capital as cash only.

"Capital means cash." Capital is money and also the things money buys for use in the business, such as ovens, tools and stock. Cash is only one part of it.

Mistake three: calling every payment for land by one name.

"Rent, wages and interest are all the same." They are three different payments for three different factors. Rent is paid for land, wages for labour and interest for borrowed capital.

Mistake four: thinking the cheapest site is the best.

"The site with the lowest rent is the best." Rent is only one factor. A cheap site far from customers may cost more in lost sales than it saves in rent.

Mistake five: treating profit as fixed pay.

"Profit is paid like a wage." Wages are agreed in advance. Profit is whatever remains after all costs, and it may be large, small or negative.

IN HISTORY: THE FACTORS NAMED

Early writers divided the production of a nation among three classes.

In the eighteenth and nineteenth centuries, writers who studied how nations grow rich asked a simple question: who shares in what a country produces? Adam Smith's *The Wealth of Nations*, published in 1776, divided the income of a nation among landowners, workers and the owners of stock, which meant the money and goods used to produce more. David Ricardo, who wrote later, used the

shop, the baker, the lender and the entrepreneur, we are using a way of thinking that these writers began.

REVIEW QUESTIONS

1. Explain what is meant by an *aim* of a business. Give one example of each of the four groups of aims for a small clothing shop.

Review one: aims.

2. Describe a situation in which an economic aim and a human aim pull against one another. How might the owner decide?

Review two: conflict of aims.

3. Name the four factors of production and state the reward of each.

Review three: the factors.

4. Distinguish between rent, wages and interest, giving an example of each from a small restaurant.

Review four: rent, wages and interest.

5. Explain why the word *capital* needs care. Give its daily meaning and its meaning in business.

Review five: capital in two senses.

6. Explain four factors that a firm should consider when choosing the location of a factory.

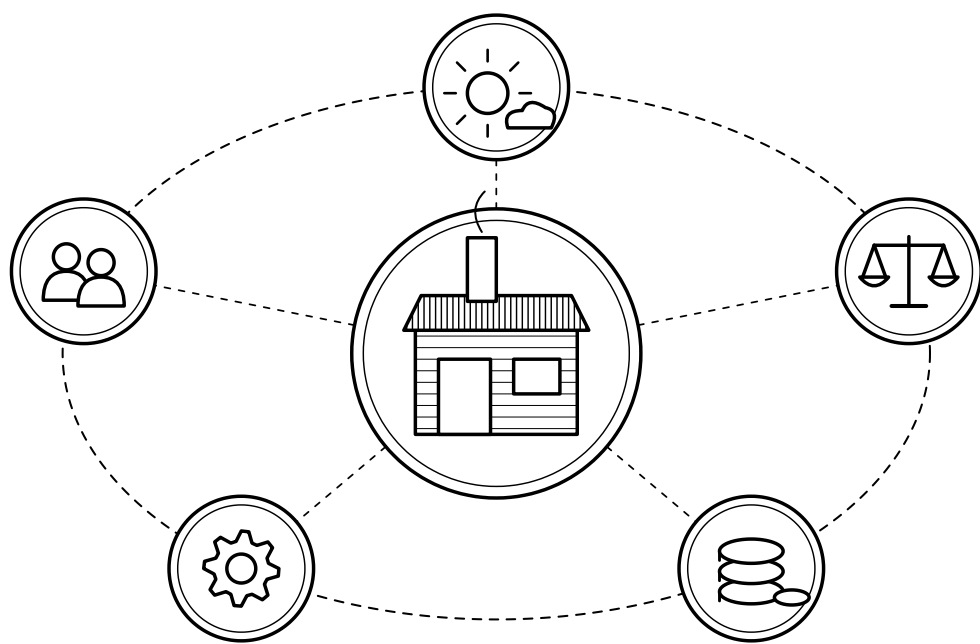
Review six: factors in the choice of location.

7. Why does a bakery stand near its customers while a sugar mill stands near the cane fields?

Review seven: shops and mills.

8. A mobile-repair shop compares two sites with these weights: customers 5, rent 3 and safety 2. Site M scores 4, 2 and 5, and Site N scores 3, 4 and 3. Calculate the weighted score of each site and say which the owner should choose.

Review eight: a weighted comparison.



A firm stands in the midst of forces it does not control.

CHAPTER III

The Business Environment

Why does a good plan meet a bad day?



Every business works in two worlds: the one inside its walls and the one around it. This chapter shows how to tell them apart, how to name the forces outside, and how to read change early and answer it with care.

Monday: 100 cups sold and a profit of Tk 300.

Tuesday: rain cuts sales to 80 cups and profit falls to Tk 100.

Profit fell by two thirds, though nothing inside the stall changed.

Some forces lie inside a firm and some outside; each needs a different answer.

The earlier ideas this chapter uses.

A farmer's crop depends on her choices and on the weather.

The forces that shape a firm come from inside and from outside.

Word in use. Environment: in daily life, the air, water and land around us. In business, all forces that affect a firm.

Environment. All the forces, inside and outside a firm, that affect what it does and earns.

The inside of a firm is the part its owner can shape.

Internal environment. The people, money and ways of working inside a firm.

The owner's aims and skills set the direction of the firm.

Consider two days at one tea stall. On Monday its owner makes 100 cups of tea and sells every cup at Tk 10. Her costs for the day are Tk 700, so her profit is Tk 300. This is the stall from Chapter I. It is a teaching example and is not part of the bakery case.

On Tuesday she works in exactly the same way. She uses the same kettle, the same tea leaves and the same helper, and she charges the same price. But rain falls hard from morning to evening. People stay indoors, and she sells only 80 cups. Her sales are Tk 800. Her costs are still Tk 700. Her profit has fallen to Tk 100.

Here is the puzzle. Nothing inside the stall changed between the two days. Her skill, her money and her helper were the same. Yet her profit fell by two thirds. What caused the fall? And could she have done anything about it?

The answer has two parts. The cause lay outside the stall, so she could not prevent it. But she could have prepared. She might have made fewer cups on a day when the sky looked dark, or offered to deliver hot tea to the offices nearby. Every business lives in this position. Some forces that shape its results lie inside it, where the owner can act. Others lie outside, where the owner cannot give orders but can watch, prepare and respond. This chapter teaches you to tell the two kinds apart and to decide what to do about each.

You will need these ideas from earlier chapters: business, sales, cost, profit and customer (Chapter I); and the aims of a business, capital, interest, wages and location (Chapter II).

THE INSIDE OF THE FIRM

Think of a farmer's rice field. The crop depends on things the farmer chooses: the seed, the care and the work. It depends as well on things the farmer cannot choose: the rain, the heat and the price in the market. A business is like the field. Some forces that shape it come from its own choices. Others come from the world around it.

These forces together are called the **environment** of a business. The environment means everything, inside the firm and outside it, that affects what the firm does and what it earns. In the puzzle, the rain was part of the tea stall's environment. So was the helper's skill. Notice that the word is wider than in daily life. It is not only nature.

We divide the environment into two parts. The **internal environment** means the people, the money and the ways of working inside a firm. Everything outside the firm forms its external environment, which the next section teaches. This section studies the inside. It has four main parts: the owner, the staff, the money and the culture.

Begin with the owner. The owner supplies the aims, the first money and the willingness to accept risk. The owner of the bakery

paid every month, whether sales are high or low. A firm can improve its staff by training, but training takes time.

The third part is money. The bakery owner has Tk 12,00,000 of capital from personal savings (Chapter II). That sum limits the firm's choices. It can pay the rent of Tk 45,000 each month and buy flour and sugar. It cannot open a second shop without more money. A firm with little money has few choices. A firm with more money can survive a bad month. Borrowed money brings interest, which must be paid whether or not the firm is doing well.

The fourth part is the way people in the firm think and behave. **Business culture** means the shared habits and beliefs about how work is done inside one firm. In one bakery, staff wash their hands and check the oven without being told. That firm's culture values care. In another bakery, staff hurry and hide their mistakes. Culture does not appear on any list of money or machines. Yet it shapes quality, honesty and speed.

See what the four parts share. The owner can change each of them by a decision: hire a skilled baker, train the staff, save more money or insist on clean tables. A force that a firm can change by its own decision is a **controllable factor**. Most parts of the internal environment are controllable. But controllable does not mean quick. A new skill may need months. A larger sum of capital may need years. The owner controls the direction of change, not its speed.

Two bakeries on one street show why the inside matters. Bakery P has Tk 4,00,000 in savings and a team of trained staff. Bakery Q has Tk 20,000 in savings and depends on one baker. In one week the flour supplier fails to deliver, and each bakery must pay Tk 20,000 of rent and wages without any sales. For P, this is 5 per cent of its savings, and it carries on. For Q, it is all of its savings, and it may not be able to buy flour next week. The outside blow was the same. The inside decided the result.

Several people care about how the firm does. The owner wants profit. The staff want wages and safe work. A bank that lent money wants repayment with interest. Customers want good goods at a fair price. Each of these is a **stakeholder**, which means a person or group affected by a business or able to affect it. Some stakeholders are inside the firm, such as the owner and the staff. Others are outside, such as customers and the government. Chapter IV studies what a firm owes to each.

Before moving on. The environment is every force that affects a firm. The inside has four parts: owner, staff, money and culture. The owner can change these by decision, though slowly. People who care about the firm are its stakeholders.



THE OUTSIDE OF THE FIRM

Return to the tea stall. The rain was part of its **external environment**, which means all the forces outside a firm that affect it. The

Money limits what a firm can do and how long it can wait.

Culture is the unwritten way of working that staff share.

Word in use. Culture: in daily life, the arts and customs of a country. In business, the shared habits inside one firm.

Business culture. The shared habits and beliefs about how work is done inside one firm.

Most inside forces can be changed by decision, but not quickly.

Controllable factor. A force the firm can change by its own decision.

The same blow lands differently on firms with different insides.

Many people have a share in how a firm does.

Stakeholder. A person or group affected by a business, or able to affect it.

Recap of the section.

Outside forces cannot be changed by one firm's decision

Compare the inside and the outside before studying the outside.

Before studying the outside in detail, compare it with the inside. The table sets the two side by side. Read each row as a question: where does it lie, who controls it, how fast does it move, and what should the firm do about it?

THE INSIDE AND THE OUTSIDE OF A FIRM COMPARED

POINT	INTERNAL ENVIRONMENT	EXTERNAL ENVIRONMENT
Where it lies	Inside the firm	Outside the firm
Main parts	Owner, staff, money, culture	Six forces: economic, social, political-legal, technological, natural, competitive
Control	Mostly controllable	Mostly uncontrollable
Speed of change	Slow, and by the firm's own decision	Often fast, and often without warning
Whom it touches	The one firm	Many firms at once
Main response	Improve and build	Watch and respond

Outside forces fall into six groups.

It is usual to sort the outside forces into six groups. The table below names each group, says what it covers and gives an example from a bakery. Read it row by row. Some words in the table are new, and the pages that follow explain them.

THE SIX OUTSIDE FORCES, WITH A BAKERY EXAMPLE

FORCE	WHAT IT COVERS	A BAKERY EXAMPLE
Economic	Demand, prices, incomes	Flour costs 8 per cent more
Social	Habits, tastes, customs, numbers of people	Customers prefer to order by phone
Political-legal	Laws, rules, taxes	A tax is added to the price of every loaf
Technological	New tools, machines and methods	An ordering app reaches customers
Natural	Weather, climate, land, water	Monsoon rain delays a flour delivery
Competitive	Other sellers to the same customers	A new bakery opens 300 metres away

The groups overlap; seeing the force matters more than its label.

Read the table with care. The groups overlap. A customer's habit of ordering by phone is a social force, because it is a habit. It is also a technological force, because it depends on a new tool. Do not spend long deciding which label is correct. The skill that matters is to see the force and to ask what it does to the firm.

THE ECONOMIC FORCE

The **economic force** means the outside conditions of money and trade, such as demand, prices and incomes. It is usually the first force an owner feels, because it reaches the firm's sales and costs directly

The economic force covers money conditions around the firm.

Economic force. Outside conditions of money and

Begin with the customers. **Demand** means the amount of a good or service that customers are willing and able to buy at a given price. When family incomes are good, more families can buy a cake for a birthday. When incomes fall, demand for cake usually falls first. Bread is closer to a need, and cake is closer to a want (Chapter I). So demand is the first thing every firm watches.

Price and demand are linked. When a price rises, customers usually buy less. Suppose the tea stall raises its price from Tk 10 to Tk 12, and sales fall from 100 cups to 90. Sales become $90 \times \text{Tk } 12$, which is Tk 1,080, so the owner gains. But if sales fall to 80 cups, sales are Tk 960, and the owner loses. The result depends on how customers react, and an owner can learn this only by watching them.

Now consider what the firm buys. A **supplier** is a person or business that sells goods or services to another business. The tea stall buys sugar from a supplier. Suppose sugar is Tk 100 of the stall's daily cost of Tk 700, and the sugar price rises by 10 per cent. Ten per cent of Tk 100 is Tk 10, so the daily cost becomes Tk 710. If she still sells 100 cups at Tk 10, her profit is Tk 1,000 minus Tk 710, which is Tk 290. One price changed, and her profit fell by Tk 10.

Now a wider idea. Think of the price of a cup of tea at a roadside stall. Some years ago it cost less than it does today. So did bus fares, rice and school books. When prices in general rise over time, we call it **inflation**. Inflation means a general rise in the level of prices, so that one taka buys less than before. Use small numbers. Suppose a basket of goods costs Tk 100 this year and Tk 108 next year. Prices rose by Tk 8 on every Tk 100, so inflation is 8 per cent.

Take care with one point. A rise in the price of flour alone is not inflation. It is a rise in one price. Inflation means that prices in general are rising. Even so, inflation matters to a firm. Its costs rise, its staff ask for higher wages, and its customers find that their money buys less. *You should now be able to say:* inflation is a general rise in prices over time, so the same taka buys less.

Pause and check. A basket of goods cost Tk 200 last year and costs Tk 210 now. What is the rate of inflation? (The answer is at the back of the book.)

Two more economic conditions deserve a mention. The first is the state of the whole economy. When more people have work and incomes grow, demand for many goods rises. When jobs become scarce, demand falls. The second is the cost of borrowing. If the rate of interest rises, a firm that has borrowed money must pay more each month, and families borrow less to spend.

THE SOCIAL FORCE

The **social force** means the habits, tastes, beliefs and numbers of the people around a firm. People follow custom and fashion. In Bangladesh, many families buy sweets and cakes for Eid and other festivals, so demand for such goods rises in those weeks. The number of young people in a district the size of families and the

Demand is how much customers will buy at a price.

Word in use. Demand: in daily life, to ask firmly for something. In business, the amount customers will buy at a price.

Demand. The amount of a good or service that customers are willing and able to buy at a price.

A higher price usually lowers demand, but by how much is uncertain.

A rise in one input price raises the firm's cost at once.

Supplier. A person or business that sells goods or services to another business.

Inflation is a general rise in prices, not one price.

GO SLOWLY HERE.

Inflation. A general rise in the level of prices over time, so one taka buys less.

A rise in one price is not inflation.

Check the idea with one small calculation.

The whole economy and the cost of borrowing also matter.

The social force covers the habits and numbers of people.

Social force. The habits, tastes, beliefs and numbers of the people around a firm.

The political-legal force covers government decisions.

Political-legal force.

Government decisions, laws and taxes that a firm must follow.

A regulation is a government rule that firms must follow.

Regulation. A rule made by government that businesses must follow.

Government both helps and controls firms.

A tax is money paid to government by law.

Tax. Money that people and businesses must pay to the government by law.

VAT is collected from the buyer for the government.

GO SLOWLY HERE.

VAT. Value added tax: a tax added to the price of goods and services, collected by the seller for the government.

A worked example shows how VAT changes the price a customer pays.

VAT can lower demand a little; the seller must decide how to show it.

ingredients and the way goods are made, a seller who answers honestly gains trust. These changes are slow, but they are hard to reverse once they have taken hold.

THE POLITICAL-LEGAL FORCE

The **political-legal force** means the decisions, laws and taxes of government that a firm must follow. Government is a powerful part of the outside world, because it can make a rule that no single firm can change. Political calm helps a firm plan. Sudden unrest or sudden changes of policy make planning harder.

A **regulation** is a rule made by government that businesses must follow. A bakery must hold a trade licence (Chapter V) and must follow rules on food safety and cleanliness. These rules protect customers. They also cost the firm time and money. A firm cannot choose which regulations to obey, but it can learn them early and plan for them.

Government is both a helper and a controller. It builds roads and ports, keeps courts that settle disputes, and may support a trade that it wishes to grow. It also controls: it asks for licences, makes rules and collects taxes. A firm should therefore ask two questions about each government decision. Does it help us? Does it restrict us? One decision may do both. A rule on food safety restricts a bakery, but it also gives the bakery's customers confidence.

A **tax** is money that people and businesses must pay to the government by law. Governments use tax money for roads, schools, hospitals and other public services. A business pays several taxes, one of which is charged on its income. The tax that customers see most often is VAT.

Start with an everyday bridge. Look at a restaurant bill. Under the price of the meal you may see a line marked VAT. That line is not the restaurant's profit. It is money that the restaurant collects from you and later pays to the government. **VAT**, short for value added tax, is a tax added to the price of goods and services. The seller collects it from the buyer and pays it to the government.

Use small numbers. A loaf of bread has a price of Tk 100 before VAT. Suppose the VAT rate is 15 per cent.¹ Fifteen per cent of Tk 100 is Tk 15. The customer pays Tk 100 plus Tk 15, which is Tk 115. The bakery keeps Tk 100 and passes Tk 15 to the government. In this book, a firm's sales are counted before VAT, because the VAT part belongs to the government and not to the firm.

VAT raises the price that the customer sees, so it can lower demand a little. The seller has a choice. It can keep its own price and let VAT show on top, so the customer pays more. Or it can lower its own price so that the total stays near the old figure, and the seller then earns less on each loaf. *You should now be able to say:* VAT is a tax that the seller collects from the buyer for the government, so it is not the seller's own income.

¹ The rate of 15 per cent is the standard VAT rate in Bangladesh and is used here for teaching. Some goods are charged at lower rates, and small businesses may follow different rules. Rates and rules change, so a real bakery must check the current position with the National Board of Revenue.

THE TECHNOLOGICAL FORCE

Technology means the tools, machines and methods used to make or sell goods and services. A change in technology that reaches a firm from outside is the **technological force**. A new oven may bake faster with less gas. Mobile payment services let customers pay without cash. Delivery apps put a shop's goods on a customer's phone. E-commerce, which Chapter I defined as buying and selling over the internet, is technology at work.

Technology cuts both ways. A cheaper machine helps the firm that buys it. But a firm that cannot afford the machine may soon face a rival that can. New tools also need training, and training costs time and money. So the owner should ask two questions about each new tool. What will it save? And what will it cost to learn and to buy?

A firm must also decide when to adopt a new tool. A firm that adopts early may pay a high price and meet faults that others have not yet found. A firm that adopts late may find that its customers have already moved to a rival. There is no fixed rule. The owner weighs the cost of the tool against the number of customers who would use it, and tests it on a small scale first.

THE NATURAL FORCE

The **natural force** means the weather, climate, land, water and other conditions of nature that affect a firm. Bangladesh lies in a delta with heavy monsoon rain. Roads flood, trucks and boats arrive late, and goods spoil in damp stores. Heat can spoil cream cakes unless cold storage works. Much of the wheat used for flour in Bangladesh is brought from other countries, so storms at sea or poor harvests abroad can also reach the bakery.²

Nature does not only harm. The mango season helps the juice seller, and cool weather helps the seller of hot tea. Rain that hurt the tea stall in the puzzle would help a person selling umbrellas. The same force can lift one firm and press down another.

THE COMPETITIVE FORCE

A **competitor** is another business that sells similar goods or services to the same customers. The pressure that competitors place on a firm is the **competitive force**. Competitors try to win customers by price, quality, service and convenience. A new bakery 300 metres from our bakery means that local customers can now compare two shops before they buy.

Competition is wider than the shop next door. Customers always have a choice, and they compare. Competition has a good side too. It keeps prices fair and quality high. It can even bring more customers to a street where many sellers gather. Even so, Chapter II counted few rivals as one factor in choosing a site for

Technology changes how goods are made and sold.

Technology. The tools, machines and methods used to make or sell goods and services.

Technological force. A change in technology, outside the firm, that reaches the firm.

Technology can lower costs or create new rivals.

Early and late adoption both carry risk.

The natural force covers weather, climate, land and water.

Natural force. The weather, climate, land, water and other conditions of nature that affect a firm.

Nature can help a firm as well as harm it.

Competitors fight for the same customers.

Competitor. Another business that sells similar goods or services to the same customers.

Competitive force. The pressure that competitors place on a firm.

Competition is wider than the shop next door, and it has a good side.

² A large share of the wheat used in Bangladesh is imported. The exact share changes from year to year, so check a current source before quoting a figure.

Compare a rival on price, quality, service and convenience.

Suppose a second tea stall opens 50 metres from the stall in the puzzle and charges Tk 8 a cup. That is Tk 2 less, or 20 per cent below her price of Tk 10. Should she cut her price too? Not at once. First she should compare the two stalls on price, quality, service and convenience. If her tea is better and her service faster, many customers may stay at Tk 10. If she cuts her price to Tk 8, her sales on 100 cups fall from Tk 1,000 to Tk 800, a loss of Tk 200. Price is only one of four ways to compete.

One small firm cannot order the outside world about, but it can read it.

WHAT A FIRM CAN AND CANNOT COMMAND

All six forces share one property: a single small firm cannot command them. But cannot command is not the same as cannot touch. A firm can influence some forces a little. Advertising may shift tastes. A better product gives rivals less room. Joining a trade body (Chapter XII) lets firms speak to government together. The honest rule is this. Outside forces are uncontrollable for one small firm, but they are not unknowable. A firm that knows its environment decides better than one that does not.

The same force can mean different things to different firms.

Look at the same force from different seats. Rain hurts the tea stall and helps the umbrella seller. A tax on all sellers still affects a small shop more than a large one with more money to spare. So the useful question is not only what is happening. It is what this change means for our firm.

Forces act in chains, so one event can set off others.

Forces also act in chains. Heavy monsoon rain floods a road, which is a natural force. Flour deliveries arrive late, and the supplier charges more for the delay, which is an economic force. The bakery raises its prices, and some customers move to the new bakery, which is a competitive force. One event on the outside has reached the firm through three forces. An owner who watches only one force at a time may miss the chain.

Recap of the section.

Before moving on. The outside has six forces: economic, social, political-legal, technological, natural and competitive. One firm cannot command them, though it can influence some a little. The same force can help one firm and harm another.



READING CHANGE AND RESPONDING TO IT

Study gives early sight of chances and dangers.

WHY A FIRM STUDIES ITS ENVIRONMENT

Why should a busy owner spend time on forces that cannot be commanded? There are good reasons. The first is early sight. An owner who knows what is coming can use an opportunity before rivals do and can reduce a danger before it arrives. The second is better planning. A plan that assumes that prices, rules and customers will never change is likely to fail. The third is realistic aims. In Chapter II, the owner set a profit aim and chose a site. Both choices depend on facts about customers, rent and rivals, and these facts come from the environment.

Study also keeps a firm within the law and in its customers' trust

There are further reasons. A firm that knows the law avoids fines and trouble with the authorities. A firm that understands its cus-

sometimes within a week. It is uncertain, because nobody knows exactly what will come next. And it is different for each firm, since the same force may help one firm and harm another. Because of these features, the owner can never finish studying. Scanning is a habit, not a task that ends.

SCANNING AND SORTING CHANGE

A bus driver watches the road, the mirror and the clock together. The driver does not control the traffic, yet still arrives safely, because the driver notices change early. A business owner needs the same habit.

Environmental scanning means watching the outside forces regularly to notice change early. It needs no special equipment. A baker who listens to customers, reads the price list each week, talks with suppliers and reads government notices is already scanning. Staff who live in the area also hear things the owner does not. The habit matters more than the method.

Not every change deserves action. After noticing a change, ask three questions. How large will the effect on sales or costs be? How soon will it arrive? How sure is it? A change that is small, far away and uncertain can be watched. A change that is large, near and certain needs an answer now.

A change outside can help or harm. An **opportunity** is a change outside the firm that the firm can use to gain. A **threat** is a change outside the firm that can harm it. The same change can be both. The habit of ordering by phone is a threat to a shop that ignores it and an opportunity to a shop that adapts.³

CHOOSING A RESPONSE

The inside and the outside meet at one point: the firm's response. A threat is most dangerous when the inside is weak. If a firm has only one month of cash, a rise in flour prices may be serious. If it has savings and loyal customers, it can absorb the rise. In the same way, an opportunity helps only a firm that has the staff, money and skill to use it. So the owner reads the outside and the inside together.

Once the owner has read the change, a response is needed. A firm has five broad kinds of response. The table names them in words and gives one bakery example of each. Read each row as an answer to a different situation.

FIVE KINDS OF RESPONSE TO A CHANGE OUTSIDE THE FIRM

RESPONSE	MEANING	A BAKERY EXAMPLE
Absorb	Accept the change and bear the cost for now	Keep prices steady for a month after a small rise in flour cost
Adjust	Change a price, an amount or a method	Raise the price of one cake by Tk 5

³ Some books call the matching of strengths and weaknesses inside a firm with opportunities and threats outside it a SWOT analysis, from the first letters of the four words.

A driver notices change early and arrives safely.

Scanning means watching the outside world on a regular basis.

Environmental scanning. Watching the outside forces regularly to notice change early.

Not every change matters equally; three questions sort them.

A change can be an opportunity or a threat, or both.

Opportunity. A change outside the firm that the firm can use to gain.

Threat. A change outside the firm that can harm it.

The danger of a threat depends on the strength of the inside.

Five kinds of response are open to a firm.

it may be the only answer to a lasting change. Two careful owners can choose differently, because their money, staff and aims differ. What matters is that the choice follows a reading of both the outside and the inside.

THE FIRM AND ITS ENVIRONMENT TOGETHER

The firm also acts on its environment. The bakery gives work to four people, buys from suppliers, pays VAT and draws customers to a street. A new bakery may lower the sales of the one 300 metres away, so it has become part of that firm's environment. The firm and its environment shape each other. Chapter IV asks what duties this gives a firm towards the people it affects.

Now try the six forces on a different business. A vegetable grower near Dhaka is a teaching example and is not part of the bakery case. Heavy rain can flood the field, which is a natural force. Wholesale prices fall when many growers harvest in the same week, which is an economic force. Suppose the government raises the price of fertiliser, which would be a political-legal force. A mobile phone that shows market prices is a technological force. Buyers who want vegetables grown with less chemical spray are a social force, and neighbouring growers are a competitive force. For this grower, the natural force is the strongest. She may respond by growing two crops that ripen in different weeks, and by selling directly to nearby shops.

Before moving on. Scanning means watching the outside regularly. A change may be an opportunity or a threat, and its danger depends on the strength of the inside. A firm may absorb, adjust, adapt, act early or influence. *You should now be able to say:* a firm cannot command the outside, but it can read it, test its effect on itself and choose a response.



A WORKED CASE: THE BAKERY IN MARCH 2026

Case file, illustrative. On 2 March 2026, the second day of trading, the owner of the bakery lists four changes in the area. First, the flour supplier says that flour will cost 8 per cent more. The bakery buys 500 kilograms (kg) a month at Tk 60 per kg. Second, VAT, taken here at 15 per cent, must be added to the price of bread, cakes and biscuits. Third, a rival bakery has opened 300 metres away. Fourth, nearby customers are ordering food by phone and expect to do so. The aim set on 12 January 2026 stays the same: a monthly profit of Tk 60,000, with a rent of Tk 45,000 (Chapter II).

QUESTION

Which of the four changes can the owner control? Which of them matter most to the monthly profit target? What should the owner do about each?

REASONING

Step 1 is to sort the changes. All four lie outside the firm, so all four

A firm and its environment shape each other.

A different business meets the same six forces in different strength.

Recap of the section.

The owner lists four changes found in the first days of trading.

The case asks what is controllable, what matters most and what to do.

Step 1: all four changes are outside forces

target before other costs. We now add flour to the test. Other costs, such as staff, gas and packing, are left out here to keep the test simple. They would raise every total.

THE SALES TEST BEFORE AND AFTER THE FLOUR PRICE RISE

ITEM	BEFORE THE RISE	AFTER THE RISE
Rent	Tk 45,000	Tk 45,000
Flour	Tk 30,000	Tk 32,400
Profit target	Tk 60,000	Tk 60,000
Sales needed	Tk 1,35,000	Tk 1,37,400

Read the last row. Sales needed rise from Tk 1,35,000 to Tk 1,37,400, an increase of Tk 2,400. As a share of the old figure, Tk 2,400 divided by Tk 1,35,000 is about 0.018, or 1.8 per cent. The flour rise is real, but it is small. The bakery can absorb it for now.

Step 3 is VAT. A loaf priced at Tk 100 before VAT costs the customer Tk 115, and the bakery keeps Tk 100. So VAT does not change the sales test, unless customers buy fewer loaves. The owner could try to keep the customer's total at Tk 100. Then the bakery's own price must fall to about Tk 87, because Tk 87 plus 15 per cent of Tk 87, which is Tk 13.05, gives Tk 100.05. That choice costs the bakery Tk 13 on every loaf. It is usually better to show VAT on the price tag and keep the bakery's own price.

Step 4 is the rival and the phone habit. The owner cannot stop a bakery from opening, but can learn what it sells and at what price. The owner chose Dhanmondi because customers matter more than rent (Chapter II), so the bakery should compete on freshness and quality and avoid a price war that its small profit cannot bear. For phone orders, the plan of 5 January already includes orders through an app. The owner should begin with phone calls and a simple messaging page, and should check the fee of any delivery app before agreeing. Staff are the limit here, because only four are planned. One of them must be trained to take orders.

CONCLUSION

The owner should absorb the flour rise this month and ask a second supplier for a price. The owner should show VAT on the price tags and keep the bakery's own price. The owner should compete with the new bakery on freshness and watch its prices each week. The owner should begin phone orders within a month, using one trained member of staff.

CHECK

Test the plan against the aim. If the bakery absorbs the flour rise and nothing else changes, profit falls from Tk 60,000 to Tk 57,600. The shortfall is Tk 2,400, which is 4 per cent of Tk 60,000. That is acceptable for one month but not for many months, which is why the second price quote matters. The check also shows that these are judgements. A different owner, with more savings or fewer staff, might choose differently.

The flour rise lifts the sales needed by Tk 2,400, about 1.8 per cent.

Step 3: VAT changes the price the customer sees, not the bakery's sales.

Step 4: the rival and the phone habit need responses from the owner's own side.

The owner absorbs, adjusts, adapts and watches.

Test the plan against the profit aim of Tk 60,000.



SUMMARY

The chapter in a few lines.

The environment of a business is every force, inside and outside, that affects what it does and earns. The inside has four parts: owner, staff, money and culture. The owner can change these by decision, although not quickly. The outside has six forces: economic, social, political-legal, technological, natural and competitive. One small firm cannot command them, but it can learn about them, and it studies them to see chances and dangers early, to plan well and to keep within the law.

What to do with change.

A firm scans the outside regularly, sorts each change by size, nearness and certainty, and decides whether it is an opportunity or a threat. It may absorb, adjust, adapt, act early or influence. Its choice depends on the strength of its own inside. The firm and its environment also shape each other.

THINK IT THROUGH

Problem 1: a rule change and a seasonal fall in sales.

1. A juice cart near a university sells 150 glasses a day at Tk 30 each, and it trades for 30 days a month. A new rule says that juice must be served in paper cups, which cost Tk 2 more per glass than the old cups. In the long break between terms, daily sales fall from 150 glasses to 90. (a) Name the force behind each of the two changes. (b) Find the extra cost per month caused by the new cups. (c) Find the fall in daily sales, in taka, during the break. (d) Suggest one response to each change and say which of the five kinds of response it is.

Problem 2: sorting six events for a tailor's shop.

2. A tailor in Chattogram notes six events in one season. (i) The price of cotton cloth rises by 12 per cent. (ii) A festival is two weeks away. (iii) A large shop selling ready-made clothes opens nearby. (iv) A cheaper electric sewing machine appears in the market. (v) The tailor decides to close at 9 pm instead of 7 pm. (vi) A long flood closes the road to the cloth market. Sort the events into the six outside forces and the internal environment, say which are controllable, and name the event that is both a threat and an opportunity, with your reason.

WHERE PEOPLE GO WRONG

Mistake: thinking environment means nature only.

Environment means nature only. This is the daily meaning of the word. In business, the environment includes every force that affects a firm, such as customers, laws, money and competitors, as well as weather. Nature is only one of the six outside forces.

Mistake: thinking controllable means quick or easy.

Controllable means easy. A force is controllable if the firm can change it by decision. That does not mean the change is quick. Training staff, building a culture of care and raising capital all take time. The owner controls the direction, not the speed.

Mistake: confusing one price rise with inflation.

A rise in one price is inflation. Inflation is a general rise in prices over time. When only flour becomes dearer, a single price has risen. The test is whether prices in general are rising.

Mistake: thinking VAT is the seller's cost or profit.

VAT belongs to the shop. The seller collects VAT from the buyer for the government. It is neither a profit nor, in the usual case, an

IN HISTORY

Jute is a plant fibre grown in the delta of Bengal. For centuries, families there grew, spun and wove it by hand. In the nineteenth century, mills in Dundee in Scotland made jute into sacks and cloth, and much of their raw jute came from Bengal. In 1855 the first jute spinning machinery was installed at Rishra, near Calcutta, and mills in Bengal grew until they became serious rivals of Dundee. A technological force and a competitive force had moved the trade.

Then politics changed the trade. When India was divided in 1947, the farms that grew most of the jute lay in East Bengal, but all 108 jute mills lay in West Bengal. The new East Pakistan had the fibre and no mills. This was a political-legal force, and no grower could change it. The government of Pakistan encouraged new mills in East Bengal in response. Adamjee Jute Mills, at Narayanganj near Dhaka, began production on 19 December 1951, and it grew into the largest jute mill in the world.

Forces kept moving. In the later twentieth century, man-made materials such as polypropylene replaced jute in many sacks and carpet backings, and Adamjee Jute Mills was closed in 2002. More recently, concern for the natural environment has brought new interest in a fibre that breaks down naturally. The story shows all six forces at work on one trade. It also shows that a firm or a country which reads the forces early has time to respond.

A true story of forces that turned a trade over.

A political decision cut the farms off from the mills.

Later forces changed jute again.

REVIEW QUESTIONS

1. Explain what is meant by the environment of a business. Why should the owner of even a small shop study it?

2. Name the four parts of the internal environment taught in this chapter. For each, give one example of how it can strengthen or weaken a firm.

3. Distinguish between a controllable factor and an uncontrollable factor. Give two examples of each for a shop that sells school uniforms.

4. In one year, the price of petrol rises by 12 per cent, but the average price of all goods rises by 4 per cent. Which figure is the rate of inflation? Give your reason.

5. A shirt is priced at Tk 400 before VAT. At a VAT rate of 15 per cent, find the VAT, the price the customer pays and the amount the seller keeps.

6. Describe the six outside forces. Give one example of each for a mobile phone repair shop.

7. What is environmental scanning? Describe three sources a small firm can use.

8. A new factory opens beside a village. Describe two ways in which the factory affects its environment and two ways in which the environment affects the factory.

Question 1 asks for a meaning and a reason.

Question 2 asks for four parts with examples.

Question 3 asks for a difference and examples.

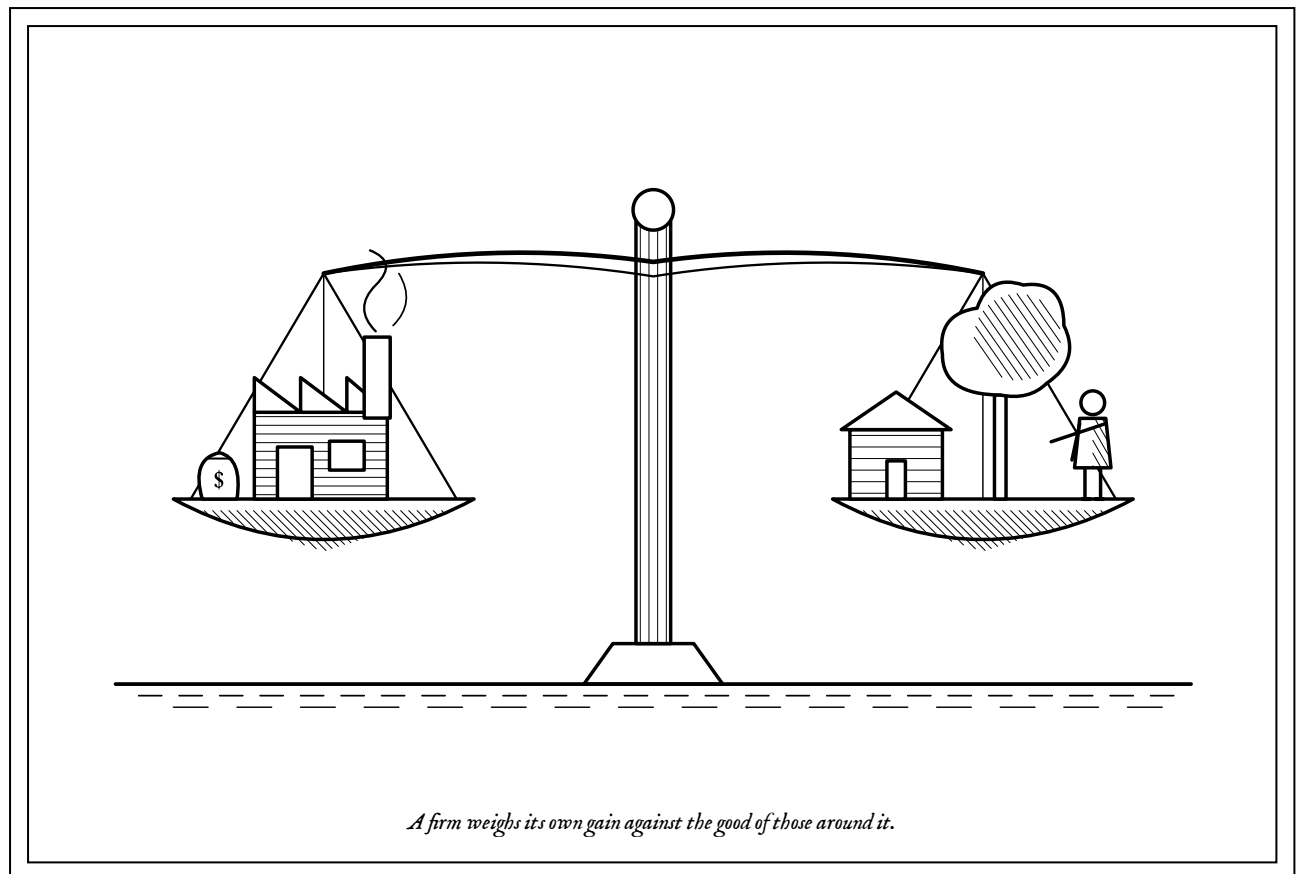
Question 4 tests the idea of inflation.

Question 5 tests VAT with new figures.

Question 6 asks you to describe all six forces.

Question 7 asks for a meaning and sources.

Question 8 asks for effects in both directions.



CHAPTER IV

Responsibility to Society

To whom does a business answer?



A business sells to people, employs people, buys from people and lives beside people. This chapter asks what it owes to each of them, why it owes it, and how an observer can tell a responsible firm from one that only appears to be.

A sweet shop could earn more by using an unsafe colouring that no one would notice.

Almost everyone says she should not, yet nothing forces her.

The answer lies in what a business owes to the people it touches.

The earlier ideas this chapter uses.

A good neighbour has duties that no one pays for.

Social responsibility is the duty to act for the good of the people a firm affects.

Word in use. Social: in daily life, about meeting friends. In business, about people and society as a whole.

Social responsibility. The duty of a business to act for the good of the people and society it affects, not only its owners.

Ethics supplies the ideas of right and wrong behind the duty.

Ethics. Ideas of right and wrong that guide a person's choices.

Duties come in three levels: what the law demands, what ethics asks, and what a firm freely gives.

Consider a small sweet shop in a busy market. Its owner learns that a cheap colouring, not approved for food, makes her sweets look brighter. Brighter sweets sell faster, and she would earn Tk 5,000 more profit each month. No customer would notice the colouring. This is a teaching example and is not part of the bakery case.

Almost everyone says that she should not use it. But ask why. The law does not stand in her shop to check each tray. Her customers cannot taste the difference. Her profit would rise, and profit is one of the aims of a business (Chapter II). So where does the *should not* come from?

The answer is the subject of this chapter. A business does not work alone. It sells to people, employs people, buys from people and lives beside people. What it does reaches all of them, and some of them cannot protect themselves. This chapter asks what a business owes to those people, why it owes it, and how an observer can tell which firms meet their duties.

You will need these ideas from earlier chapters: profit, cost, sales and customer (Chapter I); the aims of a business (Chapter II); and stakeholder, supplier, regulation, tax and VAT (Chapter III).

MEANING AND IMPORTANCE

Think of a good neighbour. A good neighbour does not play loud music at midnight, does not throw rubbish into the lane and helps when someone is ill. Nobody pays the neighbour for this. People accept that living near others brings duties. A business lives among people in the same way.

The name for this duty is **social responsibility**. Social responsibility means the duty of a business to act in ways that are good for the people and the society it affects, and not only for its owners.¹ The sweet shop that uses safe colouring, even though no one would know, is acting with social responsibility.

Behind this duty lie ideas of right and wrong. **Ethics** means ideas of right and wrong that guide a person's choices. Social responsibility is ethics applied to business. An owner who weighs goods honestly, even when the customer cannot check the scale, is guided by ethics and not by fear of a fine.

Not every duty is of the same kind. Some are demanded by law. Some are asked by ethics, although no law demands them. Some are gifts that the firm chooses to give. The table names the three levels and gives a bakery example of each. Read the first column as how strong the duty is: must, should, could.

¹ Many books call the same idea corporate social responsibility, or CSR. This book uses the plainer name social responsibility, and it applies to firms of every size, not only to companies.

THREE LEVELS OF DUTY, WITH A BAKERY EXAMPLE

LEVEL	MEANING	A BAKERY EXAMPLE
Must (legal duty)	A duty that law requires, with a penalty for failure	Follow food safety rules and pass on VAT collected
Should (ethical duty)	A duty that right and wrong ask, though no one may check	Pay staff on time and tell customers the truth about ingredients
Could (voluntary giving)	A gift beyond what law or ethics requires	Give unsold bread to a local shelter

The levels are not fixed. Many duties began as ethical ideas and later became law, once enough people agreed that the harm was too great to leave to conscience. Law also differs from country to country. So a firm that asks only whether an act is legal has asked the smallest question. The larger questions are whether the act is honest, fair and safe for the people it reaches.

Four features describe social responsibility. It is wide, because it reaches every group a firm affects. It is often voluntary, because law covers only the lowest level. It is long-term, because trust and harm both build up slowly. And it is scaled to means, since a small bakery and a large factory cannot give the same amount. Keeping these four features in mind prevents two common errors: thinking that duty is only law, and thinking that it is only generosity.

Why should a firm accept such duties? The first reason is that a firm takes from society. Its workers were raised and taught by families and schools. Its customers reach it by public roads. It trades in conditions of peace that others keep. A firm that takes all this and gives nothing back is like a guest who eats and never thanks the host.

The second reason is trust. **Reputation** means what people in general believe about a firm's honesty and quality. A bakery known for clean kitchens and fair weights keeps its customers even when a rival charges less. Reputation takes years to build and a day to lose. Staff also prefer to work for a firm they respect, and suppliers prefer to deal with a firm that keeps its word.

The firm itself gains in several ways, though gain is not the reason to be responsible. Customers who trust a firm return and tell others. Staff who feel fairly treated stay longer, so the firm spends less on finding and training new people. Suppliers who are paid on time offer better terms. A firm that follows the law avoids fines and sudden closure. Each gain is a saving of money or worry that an irresponsible firm never enjoys.

Responsibility matters to society as well. It protects people who cannot protect themselves: customers who cannot test goods, and workers who need the job too much to refuse unsafe work. It also keeps the market fair. If honest firms must compete with firms that cheat, the honest firms lose. When all firms follow the same duties, honesty stops being a disadvantage.

There are arguments on the other side, and they deserve a fair hearing. Owners may say that duties cost money that belongs to

The levels move over time and differ from place to place.

Social responsibility has four features: it is wide, often voluntary, long-term and scaled to means.

Society lends a firm its workers, roads and peace, so the firm owes something back.

A firm's good name is worth money, and it is built by how the firm treats people.

Reputation. What people in general believe about a firm's honesty and quality.

Responsible conduct brings the firm loyal customers, steady staff and fewer disputes.

Responsibility also protects weaker people and keeps the market fair.

Some owners reply that duties cost money and belong to the government

Profit and responsibility can pull apart today but often agree over time.

GO SLOWLY HERE.

The sweet shop's shortcut gains Tk 60,000 in a year and may lose far more.

If a duty is done only when it pays, it is not really a duty.

Rule of thumb: first obey the law, then avoid harm, then give within means.

Check the idea with one small calculation.

Recap of the section.

Four groups come first: customers, employees, the community and government.

And government cannot be everywhere. It cannot watch every tray of sweets, so it relies on firms to behave well when no one is looking. The question is therefore not whether a firm has duties, but how large they are for a firm of its size and means.

Now meet the hardest idea of the chapter. Chapter II said that a business has economic aims, such as profit, and social aims, such as service to people. Sometimes they seem to conflict. Use an everyday bridge. A farmer who never rests the land gets a big crop this year and poor soil next year. The short run and the long run give different answers. A business is in the same position.

Return to the sweet shop with small numbers. The unsafe colouring gains Tk 5,000 a month, which is Tk 60,000 in a year. Suppose it is discovered. Customers leave, and profit falls by Tk 20,000 a month for six months, which is Tk 1,20,000. The shop also faces fines and perhaps closure. The shortcut loses more than it gained, even before the fines. These figures are assumed, but the pattern is common: harm to people tends to return as harm to the firm.

But take care. Do not conclude that responsibility is only a clever way to earn profit. Sometimes a duty costs money and brings nothing back that can be counted. A firm that is honest only when honesty pays is not honest. Responsibility means accepting a lower profit when the duty is real. The reconciliation is partial: many duties pay in the long run, and some only cost. A responsible owner accepts both.

When aims seem to conflict, an owner can use an order of questions. First, does the law require this? Then it must be done. Second, does the act harm someone who cannot protect themselves? Then it should be avoided or put right. Third, can the firm afford a gift or a kindness? Then it may give, in proportion to its means. *You should now be able to say:* a firm that harms people to gain profit today often loses more profit later, but a real duty must be kept even when it costs.

Pause and check. A shop spends Tk 2,000 a month on a safety check, and its monthly profit is Tk 40,000. What share of the profit does the check cost? (The answer is at the back of the book.)

Before moving on. Social responsibility is the duty of a firm to act for the good of the people it affects. Duties are of three levels: must, should and could. Firms accept them because they take from society, need trust and protect weaker people. Profit and responsibility often agree over time, but a real duty does not depend on that.



DUTIES TO CUSTOMERS, EMPLOYEES, COMMUNITY AND GOVERNMENT

Chapter III defined a stakeholder as a person or group affected by a business or able to affect it. This section takes four stakeholders that every firm has: customers, employees, the people who live nearby and the government. The next section takes suppliers and

should sell goods that are safe, correctly described, correctly weighed and fairly priced.

The worst failure is adulteration. **Adulteration** means mixing something cheap, impure or harmful into food or goods. The unsafe colouring in the opening puzzle is an example. Adulteration is dangerous because the customer cannot detect it, and the harm may appear days or years later. For that reason it is punished by law in Bangladesh.²

The shield that guards customers has a name. **Consumer protection** means protecting customers from unsafe goods, false claims and unfair practices, by law and by the firm's own rules. A firm contributes to it in everyday ways: it labels ingredients, shows prices in plain sight, states the date on fresh goods and handles complaints politely and quickly.

Two tests come up most often. The first is honest quantity. Suppose a packet sold as 500 grams holds 450 grams. At Tk 100 a packet, the customer pays Tk 100 for goods worth Tk 90, a loss of Tk 10 on each packet. Over 200 packets, the seller gains Tk 2,000 from a cheat that no customer will notice. The second test is honest claims. A bakery that advertises *baked fresh daily* must bake fresh daily. A false claim deceives customers who rely on it.

Price raises a further duty. A fair price covers the seller's cost and a reasonable profit. It does not take advantage of a shortage. Suppose rain floods the roads and bread is scarce. A seller who holds back stock to raise the price later, or who doubles the price on the same day, takes advantage of customers who have no other choice. Law may forbid such acts, but ethics forbids them even where law is silent.

The duty does not end at the counter. A responsible firm replaces goods that are faulty, answers complaints without anger and tells customers about any danger it later discovers. Customers also have a part to play. They should check goods, keep receipts and report cheating. But since the seller knows more than the buyer, most of the duty falls on the seller.

DUTIES TO EMPLOYEES

Employees give their time and effort to the firm, and many depend on the wage for their living. This creates duties. The firm should pay fair wages on time, provide a safe place to work, keep hours reasonable, treat people with respect and give them the chance to learn. It should never make children do harmful work. Employees should also be able to raise a problem without fear of losing the job.

Look at this from the employee's seat. A worker paid every day or month often spends the money before it arrives, on food and rent. A wage that comes two weeks late forces a loan or an empty plate. A bakery oven can burn, and flour dust and heat tire the body. Gloves, a fire extinguisher and a clear exit cost little. A worker

² In Bangladesh, the Consumers' Right Protection Act, 2009 deals with adulteration of food, misleading advertisements and short weight, among other practices. Rules and penalties change, so check the current text before quoting them.

Adulteration harms customers in ways they cannot see.

Adulteration. Mixing something cheap, impure or harmful into food or goods.

Consumer protection is the shield for customers, built by law and by the firm's own rules.

Consumer protection.

Protecting customers from unsafe goods, false claims and unfair practices, by law and by firms' own rules.

Honest weights and honest claims are the commonest tests.

A fair price excludes hoarding and overcharging in times of shortage.

After the sale, a responsible firm still listens to the customer.

Employees depend on the firm for their living, so the firm owes them fair terms.

Late wages and unsafe work harm people who cannot easily leave.

Some duties scale with the firm's means; basic safety does not.

The community is the people living and working near the firm.

Community. The people who live and work near a business.

A cost that falls on neighbours is still a cost of the firm's activity.

Pollution and sustainability name the harm and the remedy.

Pollution. Harm to air, water or land caused by waste or smoke.

Sustainability. Using resources in a way that leaves enough for people in the future.

The firm that causes harm should bear the cost of preventing it.

Communities also benefit when firms give back in useful ways.

A firm must obey laws, hold its licences and keep honest records.

Honest records mean the taxes are counted truthfully.

Here is an important exception. Some duties depend on what a firm can afford. A very small bakery cannot offer the training course that a large firm can. But some duties do not scale. Basic safety, wages that are paid and honest treatment cannot be reduced because a firm is small. A firm that cannot meet these should not employ people until it can.

DUTIES TO THE COMMUNITY

The people nearest to a firm are its community. A **community** means the people who live and work near a business. A bakery gives jobs to local people, buys from local shops and brings customers to the street. But it also makes noise at dawn, sends out smoke from its oven and produces waste. The community feels all of this, whether or not it is a customer.

Take a new setting, a small dyeing workshop beside a canal. It is a teaching example and is not part of the bakery case. The owner lets dirty water run straight into the canal and saves the cost of treating it. The saving is the owner's. But fish die, and families downstream can no longer wash or bathe in the water. The cost has not vanished. It has moved from the firm to the neighbours, who did not choose it and cannot refuse it.

The harm in the canal is **pollution**, which means harm to air, water or land caused by waste or smoke. The remedy is a way of working called **sustainability**, which means using resources in a way that leaves enough for people in the future. A bakery can practise it by wasting less flour, using energy carefully and disposing of rubbish properly. The workshop should treat its water before it leaves the premises.

Who should pay for clean water? The simple answer is the firm that dirtied it. Suppose treating the workshop's water costs Tk 4,000 a month. If the owner refuses, the neighbours pay in sickness and lost fish, and their cost is far greater than Tk 4,000. If the firm pays, the price of its cloth rises slightly, and the people who buy the cloth share the cost. This is fairer than leaving the burden on neighbours who never chose it.

A firm may also give something back in a positive way. It can hire local people, buy from local suppliers, support a school's needs or give unsold bread to people without food. These are mostly voluntary gifts, at the *could* level of the table. They are valued most when they come from a firm that has already met its duties at the *must* and *should* levels.

DUTIES TO GOVERNMENT

The government makes the rules under which all firms work, so a firm owes it obedience and honesty. The firm should obey the law, hold the licences its trade needs, keep honest records and pay the taxes it owes. The tax duty is exact. In Chapter III, a bakery that adds Tk 15 of VAT to a Tk 100 loaf must pass the Tk 15 to government. That money never belonged to the bakery.

Honest records matter as much as honest payment. Suppose the bakery sells 200 loaves in a day at Tk 100 before VAT. At 15 per

are for sale. The firm that refuses may wait longer, and that cost is part of the duty.

This duty does not silence the firm. A firm may disagree with a rule and may say so, for example through a trade body (Chapter XII). It may ask for fair treatment. What it may not do is evade the rule in secret. Open argument is part of a healthy relation with government. Secret evasion is not.

Before moving on. Customers are owed safe, honest, fairly priced goods, and consumer protection is the shield for them. Employees are owed fair pay, safe work and respect. The community is owed freedom from pollution and a sustainable use of resources. Government is owed obedience, honest records, taxes in full and refusal of bribes.



DUTIES TO SUPPLIERS, INVESTORS AND OTHERS

A supplier is a person or business that sells goods or services to another business (Chapter III). The first duty to a supplier is to pay what is agreed, on the day it is agreed. Consider the flour supplier of the case file. The bakery buys flour worth Tk 32,400 a month. If the bakery pays after 30 days, the supplier has Tk 32,400 of bills unpaid at any time. If it pays after 90 days, the supplier waits for three months of bills, which is Tk 97,200. The extra Tk 64,800 is money the supplier needs to buy more flour.

A small supplier often cannot afford to wait or to argue. Other duties follow from this. The buyer should order honestly and not cancel orders without reason. It should pay a fair price and not squeeze the supplier below its cost. It should keep its promises. In return, the supplier owes the buyer goods of the quality agreed. The relation is one of mutual duty, though the stronger party carries more of the burden.

Now the people who put money in. An **investor** is a person who puts money into a business in the hope of a return. Owners are investors, and so are lenders such as banks. The firm owes investors honest accounts, careful use of their money, repayment of loans with interest on time and a fair share of the profit. At present the bakery has one investor, its owner, but later chapters introduce partners and shareholders, who need the same honesty.

Suppose a bank lends a firm Tk 5,00,000 at 10 per cent interest a year. The yearly interest is Tk 50,000. The bank decides to lend by reading the firm's accounts. If the accounts overstate the firm's profit, the bank is misled and may lend more than the firm can repay. The same is true of a partner or shareholder who buys a share on the strength of false accounts. Honest accounts are therefore a duty to everyone who relies on them.

Other stakeholders matter too. Competitors are owed fair play. A firm should not tell false stories about a rival's goods, copy its trademark or spread rumours about its kitchen. The wider public is owed truth. A firm should not mislead people about its goods or its record, and should be ready to answer questions from those who

Firms may speak to government, but through honest channels.

Recap of the section.

Suppliers are small businesses too, and late payment can break them.

Other duties to suppliers: honest orders, fair prices and kept promises.

Investors put money into a firm and trust it to use it well.

Investor. A person who puts money into a business in the hope of a return.

Honest accounts let lenders and owners judge the firm correctly.

Competitors are owed fair play, and the public is owed truth.

WHO A FIRM ANSWERS TO

STAKEHOLDER	WHAT IT WANTS	WHAT THE FIRM OWES
Owners and investors	A fair return and safe money	Honest accounts, careful use, fair profit share
Employees	Fair pay, safe work, respect	Wages on time, safe conditions, training
Customers	Safe, honest goods at a fair price	True claims, correct weights, complaint handling
Suppliers	Prompt payment, steady orders	Payment on agreed days, fair prices
Community	Quiet, clean surroundings; local benefit	No pollution, careful waste, local jobs
Government	Obedience, honest taxes	Licences, accurate records, no bribes
Competitors	Fair competition	No false claims about rivals

Duties can pull against each other, and no formula settles every case.

Recap of the section.

The duties can pull in different directions. A wage rise helps staff but may lead to higher prices for customers. Paying suppliers early helps them but reduces the firm's cash. No formula settles every case. The order of questions from Section 1 helps: law and safety first, promises made second, gifts last. After that, the owner must use judgement, and two honest owners may judge differently.

Before moving on. Suppliers are owed payment on agreed days and fair dealing. Investors are owed honest accounts and careful use of their money. Competitors are owed fair play, and the public is owed truth. Duties sometimes conflict, and judgement is needed.



RECOGNISING A RESPONSIBLE FIRM

Talk is cheap, so an observer needs signs that cannot be faked easily.

A code of conduct states in writing how people in the firm must behave.

Code of conduct. A written set of rules about how people in a firm must behave.

An audit checks whether the firm's work meets its standards.

Word in use. Audit: in daily life, a check. In accounting, an examination of accounts by an independent person.

How can an outsider tell whether a firm is responsible? A firm may say that it cares. Talk costs nothing. The observer needs signs that are hard to fake: what the firm does every day, how it treats those who cannot complain, and whether it keeps to its promises when keeping them is costly.

One sign is a written standard. A **code of conduct** means a written set of rules about how people in a firm must behave. It may say that staff must wash hands before handling food, must not accept gifts from suppliers and must treat customers politely. A code helps only if people know it, follow it and see the owner follow it. A code in a drawer is not a sign of anything.

A second sign is regular checking. An **audit** means a careful check of whether work, goods or records meet agreed standards. A hygiene audit, for example, inspects the kitchen against a list of rules. Audits are strongest when done by someone outside the firm, who has no reason to hide a fault. In later accounting chapters, you will meet the audit of financial accounts.

A CHECKLIST FOR JUDGING A FIRM

QUESTION	SIGN OF A RESPONSIBLE FIRM	SIGN OF AN IRRESPONSIBLE FIRM
Does it obey the law?	Holds licences, pays taxes in full	Hides sales, avoids rules
Is it honest with customers?	True claims, correct weights	Short weight, false claims
How does it treat staff?	Wages on time, safe work	Late wages, unsafe work
How does it treat suppliers?	Pays on agreed days	Delays payment without reason
Does it care for the local area?	Handles waste, limits noise and smoke	Dumps waste, ignores complaints
Is it open?	Answers questions, admits and corrects faults	Hides faults, punishes those who report them

Several people are in a position to check. Customers see the goods and the shop. Staff see the daily treatment of workers. Neighbours see the smoke and the noise. Government inspectors check licences, hygiene and weights. The press can report a failure. Trade bodies (Chapter XII) may require members to follow rules. A firm that is open to such checking, and answers complaints, is more likely to be honest than one that hides.

Many different people can check a firm, not only inspectors.

Be careful with showy signs. A firm may give a large gift to a school and advertise it loudly, while paying staff late and burning waste near homes. This is show without substance. A large gift does not cancel a daily harm. The test is the daily routine, not the occasional display. It follows that the checklist should be applied to ordinary days.

A gift without daily honesty is show, not substance.

Judge a firm in proportion to its means. A bakery with four staff cannot sponsor a hospital, and no one should expect it to. But it can pay on time, keep its kitchen clean and refuse to cheat. Small size excuses small gifts. It does not excuse harm or dishonesty. *You should now be able to say:* a responsible firm is one whose daily conduct, checked by someone able to see it, meets its duties to the people it affects.

Judge a firm by its means, and never excuse a failure of safety or honesty.

Before moving on. A responsible firm shows signs in daily conduct: a code that is followed, regular checks, and honest treatment of every stakeholder. Large gifts do not replace daily honesty. A firm is judged in proportion to its means, but never excused on safety or honesty.

Recap of the section.



A WORKED CASE: THE BAKERY'S POLICY IN APRIL 2026

Case file, illustrative. On 6 April 2026, the owner of the bakery adopts three actions. First, pay every supplier within 30 days. Second, pay for a hygiene audit of the kitchen each month, at Tk

The owner adopts three actions on 6 April 2026.

The case asks who each action serves, what it costs and whether the plan fits the profit aim.

QUESTION

Whom does each action serve? Which level of duty is each: must, should or could? What do the three actions cost each month? Does the plan fit the profit aim?

Step 1: each action serves a different stakeholder.

REASONING

Step 1 is to match each action to a stakeholder. Paying within 30 days serves the suppliers. The hygiene audit serves the customers. The weekly gift serves the community. Each of the three serves a different one, so the plan does not leave one group out.

Step 2: place each action on the three levels of duty.

Step 2 is to place each action on the three levels. The hygiene audit is partly *must*, because food safety rules apply, and partly *should*, because the monthly check goes beyond what any inspector will ask. Paying within 30 days is *should*, because it follows from a promise of fair dealing. The weekly gift is *could*, because no law or ethical rule demands it.

Step 3: add up the monthly costs.

Step 3 is cost. The audit costs Tk 3,000 a month. Paying suppliers on time has no direct cost, although the firm needs enough cash on the due date. For the gift, the ingredients are already paid for, and the loaves would otherwise be thrown away, so the extra cost is only Tk 200 a week. Over four weeks, that is Tk 800. The table collects the figures.

MONTHLY COST OF THE THREE ACTIONS

ACTION	STAKEHOLDER SERVED	LEVEL OF DUTY	MONTHLY COST
Hygiene audit	Customers	Must and should	Tk 3,000
Pay suppliers in 30 days	Suppliers	Should	Nil (cash needed)
Weekly gift of 20 loaves	Community	Could	Tk 800
Total			Tk 3,800

Step 4: the extra cost raises the sales needed to reach the profit aim.

Step 4 is the effect on the profit aim. Chapter III gave the sales test: rent, flour and the profit target. With the flour rise, sales needed were Tk 1,37,400. Adding Tk 3,800 of new cost gives Tk 1,41,200. The test rises by 2.8 per cent, because Tk 3,800 divided by Tk 1,37,400 is about 0.028. As before, other costs such as staff and gas are left out to keep the test simple.

Adopt all three, in an order of priority if money becomes short.

CONCLUSION

The owner should adopt all three actions. If cash becomes short, the order of priority is the order of the levels. The hygiene audit comes first, because it protects customers from harm. Paying suppliers on time comes second, because it keeps a promise to small businesses. The gift comes last, because it is voluntary and can be reduced without breaking any duty.

CHECK

Test the plan against the profit aim.

If sales and other costs stay as they are, profit falls from Tk 60,000

be worth money over time. A different owner might weigh the figures differently.



SUMMARY

Social responsibility is the duty of a business to act for the good of the people and society it affects. Duties are of three levels: must, should and could. Firms accept them because they take from society, need a good reputation and protect weaker people. Profit and responsibility often agree over time, but a real duty must be kept even when it costs.

A firm owes safe, honest goods to customers, fair pay and safe work to employees, clean surroundings to the community, obedience and honest taxes to government, prompt payment to suppliers, honest accounts to investors and fair play to competitors. A responsible firm can be recognised by its daily conduct, its written code and its regular checks, and not by one large gift.

The chapter in a few lines.

Whom the firm owes and how to recognise it.

THINK IT THROUGH

1. A printing press stands among homes. Running its machines at night earns Tk 30,000 extra profit a month, but the noise keeps neighbours awake. Sound screens cost Tk 1,20,000 once and would remove the noise. (a) Name the stakeholders affected. (b) At which level of duty is the problem: must, should or could? (c) How many months of the extra profit would pay for the screens? (d) What would you advise, and why? (e) What would you advise if the screens cost Tk 12,00,000?

Problem 1: a printing press with noisy night shifts.

2. A garment trader gives a large gift to a school each year and publishes it online. Staff are paid up to 45 days late. Goods are sold with correct weights. Taxes are paid on time. Waste cloth is burnt behind the shop, and the smoke enters neighbours' homes. Use the checklist table to mark each of the six rows as a responsible or irresponsible sign. State your overall judgement and suggest two changes.

Problem 2: judging a garment trader with the checklist.

WHERE PEOPLE GO WRONG

Social responsibility means giving money to charity. Giving is only the *could* level. A firm that gives generously but cheats customers or pays staff late is not responsible. Honest daily conduct comes before gifts.

Mistake: thinking responsibility means giving to charity.

If it is legal, it is responsible. Law is the smallest level of duty. Many harmful acts are not illegal, and law differs from place to place. Ethics asks whether the act is honest, fair and safe.

Mistake: thinking that what is legal is enough.

Responsibility is only a way to earn profit, or responsibility is only a cost. Neither is true. Many duties pay in the long run, and some only cost. A real duty is kept in both cases.

Mistake: believing responsibility is only a way to earn profit, or that it only costs.

Only large firms have duties. A small firm has the same duties of honesty and safety as a large one. Only its gifts and extras are

Mistake: thinking that only large firms have duties.

A true story of a failure of duty and what followed.

The response showed that duties can reach beyond one firm.

Question 1 asks for a meaning and a contrast.

Question 2 asks for reasons.

Question 3 asks you to weigh both sides.

Question 4 asks for duties to one stakeholder.

Question 5 asks for a meaning and examples.

Question 6 tests honest weights with new figures.

Question 7 asks for two further stakeholders.

Question 8 asks for signs and a judgement.

IN HISTORY

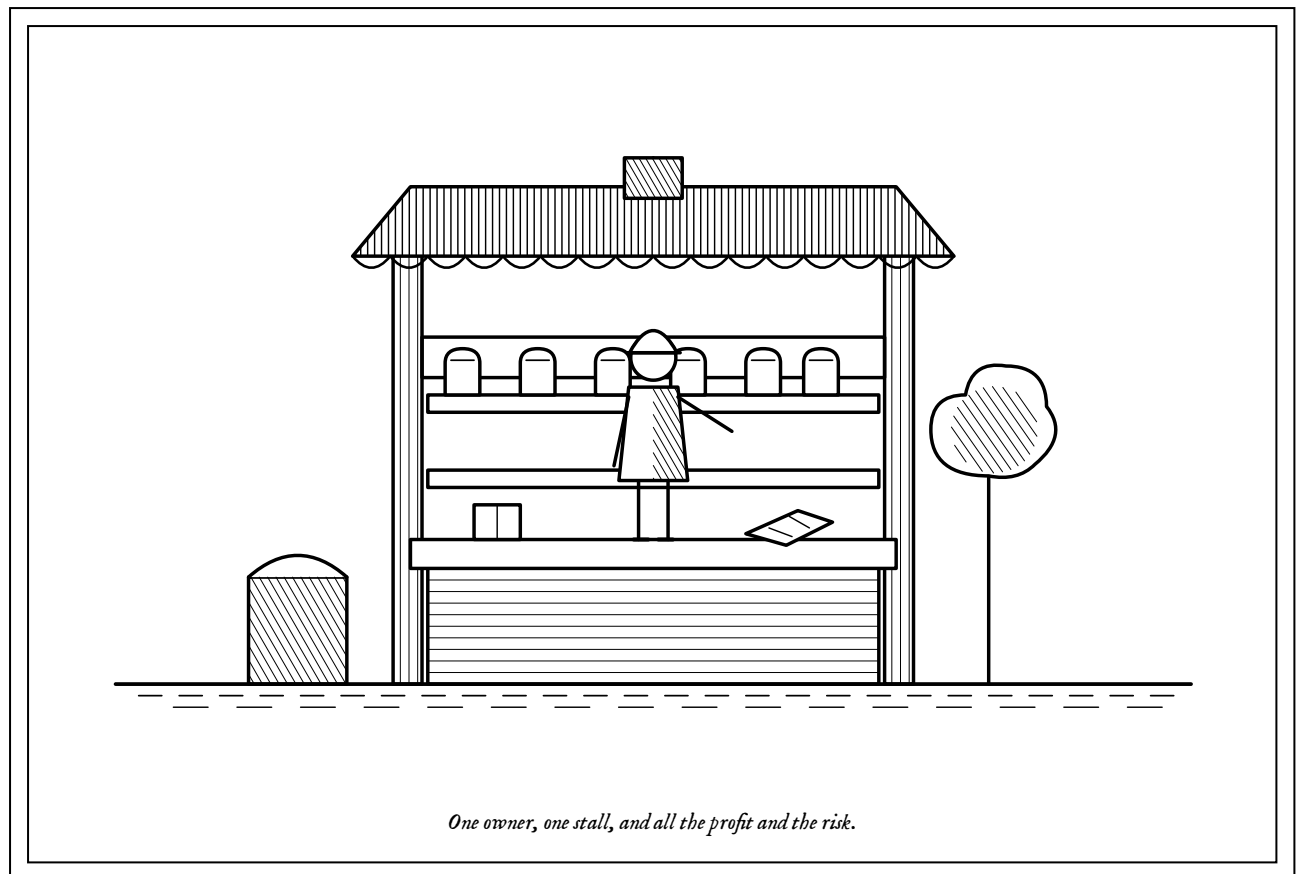
On the morning of 24 April 2013, an eight-storey building called Rana Plaza collapsed in Savar, near Dhaka. It housed five garment factories. More than 1,100 workers were killed and about 2,500 were injured.³ Deep cracks had been found in the walls the day before. Other businesses in the building sent their people out. The garment workers, who were afraid to enter, were told to return to work. It was a failure of duty to employees, and of the building and safety rules that were meant to protect them.

In May 2013, the month after the collapse, many foreign brands and retailers, together with trade unions, signed a legally binding agreement called the Accord on Fire and Building Safety in Bangladesh. It required independent safety inspections with public reports and repairs where factories were unsafe. More than 190 brands had signed by its 2018 update. In 2021 the Accord became a wider agreement, the International Accord for Health and Safety in the Textile and Garment Industry. The story shows that the duty for workers' safety lies with owners, with those who buy from them and with government. Safety work did not end in 2013, and it still needs watching.

REVIEW QUESTIONS

1. Define social responsibility. How does it differ from a duty that law requires?
2. Explain why a business should accept duties to society. Give at least three reasons.
3. Give two arguments that a business should accept social duties and two arguments against. Say which side you find stronger and why.
4. A factory employs 20 workers. Describe the duties it owes them.
5. What is consumer protection? List four ways a food seller can protect its customers.
6. A grocer sells 1 kg packs of rice at Tk 150, but each pack holds only 920 g. Find the value of the rice the customer receives and the customer's loss on each pack.
7. Describe the duties a business owes to its suppliers and to its investors.
8. List five signs by which a responsible firm can be recognised. Explain why a large gift alone is not enough.

³ Sources give slightly different numbers of deaths, from about 1,130 to 1,140. This book says more than 1,100.



CHAPTER V

Choosing a Form of Ownership; The Sole Proprietorship

Who owns the business, and who pays when it fails?



Every business belongs to someone, and the way it belongs decides who has power, who takes profit and who answers for debt. This chapter surveys the main forms of ownership and then studies the simplest form in full: ownership by one person.

A failed shop owes more than it owns, and someone must pay the difference.

The answer lies in a choice made on the first day, not on the day of failure.

This chapter uses ideas from Chapters I and II.

The same shop can be owned in different ways, and the way changes the rules.

Form of ownership. The legal way a business is owned and controlled.

Six questions reveal the difference between any two forms.

Five forms exist; this table is only a map to the chapters that teach them.

Picture a small bakery that has failed, in a town far from Dhaka. Its oven, tables and trays are sold, and together they bring Tk 3,00,000. The bakery owes Tk 5,00,000 to flour sellers and to a bank. Two lakh taka remain unpaid. Who must find that money? The flour sellers may have to accept a loss. The bank may have to accept a loss. Or the baker may have to pay from savings, from a plot of land, even from the family home.

Nothing in the shop itself tells us which answer is right. The answer lies in a decision the baker made long before: how the business would be owned. One business can be owned in several ways, and each way shares out profit, power and debt differently. This chapter surveys the main ways and then studies the simplest one. By the end you will be able to say who must pay the missing Tk 2,00,000, and why.

You will need. From Chapter I: owner, profit, loss, risk and entrepreneur. From Chapter II: capital and the four factors of production. Chapter III and Chapter IV are not needed, though the bakery's figures from them appear once in the worked case.

WHY THE FORM OF OWNERSHIP MATTERS

Our bakery from Chapter I could be owned in three different ways. One person could own it alone. Two friends could own it together. Or a hundred people could each own a part. The oven, the recipes and the customers would be the same in all three cases. What would change is the set of rights and duties that the owners hold. We call this set the **form of ownership**: the legal way a business is owned and controlled.

To compare forms fairly, we ask the same six questions of each one. First, who owns the business? Second, who takes decisions? Third, who receives the profit and who bears the loss? Fourth, who must pay what the business owes? Fifth, how can the business raise more capital? Sixth, what happens to the business when an owner leaves or dies? The fourth question is the one that troubled our failed baker, and Section 2 teaches it with care.

The table below lists the five main forms found in Bangladesh. Read each row from left to right: the form, the people who own it, and the chapter where it is taught. The table is a map, not a lesson. Do not try to learn the later forms now.

FIVE MAIN FORMS OF OWNERSHIP

FORM	OWNED BY	TAUGHT IN
Sole proprietorship	One person	This chapter
Partnership	Two or more people who agree to run it together	Chapter VI
Joint stock company	Many people, each owning a part of it	Chapter VII
Cooperative society	Members who join to help one another	Chapter VIII
State enterprise	The government, for the public	Chapter VIII

Before moving on. A form of ownership is the legal way a business is owned. We compare forms with six questions. Five forms exist, and this chapter teaches the first.

Recap: form of ownership answers who owns, decides, profits and pays.

THE SOLE PROPRIETORSHIP

MEANING

The simplest way to own a business is to own it alone. A **sole proprietorship** means a business that one person owns and controls.¹ The word *sole* means *only*. The tea stall of Chapter I was a sole proprietorship. So is a tailor who works from a rented room, and so is our bakery from the day it opens on 1 March 2026.

The simplest way to own a business is to own it alone.

Sole proprietorship. A business that one person owns and controls.

The word *sole* describes ownership, not staffing. A sole proprietorship may have no helpers, or it may have many. Our bakery has four staff and one owner. The owner is the entrepreneur of Chapter I: the person who brings together land, labour and capital, and who accepts the risk. Often the owner also does part of the work, such as baking or serving.

Sole describes the owner, not the staff; many such firms have employees.

The law treats the firm and its owner as one person. A sole proprietorship has no separate legal existence apart from the person who owns it.² If the firm signs a contract, the owner signs it. If the firm owes money, the owner owes it. This single fact explains the most important feature of the form, which we meet below under the heading of liability.

In law, the firm and its owner are one and the same person.

ALL THE PROFIT AND ALL THE LOSS

No one else shares in the business, so no one else shares in its results. Recall the tea stall of Chapter I. On a good day it earned a profit of Tk 300, and on a poor day it made a loss of Tk 100. Both numbers belonged to the owner alone. This gives the owner a strong reason to work hard, because every extra taka of profit is the owner's. It also leaves the owner with no one to share a bad month.

The owner keeps every taka of profit and also bears every taka of loss.

UNLIMITED LIABILITY

This idea is new and important, so we take it one step at a time. Begin at home, not in business. Suppose you borrow Tk 1,000 from a neighbour. The money you must pay back is a **debt**, and the neighbour who lent it is your **creditor**. A debt means money that one person must pay to another. A creditor means a person to whom money is owed.

We begin with ordinary life: a small loan from a neighbour.

GO SLOWLY HERE.

Debt. Money that one person must pay to another.

Creditor. A person to whom money is owed.

Now suppose you spend the Tk 1,000 on goods for a small stall, but the goods sell for only Tk 600. Your plan has failed, yet the debt is still Tk 1,000. You pay Tk 600 from the sales. You must pay the other Tk 400 from your own pocket. The neighbour does not care that the stall failed. The neighbour cares only that the debt was agreed

You must repay a debt even if the plan for the money fails.

¹ Some books say *sole trader* or *sole proprietor* for the same idea. This book uses *sole proprietorship* for the form and *owner* for the person.

² In Bangladesh a sole proprietorship is not a separate legal entity, and its licence is issued in the owner's name. Chapter VII shows the opposite case: a company, which law treats as a person of its own.

Liability is the legal duty to pay a debt.

Liability. A legal duty to pay a debt. Word in use: in daily life it can mean blame; here it means only the duty to pay.

Unlimited liability. A duty to pay all the firm's debts, using the owner's own property if the firm's things are not enough.

The sole proprietor's duty covers all the firm's debts and reaches the owner's own property.

In the opening puzzle, the baker must pay the missing Tk 2,00,000.

Unlimited does not mean the debt is unlimited; it means the reach is.

Pause and check: apply the shortfall rule to new numbers.

You should now be able to state the rule in one sentence.

One owner means quick decisions, but also no one to share the work.

The firm can grow only as far as the owner's money and skill allow.

The firm has no life apart from its owner.

The law has a word for this duty to pay. **Liability** means the legal duty to pay a debt. A person who has liability for a debt can be made to pay it, by a court if necessary. In this book the word never means blame. It means only the duty to pay.

Now return to business. In a sole proprietorship the firm and the owner are one person. So the firm's debts are the owner's debts. The creditors are paid first from the things the business owns. If that is not enough, they may claim the owner's own property as well. We call this **unlimited liability**: the owner's duty to pay all the firm's debts, with no limit set by the size of the business.

Now we can answer the puzzle that opened this chapter. The failed bakery owned things worth Tk 3,00,000 and owed Tk 5,00,000. The shortfall was Tk 2,00,000. If the bakery was a sole proprietorship, the baker must pay that shortfall from personal property, such as the plot of land. Some other forms of ownership protect the owner's personal property from business debts. Chapter VII teaches this protection, which is called limited liability. A sole proprietorship has no such protection.

There is a common confusion here. Unlimited liability does *not* mean that the owner owes more than the debts. The debts stay exactly what they were: Tk 5,00,000 in our example, no more. What is unlimited is how far the creditors may reach to collect it. Which personal property can be taken is set by law and by a court, so a real owner in trouble should seek advice from a lawyer.

Pause and check. A grocer's sole proprietorship owes Tk 60,000. The shop's things can be sold for Tk 40,000. The grocer owns other personal property worth Tk 50,000. How much must the grocer pay from personal property, and how much personal property remains? (*Answer at the back of the book.*)

You should now be able to say: "If a sole proprietorship cannot pay its debts from the business's own things, the creditors may claim the owner's other property."

CONTROL, SIZE AND LIFE

The owner decides alone. A grocer who sees that rice has become cheaper can lower the price within minutes, with no meeting and no vote. The same freedom means that every decision, good or bad, is the owner's own. There is also no second person to ask.

The firm's size is limited by what one person can supply. The capital comes mainly from the owner's own savings, with perhaps some borrowing. The skill and the hours come from the owner too. Large amounts of capital and large teams are therefore rare in this form.

The firm's life is tied to the owner's. If a tailor falls ill for six months and has no one to run the shop, the business stops earning. If the owner dies, the firm in law ends, though family members may start a new firm with the same shop and tools. A firm with more owners can continue when one of them leaves, as Chapter VI shows.

Before moving on. Remember four facts: one owner; the owner takes all profit and all loss; the owner has unlimited liability; the firm's life is tied to the owner.

Recap: one owner, all profit and loss, unlimited liability, and a short life.

MERITS, LIMITS AND SUITABLE FIELDS

MERITS

This form is the easiest to start. The owner needs money, a place and a trade licence, which Section 4 describes. No one else must agree, and no long agreement must be written. A person with Tk 50,000 and a skill can open within days. For this reason it is the form that most new traders choose first.

The form is cheap and quick to start.

Decisions are fast and flexible. The owner can change the menu, the price or the opening hours at once. A bakery owner who sees that customers want brown bread can bake it tomorrow. Larger forms often need meetings and agreement before such changes.

One owner means fast and flexible decisions.

The owner keeps all the profit. This gives a strong reason to work carefully, to waste little and to serve customers well. A paid manager may feel less urgency, because the profit is not the manager's.

The owner keeps all the profit, which gives a strong reason to work well.

The owner often serves customers in person. A shopkeeper who knows each customer's taste and treats each fairly earns trust. That trust is called **goodwill**: the value of a firm's good name and its loyal customers. Goodwill belongs entirely to the owner. If the owner sells the shop, a buyer may pay extra for the goodwill.

Close contact with customers builds a good name.

Goodwill. The value of a firm's good name and loyal customers. Word in use: in daily life, a kind feeling; in business, a good name that has a money value.

A sole owner need not share plans or results with co-owners, because there are none. The business can try a new idea quietly. The owner must still give the tax office what the law requires, but no partner or shareholder has a right to see the books.

Plans stay private to the owner.

LIMITS

The main limit is capital. A firm that wants to grow needs more money, and one person's savings run out. Lenders also hesitate, because a small firm with one owner has little to offer as proof that it will repay. Our bakery began with Tk 12,00,000 of the owner's own savings. That is enough for one shop. It does not allow a second shop without more money from somewhere else.

Capital is limited to the owner's savings plus what lenders will give.

Unlimited liability is the second limit. As Section 2 showed, a firm that fails can take the owner's land, savings and other property with it. This risk makes careful owners cautious. It also prevents many people from starting at all.

A failed firm can cost the owner personal property.

A third limit is the owner's own ability. One person cannot be an expert baker, buyer, accountant and seller at the same time. The owner works long hours with little rest. Mistakes in areas where the owner is weak can harm the whole firm.

One person's skill, time and judgement are not enough for every job.

Many merits and limits are two sides of the same fact. The table below pairs them. Read each row from the left: the feature, the merit it gives, and the limit that comes with it.

The table sets each merit beside the limit it brings with it.

MERITS AND LIMITS OF THE SOLE PROPRIETORSHIP

FEATURE	MERIT	LIMIT
Control	Quick decisions, no meeting needed	No second opinion to check mistakes
Profit and loss	Owner keeps every taka of profit	Owner bears every taka of loss
Capital	Easy to begin with small savings	Hard to raise large amounts later
Liability	Full responsibility builds trust	Personal property is at risk
Life	Simple to start and to close	Firm depends on owner's health and presence

SUITABLE FIELDS

One-owner firms suit small, personal and low-capital trades.

A sole proprietorship suits work that one person can manage and that needs little capital. Examples are a neighbourhood grocery, a tailor, a barber, a vegetable seller, a bicycle repairer, a private tutor and a small bakery like ours. These trades share four features: they need small capital, they depend on personal service, they serve local customers, and a single failure rarely causes huge debts. The form is a poor fit for work that needs very large capital, such as a steel mill or an airline.

WHY SMALL OWNERS SURVIVE BESIDE LARGE FIRMS

A puzzle: why do small shops survive when large firms are so strong?

Large firms can buy in bulk and use costly machines. We might expect small owners to disappear. Yet in every neighbourhood we still find small shops, and they survive. Several reasons explain this.

Small owners win on nearness, service and flexibility.

The first reason is nearness. A neighbourhood grocery is open early and late and a short walk away. The second is service. The owner knows the customers and may let a known neighbour pay at the month's end. The third is flexibility. A tailor can make one garment to the customer's exact size, which a factory making thousands of garments will not do. The fourth is low cost. The owner's own work and family help cost little, and a small rented room costs less than a large building.

Large firms often depend on small owners to reach customers.

Large firms also leave room for small ones. Many small shops sell the goods that large firms make, and carry them to places a factory cannot reach. In this way small and large firms do not only compete; they also need each other.

Our firm sees the capital limit; a new setting shows it more sharply.

We now test the capital limit in a new setting. A furniture maker in Narayanganj owns a workshop alone and has Tk 4,00,000 in savings. A new machine would double the output, but it costs Tk 15,00,000. The savings cover little more than a quarter of the cost. No matter how skilled the owner is, one person's savings cannot buy it. This is the point where many sole proprietors look for a second owner or other sources of capital. Chapter VI takes up the next step.

Recap: merits and limits come in pairs; small owners survive by nearness and service.

Before moving on. The merits are easy start, quick decisions, all the profit and goodwill. The limits are small capital, unlimited liability and one person's skills. Small owners survive by nearness,

STARTING AND RUNNING THE BUSINESS

The first requirement in Bangladesh is a **trade licence**: written permission from local government to carry on a trade in its area.³ In a city the licence comes from the city corporation. Outside the cities it comes from the pourashava (the municipality) or from the union parishad. The licence is issued in the owner's name, and it is valid for one year, so it must be renewed every year. A business that trades without a licence may be penalised or stopped.

Other steps follow. The owner usually opens a bank account for the business and obtains a tax number from the National Board of Revenue. If the sales are large enough, the owner must also register for the VAT of Chapter III. Some trades need further permits, such as those that sell food, which the owner should check with the authority in charge of that trade. A firm that imports or exports needs other registrations, which Chapter X explains.

The owner manages every part of the firm: buying, making, selling, paying staff and keeping records. As the firm grows, the owner gives some jobs to staff but remains responsible for the whole. One good habit protects the owner from confusion. The owner should keep the business's money apart from the household's money. When the two are mixed, the owner cannot tell what the business earns. In law the two are not separate when a debt must be paid, but in records they should always be kept apart.

Before moving on. Start with the trade licence. Then open a bank account and register for tax. Run every part of the firm, and keep business money apart from household money.

A trade licence is the basic permission needed to open.

Trade licence. Written permission from a local government to run a trade in its area.

Other steps follow the licence: a bank account, tax registration and special permits.

The owner runs every part of the firm and should keep clear records.

Recap: licence, bank, tax registration, then daily management and clear records.

WORKED CASE: THE BAKERY OPENS

Case file, illustrative. On 1 March 2026 the bakery opens as a sole proprietorship. The owner has obtained a trade licence from the city corporation and has put in Tk 12,00,000 of the owner's own savings as capital. Sales in the first month, to 31 March 2026, are Tk 2,40,000. For a test only, we then suppose that, after some time, the bakery failed with business things that sell for Tk 3,00,000 and debts of Tk 5,00,000, while the owner holds land worth Tk 6,00,000 in the owner's own name.⁴

Question. Why is the sole proprietorship a suitable form for the bakery on 1 March 2026? Do the first month's sales look healthy? If the bakery failed as supposed, how much would the owner pay, and how much would remain?

Reasoning, Step 1: the form. The bakery has one owner. The owner supplies all Tk 12,00,000 of capital from savings. The trade is personal, local and small. These are the features that suit a sole proprietorship. A second owner joins later, on 1 July 2026, which

The case file shows the choice of form and the first month.

The question has three parts: form, first month, and the failure test.

The form fits one owner with own capital and a small, personal trade.

³ Fees, forms and documents differ between city corporations and local bodies, and they change. The owner should ask the local office for the current requirements, including the tax identification number (TIN) issued by the National Board of Revenue.

⁴ This failure is a supposition used only to test an idea. It is not part of the bakery's history in the case file, and the land is invented for the test.

Business things are sold first; the owner's property covers the rest.

The form suits the bakery today, with a clear risk for the owner.

A check adds the parts back to the original debt.

The whole chapter in a few lines.

Problem one tests the capital limit and the next step.

Problem two combines suitability, duty and the choice of site.

Mistake one: thinking unlimited liability means unlimited debt.

Mistake two: thinking sole means alone

Step 3: the failure test. The creditors are paid first from the business things. Debts are Tk 5,00,000 and the things bring Tk 3,00,000, so the shortfall is Tk 5,00,000 minus Tk 3,00,000, which is Tk 2,00,000. Under unlimited liability the owner must pay this from other property. The land is worth Tk 6,00,000. The owner sells part of it and pays Tk 2,00,000. The land left is Tk 6,00,000 minus Tk 2,00,000, which is Tk 4,00,000.

Conclusion. The sole proprietorship suits the bakery on opening day: one owner, own capital, a licence, and a healthy first month. The risk is also clear. In the failure test the owner would lose the business things and Tk 2,00,000 of personal property.

Check. Business things Tk 3,00,000 plus the owner's payment Tk 2,00,000 equals Tk 5,00,000, which is the full debt. The creditors are paid in full. No debt remains.

CLOSING PACK

SUMMARY

A form of ownership is the legal way a business is owned and controlled. Five main forms exist, compared by six questions. A sole proprietorship has one owner, who takes all profit and all loss and has unlimited liability: if the firm's things cannot pay its debts, creditors may claim the owner's other property. Its merits are an easy start, quick decisions, all the profit and goodwill. Its limits are small capital, personal risk and dependence on one person. Small owners survive by nearness, service and flexibility. The owner must hold a trade licence from local government, renewed yearly.

THINK IT THROUGH

Problem 1. A furniture maker in Narayanganj has savings of Tk 4,00,000 and wants a machine costing Tk 15,00,000. A bank offers to lend Tk 8,00,000. (a) How much more than the savings is needed? (b) After the bank loan, how much is still missing? (c) If the firm later fails, whose property may the bank claim, and why? (d) Name one way to find the missing money, and say what new risk it brings. *(Answers for (a) and (b) are at the back of the book; (c) and (d) need judgement.)*

Problem 2. A person in Sylhet plans a bicycle repair shop. Capital needed is Tk 1,50,000, all from the person's savings. The person has the skill but no experience of buying parts. Customers will mostly live within one kilometre. Decide whether a sole proprietorship suits this plan. Use the four features of suitable fields from Section 3, name one limit that will matter most, and say what duty to customers from Chapter IV applies.

WHERE PEOPLE GO WRONG

Many students write that unlimited liability means the owner owes an unlimited amount. This is wrong. The debts are whatever the firm owes. What is unlimited is the reach of the creditors, who may use the owner's other property.

Another common error is to believe that a sole proprietorship

IN HISTORY

Long before modern companies, much trade was done by owners of small workshops. In medieval Europe, from about the twelfth century in France and Italy, craftsmen formed guilds. A worker rose from apprentice to journeyman, then to master. To become a master he had to show a piece of work, called a masterpiece, to the guild, and he had to be able to fund his own workshop and tools.⁵ The master then owned the shop, trained apprentices and answered for the quality of what it made. The guild checked standards, which protected customers. This early form shows why one-owner firms have lasted: they suit crafts where skill, trust and personal responsibility matter more than large capital.

Medieval craft masters owned their own workshops, in a form like the sole proprietorship.

REVIEW QUESTIONS

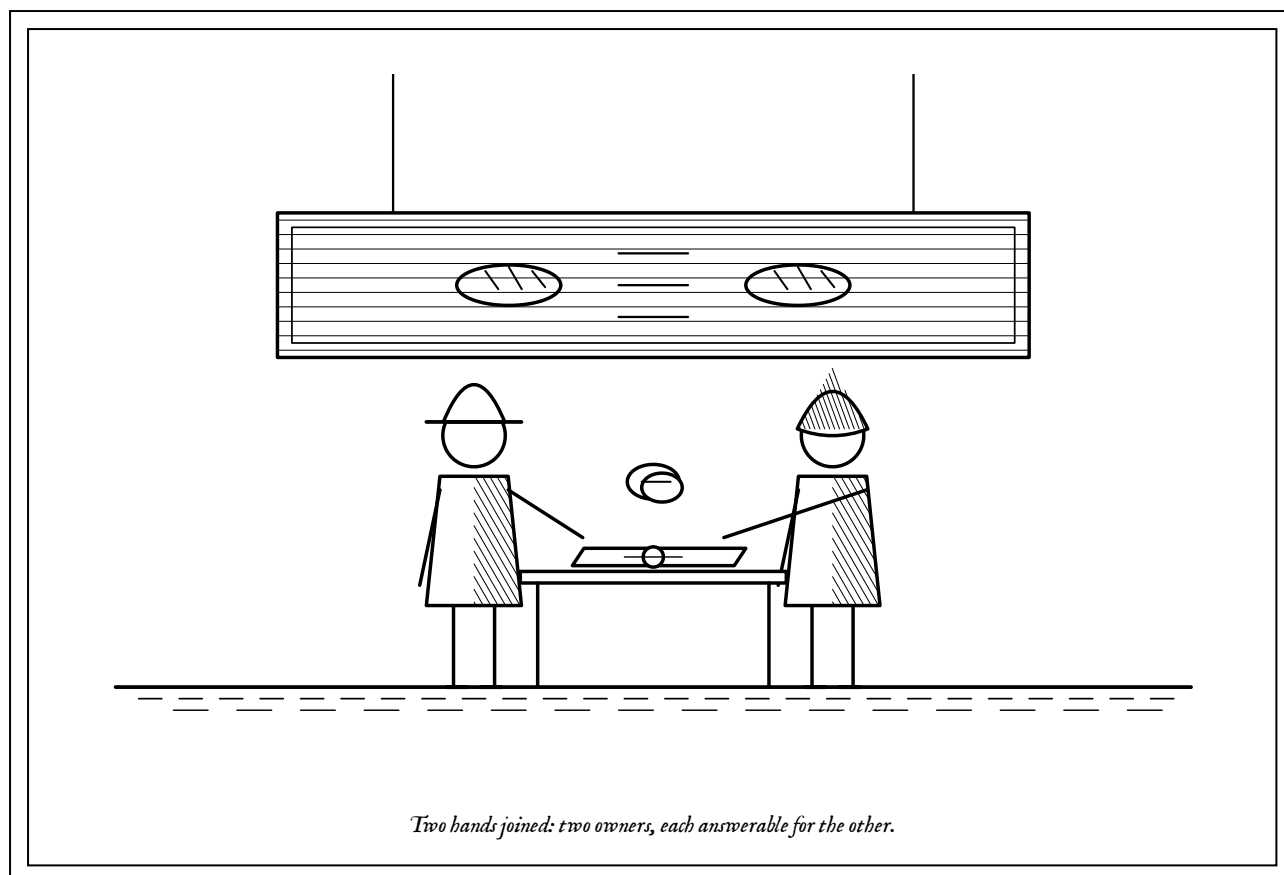
(1) What is a form of ownership? Name the five main forms found in Bangladesh. (2) Explain unlimited liability, using a small example with new numbers of your own. (3) State four features of a sole proprietorship and explain one in a short paragraph. (4) A hardware shop owned by one person has things worth Tk 90,000 and debts of Tk 1,20,000. The owner also has personal savings of Tk 70,000. How much must the owner pay from personal savings, and how much remains?

Questions one to four test meaning, liability and features.

(5) Give three merits of a sole proprietorship and say why each helps the owner. (6) Give three limits and say how each shows itself in a growing firm. (7) A supermarket opens beside a small shop. Give three reasons why the small shop may still survive. (8) What is a trade licence? Who issues it in a city? Why must it be renewed each year?

Questions five to eight test merits, limits, survival and licensing.

⁵ Craft guilds are described here only in outline. Their rules differed from town to town and over the centuries.



CHAPTER VI

The Partnership

Two people, one business: who may sign, and who must pay?



When one owner has too little money or too few skills, a second owner can help. This chapter teaches the partnership: how it begins with an agreement, who the partners are, how they share profit and duty, and how it ends.

One partner signs a large order alone, and the other receives the bill.

The answer depends on what the two friends became when they joined.

This chapter builds on Chapter V.

Joining two owners solves problems of money and skill.

Partnership. A business owned by two or more people who have agreed to run it together and share its profit.

The law names such an arrangement a partnership.

A partnership rests on agreement, not on birth or family tie.

Partnership deed. A written agreement between partners that sets out how the firm will be run.

A written agreement prevents quarrels later.

A partnership has two or more owners, one agreement, one business and shared profit.

Two friends run a small shop together. One is skilled at baking, the other at selling. One morning the baker orders flour worth Tk 80,000 from a supplier, without telling the seller. The flour arrives, and the supplier sends the bill to the seller. The seller protests: "I never ordered this flour. I never even saw it." Must the seller pay?

The supplier's answer is short: "You are the baker's partner. The baker acted for both of you." Whether the supplier is right depends on what the law says two people become when they join in business. This chapter explains that relationship, its rights and its dangers. By the end you will be able to answer the supplier, and you will know how our running bakery changes on 1 July 2026.

You will need. From Chapter V: sole proprietorship, liability and unlimited liability, and the limits of one owner's capital. From Chapter I: owner and profit. From Chapter II: capital.

THE MEANING AND BASE OF PARTNERSHIP

Chapter V ended with a problem. One owner's savings and skills are limited. A furniture maker could not buy a Tk 15,00,000 machine on Tk 4,00,000 of savings. The most natural answer is to find a second owner who has money, or skill, or both. The firm then has two owners instead of one, and a new set of questions: who decides, who shares the profit, and who answers for the debts?

The law gives this arrangement a name. A **partnership** means a business owned by two or more people who have agreed to share its profit. Each owner is called a partner, and together they are called the firm.¹ In Bangladesh the rules come from the Partnership Act, 1932. The Act describes a partnership as the relation between people who have agreed to share the profit of a business that all of them, or any of them acting for all, carry on.

The base of every partnership is an agreement. No one becomes a partner by birth, or by living in the same house. Two brothers who inherit a shop are not partners until they agree to run it and share its profit. The agreement may be spoken, written, or even understood from how the people behave. But a spoken agreement is easy to forget and hard to prove.

For this reason partners usually write the agreement down. A written agreement of this kind is called a **partnership deed**. A deed normally states the name and place of the firm; the nature of its business; the capital each partner puts in; the ratio in which profit is shared; each partner's duties and any salary; how decisions are taken; and how a partner may leave. Our bakery will sign such a deed on 1 July 2026.

THE FEATURES OF A PARTNERSHIP

The first features follow from the meaning. A partnership has at least two owners. It rests on an agreement. It carries on a business,

¹ Some people also say *firm name* for the name under which the partners trade. Here *firm* is used for the business, as in earlier chapters.

² The Companies Act sets the maximum number of partners for an ordinary business. Check the current limit before forming a large partnership.

Each partner has unlimited liability. This is the same idea as in Chapter V, now spread over several people. If the firm's things cannot pay its debts, creditors may claim the personal property of the partners. The next subsection shows an added danger: one partner's act can bring this on all.

MUTUAL AGENCY

This idea is new and abstract, so we take it step by step. Begin at home. Suppose you ask a friend to buy rice for you at the market, and you give your friend Tk 500. The friend buys the rice in your name. You are bound by that purchase, because your friend acted for you. A person who acts for another in this way is an **agent**, and the person for whom the agent acts is the principal.

In a partnership, each partner acts for the others in the firm's business, and the others act for him or her. Each partner is therefore both agent and principal. We call this **mutual agency**. It means that when one partner makes a contract for the firm, in the ordinary course of its business, every partner is bound by it.

Now we can answer the supplier's claim in the opening puzzle. Buying flour is an ordinary act for a bakery. The baker acted for the firm, and the seller is a partner in the firm. So the firm owes Tk 80,000, and both partners are liable for it. The seller may still have a claim against the baker if the deed forbade such large orders, but the supplier, who did not know of any limit, can ask either partner to pay.

There are limits. The rule covers acts done in the ordinary course of the firm's business. A partner who signs a personal loan for a holiday does not bind the firm. A partner who exceeds a limit written in the deed binds the firm to an outsider who did not know of the limit, but that partner may have to repay the others.³

Pause and check. A partner in a shop that sells mobile phones orders a stock of phone cases worth Tk 50,000 for the firm. The other partner did not know. Is the firm bound to pay? (*Answer at the back of the book.*)

You should now be able to say: "Each partner can bind the whole firm by acts done in the ordinary course of its business."

IN SHORT

A partnership is a business owned by two or more people under an agreement. The partners share profit, may each bind the firm, and each answers for all the firm's debts.

Before moving on. A partnership starts with an agreement, usually written as a deed. Its marks are shared profit, trust, unlimited liability and mutual agency.

TYPES OF PARTNERSHIP AND TYPES OF PARTNERS

³ The exact rules on the powers of a partner are in the Partnership Act, 1932, and depend on the facts of each case.

Every partner has unlimited liability, as in Chapter V.

GO SLOWLY HERE.

We begin with an ordinary favour between friends.

Agent. A person who is allowed to act for another.

Mutual agency. The rule that each partner is both agent and principal for the others in the firm's business.

In a partnership, every partner is agent for every other partner.

This answers the opening puzzle: the seller must pay, because the baker acted for the firm.

Limits and exceptions to mutual agency.

Pause and check: apply mutual agency to a new case.

You should now be able to state the rule in one sentence.

Recap: agreement, shared profit, trust, unlimited liability, mutual agency.

A partnership at will has no fixed life.

Partners can also be sorted by the roles they play.

Active partner. A partner who puts in capital and helps to run the firm.

Sleeping partner. A partner who puts in capital but does not help to run the firm. Word in use: *sleeping* here means not taking part; the partner is still fully liable.

Nominal partner. A person who lends a name to the firm and puts in no capital.

The table shows how the three kinds of partner differ.

Sleeping and nominal partners are still exposed to liability.

Recap: duration gives three kinds of partnership; role gives three kinds of partner.

The deed decides rights and duties; the law fills the gaps.

Implied duties. Duties that the law adds where the deed does not mention them.

Partners have rights to take part, to see the books and to share profit.

when the venture is finished.⁴ Our bakery partnership will be a partnership at will.

We use the word *will* in its everyday sense: the partners continue as long as they wish. The danger is that the firm may end at any time if one partner gives notice. For this reason partners who want certainty may agree a fixed term in the deed.

Partners also differ in the role they play. Three kinds are common. An **active partner** puts in capital and also takes part in running the firm. A **sleeping partner** puts in capital but does not take part in running it. A **nominal partner** puts in no capital and takes no part, but lets the firm use his or her name, so outsiders treat that person as a partner.

The table below compares the three kinds. Read each row across: it says whether that kind of partner puts in capital, takes part in running the firm, and is liable to outsiders.

THREE KINDS OF PARTNER

KIND OF PARTNER	PUTS IN CAPITAL	TAKES PART IN RUNNING	LIABLE TO OUTSIDERS
Active	Yes	Yes	Yes
Sleeping	Yes	No	Yes
Nominal	No	No	Yes, if outsiders treated the person as a partner

Many students think that a partner who does not work is safe. This is a mistake. A sleeping partner is a full partner in law, with unlimited liability, even without taking part. A nominal partner has put in nothing, but outsiders who trusted the name may claim the person's property. Having a name on a signboard is therefore not free of risk.

Before moving on. By time: at will, fixed term, particular. By role: active, sleeping, nominal. All three kinds of partner can be asked to pay the firm's debts.

RIGHTS, DUTIES AND SHARING OF PROFIT

Partners may agree their rights and duties between themselves. Where the deed says nothing, the law supplies the missing rules. Duties supplied this way are called **implied duties**: duties that the law adds when the deed is silent.

Partners normally have these rights. A partner may take part in running the firm. A partner may look at the firm's books and copy them. A partner has the right to a share of the profit. A partner who lends the firm money beyond the capital agreed is entitled to inter-

⁴ Names and groupings of types differ between books. The Act itself names the partnership at will and the particular partnership.

The duties matter even more. A partner must act in good faith toward the others, and must give true accounts and true information. A partner must work for the firm's good and must not make a secret profit from its business. A partner who earns profit by using the firm's name or property must pay that profit into the firm. A partner who competes with the firm in secret breaks the duty of loyalty. And each partner must bear a fair share of the loss.

The main duties are honesty, good accounts and loyalty.

How is the profit divided? Partners agree a ratio, which we call the **profit-sharing ratio**: the proportion in which they divide profit and loss. The ratio is often equal to the proportion of capital each puts in, but partners may choose any ratio. If the deed is silent, the law supplies equal shares for each partner, and losses are shared in the same way.⁵

Profit-sharing ratio. The proportion in which partners divide the profit and the loss.
The partners' shares of profit are set as a ratio.

Our bakery's partners put in Tk 12,00,000 and Tk 8,00,000. To find the ratio, divide both by Tk 4,00,000. We get 3 and 2. The partners agree that profit will follow capital, in the ratio 3:2. The shares of a profit then follow three steps. First, add the parts of the ratio: $3 + 2 = 5$. Second, divide the profit by 5. Third, multiply the answer by each partner's part.

Our bakery's capital is Tk 12,00,000 and Tk 8,00,000, a ratio of 3 to 2.

Worked example. The firm earns a profit of Tk 5,00,000 in a year. Given: profit Tk 5,00,000; ratio 3:2. Find: each partner's share. Steps: parts in all = $3 + 2 = 5$. One part = $\text{Tk } 5,00,000 \div 5 = \text{Tk } 1,00,000$. First partner = $3 \times \text{Tk } 1,00,000 = \text{Tk } 3,00,000$. Second partner = $2 \times \text{Tk } 1,00,000 = \text{Tk } 2,00,000$. Check: $\text{Tk } 3,00,000 + \text{Tk } 2,00,000 = \text{Tk } 5,00,000$, which equals the profit.

A worked example with clean numbers shows the three steps.

Pause and check. A firm earns a profit of Tk 3,50,000, shared 3:2. How much does each partner receive? (*Answer at the back of the book.*)

Pause and check: share a new profit by a ratio.

Deeds often add two items. A partner who works full time may be paid a salary, which is a payment for work and is counted before profit is shared. A partner may also be paid interest on the capital put in, which the law allows only out of profit. Without these terms in the deed, the law gives neither.

Deeds may add salary or interest on capital to the sharing.

Before moving on. The deed rules first, and the law's implied duties fill any gap. The profit-sharing ratio divides the profit in three steps: add the parts, find one part, multiply.

Recap: the deed rules first; implied duties fill gaps; profit follows the ratio.

MERITS, DEMERITS, DISSOLUTION AND COMPARISON

MERITS AND DEMERITS

The merits begin with resources. Two or more owners can bring more capital than one, and more skills: a baker and a seller together are stronger than either alone. The burden of work is shared, and so is the risk of loss. Decisions can be quick, because the group is small, and partners may check one another's mistakes. Forming a partnership is easy: it needs an agreement and a trade licence, as in Chapter V, and no complex permission.

More owners bring more capital, more skill and shared risk.

The demerits are equally important. Liability is unlimited, and a

The demerits are shared

⁵ The law's rules on equal sharing apply only where the partners have made no other agreement.

Dissolution. The ending of a partnership as it stood. Word in use: in daily life, mixing into a liquid; here, ending a partnership.

Dissolution means the partnership ends.

Five routes lead to dissolution.

After dissolution, the firm's property pays debts first, then the partners.

The table sets the sole proprietorship beside the partnership.

Recap: partnership adds capital and skill but also shared liability and ending by agreement or event.

The case file records the new partner; the deed and the capital.

DISSOLUTION

A partnership does not last for ever. **Dissolution** means the ending of the partnership between all its partners. The firm's business may then be wound up, or the partners may start again on new terms. The law names several ways in which dissolution can occur.

First, the partners may agree to end it. Second, the law may require it, for example if the business becomes unlawful. Third, a contingency may end it, such as the end of a fixed term, the finish of a venture, or the death of a partner, unless the deed says otherwise. Fourth, in a partnership at will, any partner may end it by giving notice. Fifth, a court may order dissolution on grounds such as a partner's serious misconduct or a continued breach of the deed.

When a firm is dissolved and wound up, its property is used in a set order. Debts to outsiders are paid first. Next the firm repays any loans from partners. Then each partner receives back his or her capital. If anything is left, the remainder is shared in the profit-sharing ratio. Any shortfall at the first step falls on the partners' personal property, as in Chapter V.

PARTNERSHIP AND SOLE PROPRIETORSHIP COMPARED

We can now compare the two forms we know. Read each row across: the feature, what it is in a sole proprietorship, and what it is in a partnership. Chapter VIII, Section 5 will add the other forms.

SOLE PROPRIETORSHIP COMPARED WITH PARTNERSHIP

FEATURE	SOLE PROPRIETORSHIP	PARTNERSHIP
Owners	One	Two or more
Basis	Owner's decision and a licence	Agreement, usually a deed, and a licence
Capital	One person's savings	Savings of all the partners
Decisions	By one person	By agreement of the partners
Profit and loss	All to the owner	Shared by the ratio
Liability	Unlimited	Unlimited, for every partner
Life	Tied to the owner	Tied to the partners and their agreement

Before moving on. Partnership adds capital, skill and shared work, but also quarrels and shared liability. It ends by agreement, law, a contingency, notice or court order.

WORKED CASE: THE PARTNER JOINS

Case file, illustrative. On 1 July 2026 a partner joins the bakery with Tk 8,00,000. The original owner's capital is Tk 12,00,000, so total capital becomes Tk 20,00,000. The two sign a partnership deed, and profit will be shared 3:2. A second outlet is planned. For tests

supposition, that the firm failed with things worth Tk 2,00,000 and debts of Tk 6,00,000.⁶

Question. What should the deed record? How would the half-year profit of Tk 5,00,000 be shared? If the firm failed as supposed, who would pay, and how much would each partner bear in the end?

The questions concern the deed, the profit shares and the failure.

Reasoning, Step 1: the deed. The deed should state the firm's name and business, the capital of each partner (Tk 12,00,000 and Tk 8,00,000), the ratio 3:2, each partner's duties, how decisions are taken, that the partnership is at will, and how a partner may leave. The total capital is Tk 12,00,000 + Tk 8,00,000 = Tk 20,00,000, which agrees with the case file.

The deed must record the main terms.

Step 2: the profit. Parts in all = 3 + 2 = 5. One part = Tk 5,00,000 ÷ 5 = Tk 1,00,000. The original owner receives 3 × Tk 1,00,000 = Tk 3,00,000, and the new partner receives 2 × Tk 1,00,000 = Tk 2,00,000.

The profit is shared in three steps, as in the worked example.

Step 3: the failure. The shortfall is debts less things: Tk 6,00,000 - Tk 2,00,000 = Tk 4,00,000. Creditors may claim this from either partner's personal property, because each has unlimited liability. Suppose they collect all of it from the original owner. Between the partners, the loss is shared 3:2. One part = Tk 4,00,000 ÷ 5 = Tk 80,000. The original owner's share is 3 × Tk 80,000 = Tk 2,40,000, and the new partner's share is 2 × Tk 80,000 = Tk 1,60,000. The original owner, having paid all, may recover Tk 1,60,000 from the new partner.

In a failure, creditors may ask either partner, and the partners then settle between themselves.

Conclusion. The partnership raises capital to Tk 20,00,000 and shares the work and the profit. But it also exposes each partner to the whole of the firm's debts, whatever the shares.

The partnership brings capital and a shared burden, and also a shared risk.

Check. Profit: Tk 3,00,000 + Tk 2,00,000 = Tk 5,00,000. Loss: Tk 2,40,000 + Tk 1,60,000 = Tk 4,00,000, which equals the shortfall.

The check confirms that the parts add back to the totals.

CLOSING PACK

SUMMARY

A partnership is a business owned by two or more people who have agreed to share its profit, usually under a written deed. Partners trust one another, share profit by a ratio, and each may bind the firm by acts done in its ordinary course, which is mutual agency. Each has unlimited liability. Partners may be active, sleeping or nominal, and a partnership may be at will, for a fixed term or for one venture. The deed rules first, and implied duties fill gaps. A partnership ends by agreement, law, contingency, notice or court order, and its property pays outside debts first. Compared with the sole proprietorship, it brings more capital and skill, but also shared risk and quarrels.

The whole chapter in a few lines.

THINK IT THROUGH

Problem 1. Three partners put in capital of Tk 6,00,000, Tk

Problem one tests ratios and liability among three

⁶ These two events are suppositions used only to test ideas. They are not part of the bakery's history in the case file.

because it is well known, but will put in no money. What kind of partnership suits the plan? What kind of partner would the third friend be, and what risk does he take? Name one duty that the two working partners owe each other.

Mistake one: thinking a sleeping partner has no liability.

Mistake two: thinking each partner answers only for his or her share of debt.

Mistake three: thinking family or shared property makes a partnership.

Partnership law in this region was gathered into one Act in 1932.

Questions one to four test meaning, types and ratios.

Questions five to eight test duty, ending and comparison.

WHERE PEOPLE GO WRONG

Many students believe that a sleeping partner is safe because he or she takes no part. This is wrong. A sleeping partner has put in capital and is a full partner, with unlimited liability.

Another error is to think that a partner with a $\frac{2}{5}$ share of profit answers for only $\frac{2}{5}$ of the debt. Creditors may ask any partner to pay the whole debt. The partners then settle their shares between themselves.

A third error is to think that relatives who share a house or inherited property are partners. A partnership needs an agreement to run a business and share its profit. Kinship alone does not create one.

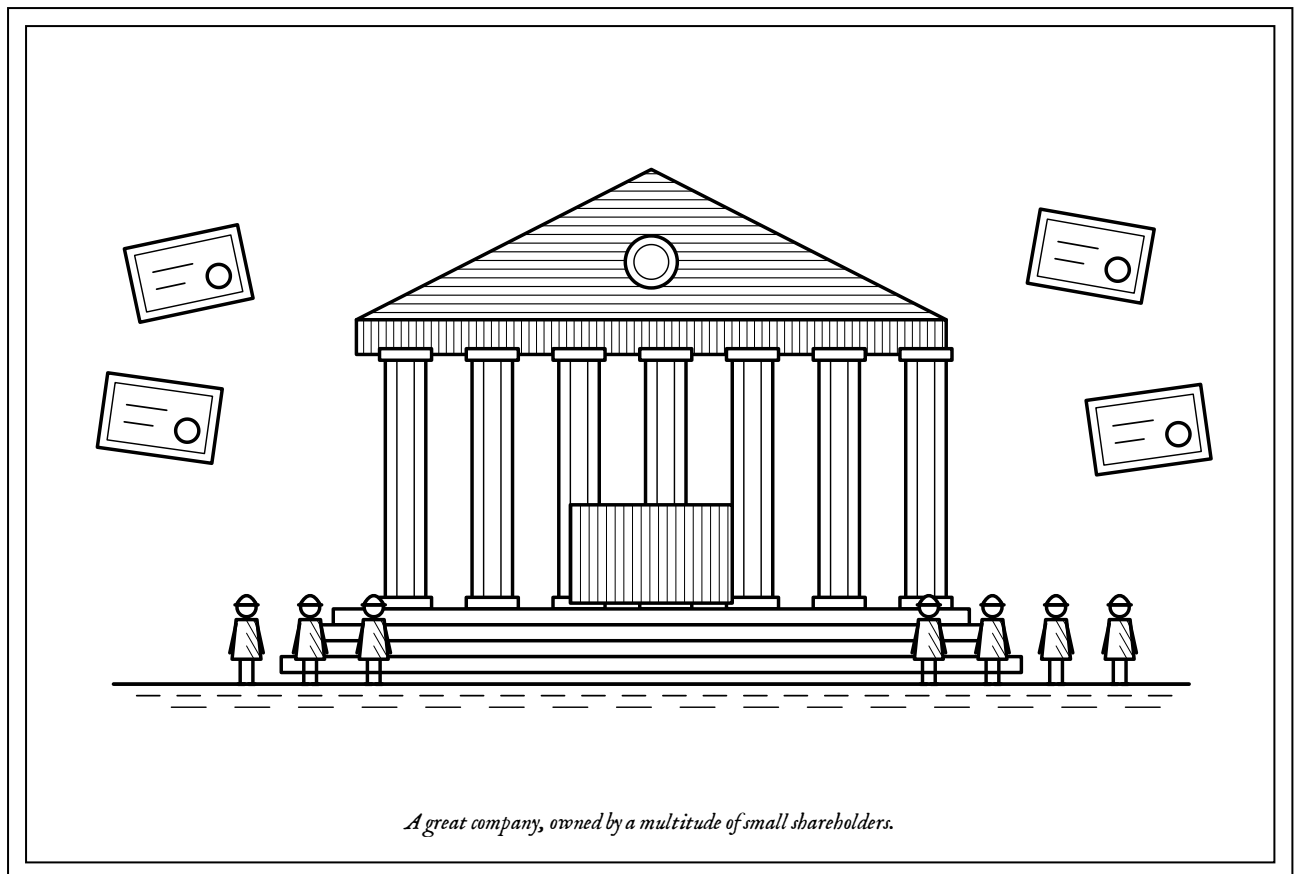
IN HISTORY

For a long time the rules on partnership in this region were scattered. Some sat inside the Contract Act of 1872. The Partnership Act was passed on 8 April 1932 and came into force on 1 October 1932, bringing the rules into one statute that applies today in Bangladesh. It states what a partnership is, how partners deal with one another, and how a firm ends. Its long life shows how well one clear law serves people who must trust each other with money.

REVIEW QUESTIONS

(1) Define a partnership and state what it is based on. (2) Name four terms that a partnership deed normally contains. (3) Distinguish an active partner from a sleeping partner and a nominal partner. (4) A firm's profit of Tk 6,00,000 is shared 2:1. How much does each partner receive?

(5) State three implied duties of a partner. (6) Explain mutual agency with a small example. (7) Name three ways in which a partnership may be dissolved. (8) A partnership has capital of Tk 5,00,000 and Tk 3,00,000, and profit follows capital. If the profit is Tk 2,40,000, find each share, and name two advantages and two disadvantages of a partnership over a sole proprietorship.



CHAPTER VII

The Joint Stock Company

Can a business be a person, and can its owners lose only what they paid?



A company is a business that the law treats as a person of its own, owned through shares and run by directors. This chapter explains what a company is, how private and public companies differ, how one is formed, and how shares and capital work.

A buyer of a small part of a failed business is asked to pay its whole debt.

A second puzzle: what happens to the firm when its owner dies?

This chapter builds on Chapters V and VI.

GO SLOWLY HERE.

Start with a school: it can own things in its own name.

Company. A business that the law treats as a separate person, owned by its shareholders.

Legal person. Something the law treats as a person: it can own property, sign contracts and be sued, apart from its members.

The law gives a company a personality of its own.

The owners are now outside the firm in law; its debts are its own.

You should now be able to say what a company is.

The first result of separateness: the owners' risk has a ceiling.

Limited liability. The rule that owners are liable for a company's debts only up to the amount they agreed to pay for their shares.

Suppose a stranger buys a small part of a business for Tk 10,000. A year later the business fails owing Tk 50,00,000. The creditors ask the stranger to pay. Under the forms of Chapters V and VI, that stranger, as a partner, could be forced to pay all of it. Few people would take such a risk for Tk 10,000. Yet thousands of people do buy small parts of businesses every day, and sleep well.

A second puzzle sits beside the first. When a sole owner dies, the firm in law ends. When a partner dies, the partnership may end. Yet some businesses have lasted for centuries, passing through hundreds of owners. How can the business stay alive while its owners come and go? One legal idea answers both puzzles. This chapter teaches it.

You will need. From Chapter V: liability, unlimited liability and capital. From Chapter VI: partnership, the profit-sharing ratio and the failure test. The bakery's figures from Chapter VI are used in the worked case.

THE IDEA OF A COMPANY

A PERSON MADE BY LAW

This idea is new and abstract, so we take it one step at a time. Think of a school. The school has its own name and its own bank account. It can sign a contract to buy desks. It can be sued in court. Yet the school is not any one teacher, or the headmaster, or any one student. If the headmaster retires, the school continues. In everyday life we already treat some groups as if they were persons.

The law does the same for a business. A **company** means a business that the law treats as a person of its own, apart from the people who own it. We call such a thing a **legal person**. A company can own property, borrow money, sign contracts and be sued, all in its own name. In Bangladesh these rules come from the Companies Act, 1994.

This changes who owes what. When the company borrows, the company owes the debt, not its owners. The things the company owns belong to the company, not to any owner personally. In Chapters V and VI the firm and its owners were one person, so debts reached the owners. Here they are two persons.

You should now be able to say: "A company is a person made by law, with its own property and debts, separate from the people who own it."

LIMITED LIABILITY

Now the first puzzle can be answered. The company's debts belong to the company. So creditors may take the company's things, but they cannot take the personal property of its owners. The owners' risk stops at the money they agreed to pay for their parts of the company. We call this **limited liability**: the rule that an owner is liable for the company's debts only up to the amount agreed for his

than it owns. What is the most this person can lose? (*Answer at the back of the book.*)

There are exceptions. A bank lending to a small company may ask its owners to promise personally to repay. That promise is a separate contract, and it can reach the owner's property. Also, an owner who has not yet paid the full amount agreed for his or her part must still pay that amount. The rule limits liability; it does not remove risk.

Limited liability has exceptions that matter in practice.

SHARES, PERPETUAL LIFE AND CONTROL

A company divides its ownership into many equal parts. Each part is called a **share**: a unit of ownership in a company. Someone who owns shares is a shareholder. A person with 1,000 shares owns 1,000 of the small parts and has the rights that go with them. Section 4 teaches shares in detail.

A company divides its ownership into equal small parts.

Share. One of the equal parts into which a company's ownership is divided. Word in use: in daily life, a part given to each person; in business, a unit of ownership. (Some books say *stock*.)

A company has a continuing life. Because it is a person of its own, it does not end when a shareholder dies or sells. The shares simply pass to new owners. This is the answer to the second puzzle. Lawyers call it perpetual succession, which means that the company has no natural end except by law.

A company continues while its owners change.

Control is separate from ownership. A company may have hundreds of shareholders, so they choose a small group to run it. This group is the board of directors, taught in Section 5. Ownership belongs to the many; management belongs to the few.

A company is run by directors chosen by the shareholders.

IN SHORT

A company is a business that the law treats as a person of its own. Its owners hold shares, their liability is limited, the company continues when owners change, and directors run it.

Before moving on. A company is a legal person. Its owners hold shares, with limited liability. It continues beyond its owners and is run by directors.

Recap: separate person, limited liability, shares, continuing life, directors.

PRIVATE AND PUBLIC COMPANIES COMPARED

The Companies Act divides companies into two kinds. A **private limited company** is a company that restricts the transfer of its shares, limits its members to fifty, and may not invite the public to buy its shares.¹ A **public limited company** is any company that is not private; it may invite the public to buy shares.

The law divides companies into two kinds.

Private limited company. A company with at most fifty members that restricts the sale of its shares and may not ask the public to buy them.

Public limited company. A company that may ask the public to buy its shares and has at least seven members.

The table below compares the two. Read each row across: the

The table sets the two kinds side by side.

¹ The Companies Act, 1994 sets these conditions. The limit of fifty members does not count people employed by the company.

PRIVATE AND PUBLIC LIMITED COMPANIES

FEATURE	PRIVATE LIMITED COMPANY	PUBLIC LIMITED COMPANY
Number of members	At least two, at most fifty, not counting employees	At least seven, with no upper limit
Sale of shares	Restricted by the articles	Free, subject to the rules
Invitation to the public	Not allowed	Allowed, through a prospectus
Directors	At least two	At least three
Starting business	Certificate of incorporation is enough	Certificate of commencement also needed

Choose by size, capital and the wish for outside investors.

Recap: private is small and closed; public is large and open.

Forming a company requires two key documents and registration.

Memorandum of association. The company's charter: its name, office, objects, liability and capital.

The memorandum states what the company is and may do.

Articles of association. The company's internal rules on shares, meetings and directors.

The articles set the internal rules of management.

Certificate of incorporation. The Registrar's certificate that a company has been registered and now exists.

Registration gives the company its legal birth.

Prospectus. A public invitation to buy a company's shares, giving facts about the company.

A public company must invite the public through a prospectus.

Certificate of

Which should a firm choose? A small family firm or a pair of friends usually chooses a private company. It keeps ownership close and needs few members. A firm that needs large capital, from many people it does not know, chooses a public company. A private company may later become public if it has seven or more members and changes its articles, as our bakery plans to do in Chapter XII.

Before moving on. Private companies are closed: two to fifty members, restricted shares, no public invitation. Public companies are open to public investors, with at least seven members.

HOW A COMPANY IS FORMED

Forming a company is more formal than starting a sole proprietorship. A few people, who may be called promoters, plan the company, choose its name and agree its capital. They then prepare two documents and send them to the Registrar of Joint Stock Companies and Firms.

The first is the **memorandum of association**. It is the company's charter. It states the company's name, the place of its registered office, the objects for which it is formed, the limit on its members' liability, and the amount of capital. The company may not go beyond the objects in the memorandum.

The second document is the **articles of association**. These are the company's internal rules. They cover how shares are issued and moved, how meetings are held, and how directors are chosen and paid. A private company must include in its articles the three restrictions that make it private.

If the papers are in order and the fees are paid, the Registrar issues a **certificate of incorporation**. The certificate is proof that the company has been registered. From the date on it, the company exists as a legal person. A private company may begin business at once.

A public company that wishes to ask the public for money must issue a **prospectus**: a public invitation to buy shares. It tells readers what the company plans to do, who its directors are, how much capital it needs, how it will use the money, and what the risks are. The aim is to give buyers enough facts to judge.

A public company must also register its shares. A firm in preparation to

business.² Only then may it start. In short, incorporation is the birth of the company, and commencement is its permission to begin trade.

Before moving on. Formation needs a memorandum, articles and registration. A public company also issues a prospectus and obtains a certificate of commencement.

Recap: promoters, memorandum, articles, incorporation, then prospectus and commencement for public companies.

SHARES AND CAPITAL

KINDS OF SHARES

Each share carries a printed value, the **par value**. The bakery's shares will have a par value of Tk 10. A company that has earned profit may pay part of it to its shareholders. This payment is the **dividend**. A company is not forced to pay a dividend each year; the directors decide how much to pay and how much to keep.

A share has a face value and brings a right to dividend.

Par value. The amount printed on a share, also called its face value.

Dividend. The part of a company's profit that is paid to shareholders.

Two main kinds of share: ordinary and preference.

Shares are of two main kinds. **Ordinary shares** give the holder a vote at meetings and a share of what remains of the profit after all other claims. The dividend varies: it may be large in a good year and nothing in a poor one. **Preference shares** give the holder a dividend at a fixed rate, paid before any ordinary dividend. In return the holder usually has no vote. Preference suits a person who wants steadier income and less risk.

Ordinary share. A share whose holder has a vote and receives whatever profit remains.

Preference share. A share whose holder is paid a fixed dividend before ordinary shareholders.

Dividend per share is found by dividing the total dividend by the number of shares. *Worked example.* A company has 2,00,000 shares and declares a total dividend of Tk 4,00,000. Given: dividend Tk 4,00,000; shares 2,00,000. Find: dividend per share. Steps: $\text{Tk } 4,00,000 \div 2,00,000 = \text{Tk } 2$. Answer: Tk 2 per share, which is 20 per cent of a Tk 10 par value. Check: $\text{Tk } 2 \times 2,00,000 \text{ shares} = \text{Tk } 4,00,000$.

Dividend per share is the total dividend divided by the number of shares.

Pause and check. A company has 40,000 shares and declares a total dividend of Tk 60,000. What is the dividend per share? (*Answer at the back of the book.*)

Pause and check: a new dividend per share.

KINDS OF CAPITAL

A company's capital is described in three ways. **Authorised capital** is the largest amount of share capital the company may issue, as stated in its memorandum. **Issued capital** is the amount of shares actually issued to shareholders. **Paid-up capital** is the amount shareholders have actually paid so far. The three need not be equal. A company may authorise much and issue little.

A company's capital has three names, and each means something different.

Authorised capital. The largest amount of share capital a company may issue, as set in its memorandum.

Issued capital. The value of the shares that the company has actually issued.

Paid-up capital. The amount of the issued capital that shareholders have paid so

² Section 150 of the Companies Act, 1994 covers restrictions on the commencement of business. The conditions to be met are set by the Act and by the Registrar's rules.

THE BAKERY'S CAPITAL ON 1 JANUARY 2027

KIND OF CAPITAL	SHARES	AMOUNT
Authorised	5,00,000	Tk 50,00,000
Issued	2,00,000	Tk 20,00,000
Paid-up	2,00,000	Tk 20,00,000

The unissued room can raise more capital later.

Note that Tk 30,00,000 of the authorised capital is not yet issued. This is room to grow. If the bakery needs more capital for a second outlet, the directors can issue more shares up to the limit, without changing the memorandum.

MERITS, DEMERITS AND MANAGEMENT

MANAGEMENT AND CONTROL

Board of directors. The group of people, chosen by shareholders, that manages a company.

Shareholders choose a board, which runs the company.

Control follows shares: more shares means more votes.

The shareholders meet at least once a year and elect a **board of directors**: the group that manages the company. The board decides policy, appoints senior managers, and reports to the shareholders. Small companies often have the same people as shareholders and directors. Large companies keep the two groups apart.

Control follows shares. Each ordinary share usually carries one vote, so those who hold more than half the votes can pass ordinary decisions. In our bakery, the original owner holds 1,20,000 of 2,00,000 shares, which is 60 per cent, and so controls an ordinary vote. The new partner holds 40 per cent.

MERITS AND DEMERITS

The merits are limited liability, large capital and a continuing life.

The merits are clear. Liability is limited, so people dare to invest. Many investors can pool large capital. The life of the company continues beyond its owners. Shares of a public company can be sold to others. And the board can hire skilled managers. These strengths explain why most large firms in the world are companies.

The demerits are cost, rules, and the gap between owners and managers.

The demerits are real too. Forming and running a company costs more and needs more paperwork. Public companies must publish reports and follow many rules. Owners and managers may have different aims, and managers may serve their own interest. A shareholder with a small holding has little power. And creditors may be wary of lending to a company with few things of its own.

Recap: directors manage; shares give votes; limited liability is the key merit.

Before moving on. Shareholders elect the board of directors. Votes follow shares. The main merit is limited liability; the main demerits are cost and the gap between owners and managers.

WORKED CASE: THE BAKERY BECOMES A COMPANY

The case file records the new capital and the shares.

Case file, illustrative. On 1 January 2027 the bakery becomes a private limited company. Authorised capital is Tk 50,00,000, divided into 5,00,000 shares of Tk 10. Two lakh shares are issued at par to the partners: 1,20,000 and 80,000. Total issued capital is Tk

³ These two events are suppositions used only to test ideas. They are not part of the bakery's history in the case file.

holder receive as dividend? If the company failed as supposed, who bears the shortfall?

Reasoning, step 1: the shares. $1,20,000 \times \text{Tk } 10 = \text{Tk } 12,00,000$. $80,000 \times \text{Tk } 10 = \text{Tk } 8,00,000$. Together 2,00,000 shares = Tk 20,00,000, the same as the partners' capital in Chapter VI. The ratio 1,20,000 : 80,000 is 3:2, so ownership is unchanged.

Step 2: the dividend. Dividend per share = $\text{Tk } 4,00,000 \div 2,00,000 = \text{Tk } 2$. The first holder receives $1,20,000 \times \text{Tk } 2 = \text{Tk } 2,40,000$. The second holder receives $80,000 \times \text{Tk } 2 = \text{Tk } 1,60,000$. The sum is Tk 4,00,000.

Step 3: the failure. The shortfall is $\text{Tk } 6,00,000 - \text{Tk } 2,00,000 = \text{Tk } 4,00,000$. The shares were issued fully paid, so shareholders owe nothing more. The creditors cannot claim the shareholders' personal property, so they lose Tk 4,00,000. In Chapter VI the same failure fell on the partners' own property.

Conclusion. The company protects its owners from the debts, and shifts the risk to creditors. For this reason lenders to small companies often ask for a personal promise from the owners.

Check. Shares: $\text{Tk } 12,00,000 + \text{Tk } 8,00,000 = \text{Tk } 20,00,000$. Dividend: $\text{Tk } 2,40,000 + \text{Tk } 1,60,000 = \text{Tk } 4,00,000$. Both agree with the case file.

The shares agree with the partners' capital.

The dividend per share is Tk 2, and each holder receives it on each share.

In the failure, creditors bear the shortfall, not the shareholders.

Limited liability protects the owners and shifts risk to creditors.

The check adds the parts to the totals.

CLOSING PACK

SUMMARY

A company is a business that the law treats as a person of its own. Its owners hold shares, have limited liability, and cannot lose more than they agreed to pay. The company continues when owners change and is run by a board of directors. Private companies are small and closed; public companies may invite the public to buy shares. A company is formed with a memorandum and articles, and registered by a certificate of incorporation; a public company also needs a prospectus and a certificate of commencement. Shares are ordinary or preference. Capital is authorised, issued or paid up.

The whole chapter in a few lines.

THINK IT THROUGH

Problem 1. A company has authorised capital of Tk 10,00,000 in shares of Tk 10 each. It has issued 60,000 shares. (a) How many shares may it issue in all? (b) What is the issued capital? (c) The directors pay a dividend of 15 per cent of par value. What is the total dividend, and the dividend per share? (d) A shareholder holds 15,000 shares. How much does that person receive? (*Answers for (a)-(d) are at the back of the book.*)

Problem one tests capital and dividend.

Problem 2. A group plans a firm to build a power plant costing Tk 400 crore, with funds from many small savers. A second group plans a small printing shop for two friends. Which kind of company suits each, and why? Name one cost that the first will carry which the second will not.

Problem two asks for a choice of form.

WHERE PEOPLE GO WRONG

Many students write that limited liability means the owner cannot

Mistake one: thinking limited liability means no loss

Mistake three: thinking public means owned by the government.

A third error is to think that a public company is owned by the state. It is not. *Public* means that the company may invite the public to buy its shares. Companies owned by the government are another matter, taught in Chapter VIII.

The Dutch East India Company of 1602 sold shares to the public.

IN HISTORY

In 1602 a group of Dutch merchants combined their separate trading ventures into one body, the United East India Company, chartered by the Dutch government. Instead of a voyage-by-voyage venture, the company had capital that lasted from year to year, and ordinary people could buy shares in it. The shares could be sold on to others. This gave the company a continuing life that no single merchant's firm had, and showed that many savers could fund a large enterprise together. Modern companies grew from this idea.⁴

REVIEW QUESTIONS

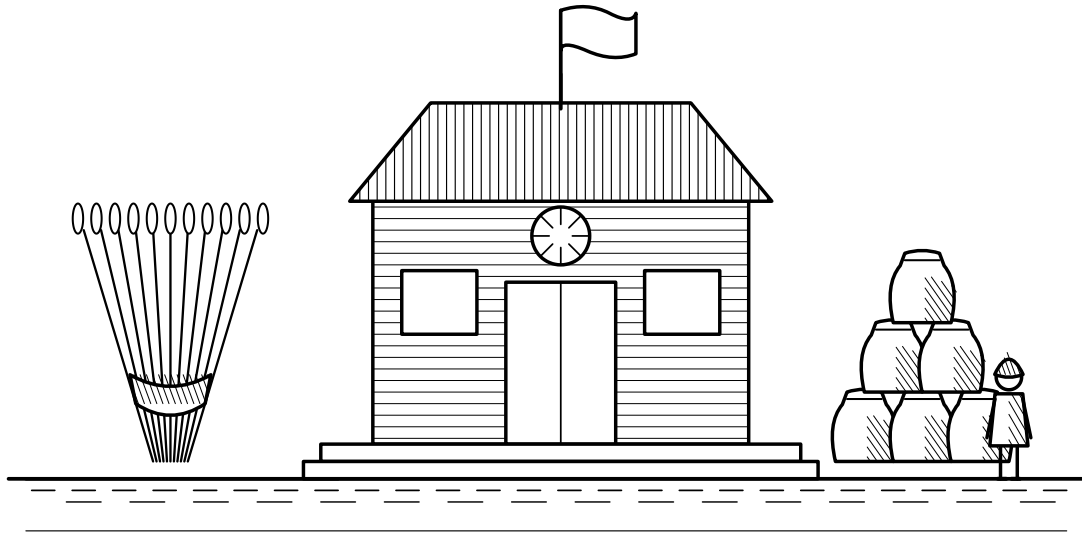
Questions one to four test the idea of a company.

(1) Define a company and explain what it means to be a legal person. (2) Explain limited liability using a small example of your own. (3) State four differences between a private and a public limited company. (4) A company has 3,00,000 shares and declares a total dividend of Tk 4,50,000. Find the dividend per share, and what a holder of 20,000 shares receives.

Questions five to eight test formation, shares and capital.

(5) Name the two documents needed to form a company and state what each contains. (6) What is a prospectus, and which companies must issue one? (7) Distinguish ordinary from preference shares, and authorised from issued capital. (8) State three merits and three demerits of the company form compared with a partnership.

⁴ Details of the 1602 charter and its trading are outlined here only; histories differ on small points.



The farmers' store and the public granary.

CHAPTER VIII

Cooperative Societies and State Enterprises

Owned by its members, or owned by the nation: who gains when profit is not the aim?



Some businesses are owned by the people who use them, and some by the state on behalf of the public. This chapter teaches cooperative societies and state enterprises, then sets all five forms of ownership side by side.

Small milk sellers earn little alone, but may earn more together.

A second puzzle: who should own the services that every person needs?

This chapter builds on Chapters V, VI and VII.

Cooperative society. A business owned and run by its members, to serve their common needs rather than to earn profit for outside owners.

Member. A person who belongs to a cooperative society, owns a part of it and takes part in its decisions.

A cooperative is a business that belongs to the people who use it.

The aim is service to members, not profit for outside owners.

In Bangladesh the law is the Co-operative Societies Act, 2001, and the Constitution recognises cooperative ownership.

Principle of cooperation. A basic rule that cooperatives follow, such as open membership and one member, one vote.

Cooperatives follow a set of

Imagine a hundred small farmers who each keep two or three cows. Each has a little milk to sell each day. A trader visits each farm, names a low price, and takes the milk. No farmer can refuse, because the milk will spoil by evening. Alone, each farmer is weak. What if all hundred joined, sold the milk together, and kept for themselves what the trader had been keeping?

A second puzzle comes from the other side. Some services, such as roads, power or railways, are needed by everyone, yet may not earn a profit. Should such a business be left to private owners who must earn a profit, or should the government own it on behalf of the public? This chapter studies two forms of ownership that answer these puzzles: the cooperative society and the state enterprise.

You will need. From Chapters V to VII: the forms of ownership met so far, liability, capital, profit, shares and companies. From Chapter III: the idea of regulation.

THE COOPERATIVE SOCIETY

MEANING AND AIMS

In a company, ownership follows money. In a cooperative, ownership follows need. A **cooperative society** means a business owned and run by its members to serve their common needs. A **member** is a person who belongs to the society, owns a part of it and has a say in its decisions. The hundred farmers above, selling their milk together, would form a cooperative.

The main aim is service. The farmers want a fair price. Buyers who form a consumers' cooperative want fair prices and good goods. A group of workers who form a credit cooperative want cheap loans. A cooperative may earn money, but it is not run to enrich outside owners. The money earned is used for the members' benefit.

In Bangladesh the main law is the Co-operative Societies Act, 2001.¹ The Constitution of Bangladesh also names cooperative ownership, together with state ownership, among the principles of ownership.

THE PRINCIPLES OF COOPERATION

Cooperatives all over the world follow shared rules, called **principles of cooperation**. The International Cooperative Alliance sets out seven.² In plain words they are these. First, membership is open to all who can use the service and accept the duties, and no one is forced to join. Second, control is democratic: each member

¹ The Act came into force on 15 July 2001 and was amended in 2013. It replaced the earlier ordinance of 1984.

² The seven principles are stated in broadly similar words by the International Cooperative Alliance. The Act itself does not list them in the same form.

member who has put in Tk 5,000 each have one vote. Power follows people, not money.

Before moving on. A cooperative society is a business owned by its members to serve their needs. It follows principles, the sharpest of which is one member, one vote.

Recap: a cooperative serves its members, who share control equally.

TYPES AND WORKING OF COOPERATIVES IN BANGLADESH

Cooperatives can be grouped in two ways. By level, the Act recognises three kinds: primary, central and national societies. A primary society is made of individuals, such as villagers. A central society is made of primary societies, and a national society of central ones. By purpose, there are many kinds, including savings and credit, farmers', dairy, fishery, weavers', housing, transport and consumers' cooperatives. The rules list many types of cooperative.³

Cooperatives are grouped by level and by purpose.

A cooperative is formed by members who agree on its rules, called by-laws, and who apply for registration to the government department that supervises cooperatives. Once registered, it is a legal body and can own property and make contracts. The members meet in a general meeting and elect a managing committee to run the society day to day.

A cooperative is formed by members and registered with the government department.

What happens to money left over? In a company it is profit, divided by shares. In a cooperative it is called **surplus**: the money left after all costs are paid. After setting aside a reserve for hard times, the society usually returns the rest to members in proportion to how much they used the society, such as the milk each one supplied.

Surplus. The money a cooperative has left after paying all its costs.

What is left after costs is called surplus and is shared by use.

Worked example. A dairy cooperative has a surplus of Tk 2,40,000. Its members together supplied 1,60,000 litres of milk. One member supplied 4,000 litres. Find that member's share. Steps: that member supplied $4,000 \div 1,60,000 = 1/40$ of the milk. Share = $1/40 \times \text{Tk } 2,40,000 = \text{Tk } 6,000$. Check: $\text{Tk } 2,40,000 \div 1,60,000 \text{ litres} = \text{Tk } 1.50 \text{ a litre}$, and $4,000 \times \text{Tk } 1.50 = \text{Tk } 6,000$.

A worked example shows the sharing of surplus by use.

Pause and check. A consumers' cooperative has a surplus of Tk 90,000 and members bought goods worth Tk 30,00,000 in all. One member bought goods worth Tk 20,000. What is that member's share? (*Answer at the back of the book.*)

Pause and check: share a new surplus by use.

THE COOPERATIVE IN MARKETING FARM GOODS

Cooperatives play a special part in selling farm goods. A single farmer has little to sell and little power to bargain. Joined together, farmers can collect their produce, grade it, store it and carry it to market in larger loads, which lowers the cost for each. They can sell at a better price, and they need not depend on one trader. Cooperatives can also give farmers market news and credit. In the milk example, the cooperative takes the milk from many small farmers, cools and sells it, and returns the surplus.

Cooperatives help farmers collect, store, carry and sell their goods together.

There are limits. Many cooperatives suffer from weak management, little capital, and members who do not take part. A society

The limits: weak management and members who lack money.

³ The Co-operative Societies Rules, 2004 recognise a long list of types. Only the main ones are named here.

THE STATE ENTERPRISE

State enterprise. A business owned by the government and run for the public's benefit.

A state enterprise is owned by the government for the public.

Public corporation. A state enterprise set up by a special law, with its own board and money.

A government may own a business in three main ways.

The state enterprises fit services that the public must have.

Recap: three forms, and fields that suit state ownership.

Nationalisation. The taking of a private business by the government, which then owns it.

Governments own businesses to serve public aims.

The need arises when private firms cannot or will not supply the service.

Many state enterprises suffer losses and weak

A **state enterprise** means a business owned by the government and run for the public benefit. The owner is the state, acting for the whole people, and not any private person. Banglapedia and other sources call the same idea a public sector enterprise or state-owned enterprise.

FORMS OF STATE ENTERPRISE

A government may own a business in three main ways. First, as a department of a ministry, funded and run by the government itself. Second, as a **public corporation**: an enterprise set up by a special law, with its own board and its own accounts, though owned by the state. Third, as a government company, which is an ordinary company under the Companies Act in which the government holds most of the shares. In Bangladesh, bodies such as the Bangladesh Jute Mills Corporation and the Bangladesh Textile Mills Corporation are public corporations.

SUITABLE FIELDS

State ownership usually suits four kinds of field. The first is a service that must reach everyone even where profit is small, such as water or power. The second is a field needing very large capital that private firms cannot supply. The third is a field of public safety or security, such as defence. The fourth is a natural monopoly, where one supplier is more efficient than many, and public ownership guards against high prices.

Before moving on. A state enterprise is owned by the government. It may be a department, a public corporation or a government company, and it suits services that the public must have.

IMPORTANCE, NEED AND PROBLEMS OF STATE ENTERPRISE

IMPORTANCE AND NEED

State enterprise serves several public aims. It can supply services to all people at fair prices, create jobs, develop poor regions, and build industries that private firms will not. After independence it was also a way to take over businesses left by their owners. On 26 March 1972 the government issued an order to take over many industrial enterprises, an act of **nationalisation**: the taking of a private business by the government. Eleven sector corporations were set up to manage them.

The need for state enterprise arises when private owners cannot or will not supply a service. Private firms seek profit, so they may avoid remote areas, poor customers or high risk. A government may step in to fill the gap. State ownership also lets a government plan the economy and keep key industries in the nation's hands.

PROBLEMS, LOSS AND ITS CAUSES

State enterprises also face problems. Many make losses. Decisions may be slow, because officials must ask higher authority. Jobs may

each at Tk 85 to help poor families. Find the loss in 30 days. Steps: loss per loaf = Tk 95 – Tk 85 = Tk 10. Loss per day = $10,000 \times \text{Tk } 10$ = Tk 1,00,000. Loss in 30 days = $30 \times \text{Tk } 1,00,000$ = Tk 30,00,000. Check: $10,000 \times 30 = 3,00,000$ loaves, and $3,00,000 \times \text{Tk } 10 = \text{Tk } 30,00,000$.

Who pays this loss? The government covers it from taxes and loans. Money spent on covering the loss cannot be spent on schools or hospitals. This is the cost of a low price. It may be a fair cost if the aim is to help the poor, but the loss should be seen and judged, not hidden.

Several remedies are tried. A state enterprise may be given more freedom to manage, and judged by clear targets. A government may also choose **privatisation**: the sale or transfer of a state enterprise to private owners. Bangladesh adopted a policy of moving some enterprises into private hands from 1975, by sale or by converting them into public limited companies. Progress has been slow, in part because employees fear job losses.

Before moving on. State enterprise exists for public aims and where private firms will not serve. Its problems include loss, slow decisions and political pressure. Remedies include freedom, targets and privatisation.

Losses are paid by taxpayers, so less is left for other needs.

Remedies: more freedom, clear targets, and sometimes privatisation.

Privatisation. The sale or transfer of a state enterprise to private owners.

Recap: state enterprise serves public aims, but low prices, weak control and political pressure can cause losses.

COMPARING ALL FORMS OF OWNERSHIP

We can now compare every form of ownership. Read each row across: the feature, and what it is in each form. The cells are short, so each gives only the main point.

The table sets all five forms side by side.

FIVE FORMS OF OWNERSHIP COMPARED

FEATURE	SOLE PROPRIETORSHIP	PARTNERSHIP	COMPANY	COOPERATIVE	STATE ENTERPRISE
Owners	One person	Two or more	Shareholders	Members	The government
Capital from	Owner's savings	Partners	Share sales	Members' contributions	Government funds
Control by	The owner	The partners	Directors	Members, one vote each	Government officials
Liability	Unlimited	Unlimited	Limited	Limited	Limited to the state
Profit goes to	The owner	Partners by ratio	Shareholders	Members by use	The government or the public
Life	Tied to owner	Tied to partners	Continuing	Continuing	Continuing

No form is best for every need. A tea stall, a village dairy and a railway are not served best by the same form. Ask the six questions of Chapter V: who owns, who decides, who takes the profit, who pays the debt, how capital is raised, and how long the business lasts. Our bakery has used three forms in turn: a sole proprietorship on 1

Match the form to the need.

WORKED CASE: MILK AND BREAD PRICES

The case file records the milk purchase and the price comparison.

The questions concern the saving, the surplus and the state price.

The monthly saving is found by subtraction.

The cooperative can serve members, not outside owners.

The state supplier may price by public aim, not by cost.

The two forms differ in aim, and so in price.

The check confirms the arithmetic.

Case file, illustrative. In September 2026 the bakery begins to buy milk from a dairy cooperative, at Tk 80 a litre for 400 litres a month. A private trader had quoted Tk 84 a litre. The bakery also compares its own price for a loaf, Tk 100 (as in Chapter III), with the price list of a state-owned bread supplier, Tk 85 a loaf. All figures are illustrative.

Question. How much does the bakery save each month by buying from the cooperative? Why can the cooperative sell at a fair price, and what is its position as an owner? Why might the state-owned supplier sell below the bakery's price?

Reasoning, step 1: the saving. Trader's price Tk 84, cooperative's price Tk 80, so the saving is Tk 4 a litre. For 400 litres: $400 \times \text{Tk } 4 = \text{Tk } 1,600$ a month.

Step 2: the cooperative. A cooperative need not pay profit to outside owners. After costs, its surplus goes to its member farmers in proportion to the milk they supplied, as in the worked example. The bakery is a customer, not a member, so it gains through the price only.

Step 3: the state supplier. A state enterprise may fix a low price for a social aim, such as helping poor families. The bakery's price is Tk 100 and the state supplier's is Tk 85, a difference of Tk 15 or 15 per cent of Tk 100. The bakery must cover its own costs and a profit, so it cannot copy the lower price. It must compete on freshness and service, as Chapter III decided.

Conclusion. The cooperative serves its members' needs and the state enterprise serves a public aim. Neither is run only for profit, and that affects the prices each can charge.

Check. $400 \times \text{Tk } 84 = \text{Tk } 33,600$ and $400 \times \text{Tk } 80 = \text{Tk } 32,000$. The difference is Tk 1,600, which agrees with step 1.

CLOSING PACK

SUMMARY

A cooperative society is a business owned and run by its members to meet their needs, with one member, one vote, and its surplus shared by use. Cooperatives in Bangladesh work at primary, central and national levels and help farmers sell together. A state enterprise is owned by the government for the public benefit, and may be a department, a public corporation or a government company. It suits services the public must have. It faces problems of loss and weak control, and the remedies include freedom, targets and privatisation. The five forms can be compared by owner, capital, control, liability, profit and life.

THINK IT THROUGH

Problem 1. A fishing cooperative earned a surplus of Tk 1,80,000. Members landed 90,000 kg of fish in all. (a) What is the surplus per kilogram? (b) One member landed 3,500 kg. What is that member's share? (c) A member argues that those who put in more money

The whole chapter in a few lines.

Problem one tests surplus sharing and a decision.

WHERE PEOPLE GO WRONG

Many students think a cooperative earns no money. It may earn a surplus. The difference is who receives it: the members, in proportion to use, and not outside owners in proportion to shares.

Another error is to treat a public limited company and a state enterprise as the same. A public company is one that may invite the public to buy shares; the owners may be private. A state enterprise is owned by the government.

A third error is to think that state enterprises must lose money. Some earn a profit. The point is that they are run for a public aim, and a loss may arise when the price is set below cost.

Mistake one: thinking a cooperative makes no money at all.

Mistake two: thinking the state enterprise and public company are the same.

Mistake three: thinking a state enterprise must always run at a loss.

IN HISTORY

In 1844, in the town of Rochdale in northern England, a group of working people opened a shop that they owned together. Shops of that time often sold poor or short-weight goods. The members agreed that each would have one vote, that goods would be honest, and that the surplus would be shared in proportion to what each bought. Their shop lasted, and others copied its rules. The principles of cooperation used today descend from the practice of these pioneers.⁴

The Rochdale pioneers opened a members' shop in 1844.

REVIEW QUESTIONS

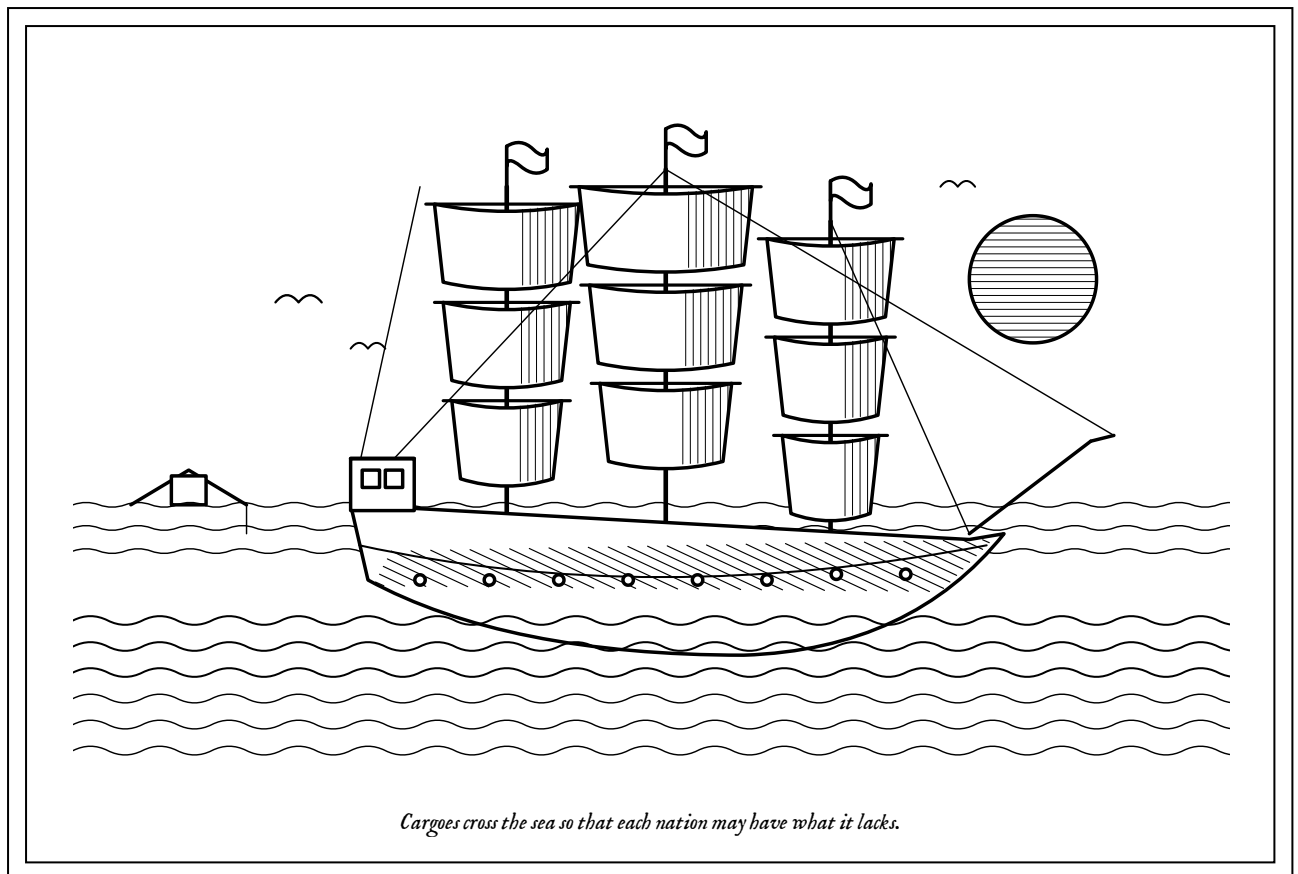
(1) Define a cooperative society and say what makes it different from a company. (2) State four principles of cooperation. (3) Name the three levels of cooperative society and give two kinds by purpose. (4) A cooperative has a surplus of Tk 3,00,000 and members supplied 2,00,000 litres. Find the surplus per litre, and the share of a member who supplied 5,000 litres.

(5) What is a state enterprise? Name its three forms. (6) State three reasons why governments own businesses. (7) Explain two causes of loss in a state enterprise and one remedy. (8) Compare a company and a cooperative on owners, control and profit, using a short table.

Questions one to four test cooperatives.

Questions five to eight test state enterprise and comparison.

⁴ Details of the Rochdale society's first years are outlined only. Histories give slightly different accounts of the number of founders and of the first shop's goods.



CHAPTER IX

Trade Between Nations

Why does a country that can grow wheat buy it from abroad?



Goods and services cross borders every day. This chapter explains why nations trade, what they gain and risk, how a country counts its trade, and how governments and world bodies guide it.

A country can do many things, yet it still trades.

This chapter needs the ideas of money, the environment and the forms of business.

Home trade. The buying and selling of goods and services within one country.

Trade inside a country is home trade; trade across borders is foreign trade.

Export. A good or service sold to a buyer in another country.

One sale across the border is an export for the seller and an import for the buyer.

Foreign trade differs from home trade in seven ways.

Look at the label inside a shirt. It may say that the shirt was made in Bangladesh, from cotton grown in another land, to be worn in a third. Look next at a loaf of bread: part of its flour may have grown in fields thousands of kilometres away. Yet Bangladesh has fertile land and could grow more wheat. Why does it not grow all it needs? And why do other countries buy our shirts when they could sew their own? These two questions lead to the idea of this chapter: that nations, like neighbours, gain by exchanging what each does well.

You will need: the meaning of goods, services and money (Chapter I), the outside forces on a firm (Chapter III), and the idea of a company (Chapter VII). Chapter X shows how a single sale is carried out across a border.

HOME TRADE, FOREIGN TRADE, AND WHY NATIONS TRADE

In Chapter I you learned that trade means buying and selling. We now sort trade by place. **Home trade** is the buying and selling of goods and services within one country. A baker in Dhaka who sells a cake to a customer in Chattogram is engaged in home trade. **Foreign trade** is the buying and selling of goods and services between different countries.¹ A Bangladeshi firm that sends shirts to a shop in Germany is engaged in foreign trade.

Every foreign sale has two sides. An **export** is a good or service sold to a buyer in another country. An **import** is a good or service bought from a seller in another country. The same sale is an export for the seller's country and an import for the buyer's country. Trade in goods, such as shirts and flour, is sometimes called visible trade, because one can see the goods cross the border. Trade in services, such as shipping, banking and tourism, is called invisible trade.

Why treat foreign trade separately? Because it brings problems that home trade does not. The table sets the two side by side; read each row for one point of difference.

HOME TRADE COMPARED WITH FOREIGN TRADE

POINT	HOME TRADE	FOREIGN TRADE
Parties	Buyer and seller in one country	Buyer and seller in different countries
Money	One currency	Different currencies, so an exchange rate is needed
Law and rules	One legal system	Two or more systems, with customs rules at each border
Movement of goods	Short distances, often by road	Long distances, often by ship or air
Papers	Few	Many (see Chapter X)
Risk	Lower	Higher: delay, currency change, political trouble

¹ Foreign trade is also called "international trade". This book uses "foreign trade", the form used in Bangladesh.

shirts. Rina is better at both jobs. Does Rina gain anything from trading with Salim?

Look at what each gives up. When Rina sews one shirt, she gives up 2 cakes, because 12 cakes and 6 shirts fill the same day. When Salim sews one shirt, he gives up only 1 cake. So Salim's shirts are *cheaper*, in cakes, than Rina's shirts. Suppose each divides the day in half and makes some of each. Rina makes 6 cakes and 3 shirts; Salim makes 2 cakes and 2 shirts. Together they have 8 cakes and 5 shirts.

Now let Salim sew only shirts: 4 shirts. Rina must still supply the fifth shirt, which takes one-sixth of her day, so she sews 1 shirt and bakes cakes in the remaining five-sixths of her day: 10 cakes. Together they now have 10 cakes and 5 shirts. The shirts are the same; there are 2 more cakes. The extra cakes come only from making things in the right place.

Let them exchange: Salim gives 2 shirts to Rina and receives 3 cakes. Rina now holds 7 cakes and 3 shirts; Salim holds 3 cakes and 2 shirts. Compare with the start. Rina has 1 more cake and the same shirts. Salim has 1 more cake and the same shirts. Both are better off, and the weaker neighbour has gained as much as the stronger one.

The rule behind the example is this. A producer has a **comparative advantage** in a good when making it costs that producer less in other goods given up than it costs another producer. Salim has a comparative advantage in shirts; Rina has one in cakes. Each should concentrate on the thing they give up least to make, which is called **specialisation**, and then trade. Notice that Rina is better at both jobs, and still gains. What matters is the comparison of what is given up, and not who is better.

Replace Rina and Salim by two countries, and cakes and shirts by wheat and clothing. A country with much land and few workers gives up little by growing wheat. A country with many workers and little farmland gives up little by making clothes. Each does best by specialising and trading. Countries also trade for other reasons: climate and minerals differ, so some goods cannot be made everywhere; technology and skills differ; and a larger market allows larger and cheaper production. Customers also enjoy variety.

The idea has limits, and honesty requires us to state them. Workers in an industry that cannot compete with imports may lose their jobs, even when the nation as a whole gains. A young industry may need protection for some years before it can compete. And a country that depends on a single export is exposed when its price falls. These points explain why governments guide trade, as we shall see in the last section.

Meena can bake 10 loaves or make 5 pots in a day. Tarek can bake 3 loaves or make 6 pots. Who has the comparative advantage in pots? Work out what each gives up for one pot, then compare. The answer is at the back of the book.

Before moving on: nations trade because each gives up less by specialising and exchanging. You should now be able to say why a country that is better at everything still gains from trade.

Look at what each gives up: Rina gives up more cakes per shirt than Salim does.

Now let each focus on what costs them less.

Trade then shares the gain between them.

Comparative advantage. The ability to make a good while giving up less of other goods than another producer would.

The rule: gain comes from comparing what is given up, not from being best.

Countries do the same, as Bangladesh's shirts and others' wheat show.

The idea has limits: not everyone gains, and new industries may need time.

PAUSE AND CHECK.

Test the rule on two new producers.

Recap: nations gain by specialising and exchanging.

Exchange rate. The price of one country's money in terms of another country's money.

Foreign money is needed, and its price is called the exchange rate.

Trade has risks, which a wise firm and a wise government must watch.

Recap: benefits and risks of foreign trade.

Balance of trade. The value of a country's exports of goods minus the value of its imports of goods.

Balance. Word in use. In daily life, a weighing scale or what remains. In trade, the difference between two totals.

A country counts its trade in goods by subtracting imports from exports.

A trade deficit is not always bad, nor a surplus always good.

Balance of payments. A record of all money that enters and leaves a country in a period, for trade, services, income and investment.

The wider picture counts all

alone can provide, so it can grow larger. The fourth is employment: export industries give work to many people, and Bangladesh's clothing industry is an example. The fifth is learning: firms meet new methods, designs and technology. The sixth is earnings of foreign money, which pays for imports.

Money brings us to a new idea. A buyer abroad pays in the seller's currency, or in a third currency such as the US dollar, so one country's money must be turned into another's. The price at which this is done is the **exchange rate**. Suppose the rate is Tk 120 for one US dollar. An American book priced at US\$10 then costs Tk 1,200. If the taka weakens to Tk 126 for a dollar, the same book costs Tk 1,260.² Imports have become dearer, and Bangladeshi exports have become cheaper for foreign buyers. A fall in the taka's value therefore helps exporters and hurts importers.

Trade also carries risk. A country that buys its fuel or food abroad is exposed when supply stops or prices rise. Cheap imports may close local firms. Price swings in world markets can cut export earnings overnight. Exchange rates may move against a firm between the day it signs a contract and the day it pays. And disputes between governments may close markets. Firms reduce these risks by dealing with several buyers and suppliers; governments reduce them with policies that we study in the last section.

Before moving on: foreign trade gives goods, markets and jobs but carries risk. You should now be able to say how a weaker taka affects an importer.

BALANCE OF TRADE AND BALANCE OF PAYMENTS

A country needs to know how it stands in trade, just as a firm must know its sales and costs. The first measure is the **balance of trade**: the value of a country's exports of goods minus the value of its imports of goods, over a period such as a year. If exports are larger, the result is a *trade surplus*. If imports are larger, the result is a *trade deficit*. Imagine a country that exports goods worth US\$4,000 million and imports US\$5,200 million. Its balance of trade is $4,000 - 5,200 = -1,200$, a deficit of US\$1,200 million.

Many students think a deficit is simply bad. That is not always so. A country that imports machines for new factories runs a deficit now and may export more later. A country with a persistent deficit must still find the money to pay, from earnings elsewhere or from borrowing. So a deficit is a warning to examine, and a surplus is not always a prize, since a country may export goods that its own people need.

Goods are not the whole of a country's dealings. It also sells and buys services such as shipping and banking. Workers abroad send money home, which is called *remittances*, and this is a large source of income for Bangladesh. And money flows in and out for investment and loans. The **balance of payments** is a record of all money

² The rates in this book are invented to show the idea and are not the rates of any date.

on the capital and financial account. The overall balance is $-700 + 500 = -200$. The country has paid out US\$200 million more than it received. It meets the gap from its reserves, which are the foreign money held by its central bank, or by borrowing.

BALANCE OF TRADE COMPARED WITH BALANCE OF PAYMENTS

POINT	BALANCE OF TRADE	BALANCE OF PAYMENTS
What it records	Goods only	Goods, services, income, remittances, investment and loans
Result	Trade surplus or deficit	Overall surplus or deficit
Parts	Exports and imports of goods	Current account and capital and financial account
Size of picture	A part	The whole

How can a country mend a deficit? It may raise exports by helping its firms, cut imports by taxes or limits, let its exchange rate adjust, attract investment, or borrow. Each choice has costs. Cutting imports raises prices at home; borrowing must be repaid. The measures that governments use are the subject of the next section.

A country exports goods worth US\$3,000 million and imports US\$3,600 million. Its services earn a net +100, and remittances give +700. Find (a) the balance of trade and (b) the current account. The answers are at the back of the book.

A country can narrow a deficit by raising exports or cutting imports.

PAUSE AND CHECK.

Test the two measures on new figures.

HOW GOVERNMENTS AND WORLD BODIES GUIDE TRADE

Governments do not leave trade alone, for four reasons. They wish to protect local firms from sudden foreign competition, to earn revenue, to correct a deficit, and to protect the public from unsafe goods. They also wish to help their own exporters. The tools fall into two groups: those that restrict imports, and those that encourage exports.

The best-known tool is the **tariff**, a tax placed on imported goods, also called a customs duty. The second is the **quota**, a limit on the quantity of a good that may be imported in a period. Other tools include import bans, licences, and standards for safety and quality. Compare two ways of cutting imports of biscuits. A tariff makes each pack dearer but allows any amount. A quota allows only a fixed number of packs but leaves the price to the market.

Take imported biscuits that reach the port at Tk 90 a pack, while local biscuits sell at Tk 95. The government adds a tariff of 10 per cent. The duty is 10 per cent of Tk 90, which is Tk 9. The imported pack now costs Tk 99, so the local pack is the cheaper. The local firm gains sales; the government gains Tk 9 on each pack still imported; and the customer pays more, or has less choice. We see that a tariff helps some people and costs others.

To encourage exports, a government may give a subsidy (see

Governments guide trade to protect firms, earn revenue and balance accounts.

Tariff. A tax placed on imported goods.

A tariff makes imports dearer; a quota limits how many may enter.

A worked tariff example shows who gains and who loses.

Governments also reward

³ Cash support, duty refunds and bonded warehouses are among the schemes used in Bangladesh. The details change often; check current rules before relying on them.

WTO. World Trade Organization, the world body that sets rules for trade between its member countries.

A world body writes rules so that trade between members is fair.

Argument remains over free trade and protection, and both sides have a case.

Recap: tariffs, quotas, subsidies and the WTO.

The bakery's flour figures for November 2026.

The case asks what a weaker taka does to the bakery's flour bill.

We work out the cost before and after the change.

The bakery's profit falls by the same amount unless it acts.

supports, and Chapter XII describes the zones and the bodies that promote exports.

One country's tariff may harm another country's exporters, and each may then reply with its own. If every country did so, trade would shrink and all would lose. To prevent this, many countries have joined the **WTO**, the World Trade Organization, in which members agree on rules for trade.⁴ It provides a place for countries to negotiate lower barriers, and a way to settle disputes between members. Countries may also sign agreements between two or more of themselves, to lower tariffs on each other's goods.

People disagree about how far governments should limit trade. Those who favour free trade say that it brings lower prices, better goods and growth, as the Rina and Salim example showed. Those who favour protection say that young industries need time, that jobs matter, and that no nation should depend on others for essentials. A thoughtful reader will see merit in each, and will notice that most governments use a mixture.

Before moving on: governments use tariffs, quotas and subsidies to guide trade, and the WTO sets common rules. You should now be able to say who gains and who loses from a tariff.

THE WORKED CASE: FLOUR AND THE EXCHANGE RATE

Case file, illustrative. November 2026. Of the 500 kg of flour the bakery buys each month (Tk 32,400 in all, Chapter III), 300 kg is bought from a local mill at Tk 64.80 a kg. The other 200 kg comes through an importer who quotes in US dollars: US\$0.54 a kg at an exchange rate of Tk 120 to the dollar. Taka falls to Tk 126 to the dollar. The importer's margin is ignored. All figures are invented to teach.

Situation. The bakery's imported flour is priced in dollars. *Question.* What happens to the monthly flour bill when the taka falls from Tk 120 to Tk 126 to the dollar?

Reasoning. Before the fall: imported flour costs $\text{US\$}0.54 \times \text{Tk } 120 = \text{Tk } 64.80$ a kg, so 200 kg costs Tk 12,960. Local flour is $300 \times \text{Tk } 64.80 = \text{Tk } 19,440$. The total is Tk 32,400, which agrees with Chapter III. After the fall: $\text{US\$}0.54 \times \text{Tk } 126 = \text{Tk } 68.04$ a kg, and 200 kg costs Tk 13,608. The local price is unchanged, so the bill is $\text{Tk } 19,440 + \text{Tk } 13,608 = \text{Tk } 33,048$. The rise is $\text{Tk } 33,048 - \text{Tk } 32,400 = \text{Tk } 648$, or 2.0 per cent.

Conclusion. If the owners absorb the rise, monthly profit falls by Tk 648, from Tk 53,800 (Chapter IV) to Tk 53,152, which is Tk 6,848 short of the Tk 60,000 target. They might buy more flour from the local mill, whose price does not follow the dollar. *Check.* Tk 648 divided by Tk 32,400 is 0.02. And Tk 126 is 5 per cent more than Tk 120, so the imported part, Tk 12,960, should rise by 5 per cent: Tk 648. The two routes agree.

⁴ The WTO began work on 1 January 1995 and took over from an older agreement, the General Agreement on Tariffs and Trade (GATT) of 1947. Its headquarters are in Geneva.

exchange rate. The balance of trade counts goods only; the balance of payments counts all money in and out. Governments use tariffs, quotas and subsidies to guide trade, and the WTO sets rules among its members.

THINK IT THROUGH

One. A country exports goods worth US\$4,000 million and imports US\$5,200 million. Its services show net -400, remittances +900, and investment and loans +500. Find (a) the balance of trade, (b) the current account, (c) the overall balance, and (d) say how the gap might be met.

Two short cases to reason through on paper.

Two. A shirt reaches the port at Tk 600. The government adds a tariff of 20 per cent. A local shirt sells at Tk 700. (a) What is the duty? (b) What does the imported shirt now cost? (c) Who gains and who loses?

The second case tests a tariff.

WHERE PEOPLE GO WRONG

Some say a country must be best at a thing to trade in it. It must only give up less to make it. Others say that a trade deficit means the country is losing, but a deficit may reflect investment in future output. A third error is to treat the balance of trade and the balance of payments as the same; the first counts goods only. Another is to say that a weaker taka is always bad: it helps exporters and hurts importers. The last is to say that a tariff helps everyone. It helps local producers and the government but raises prices for buyers.

Five confusions, each stated and corrected.

IN HISTORY

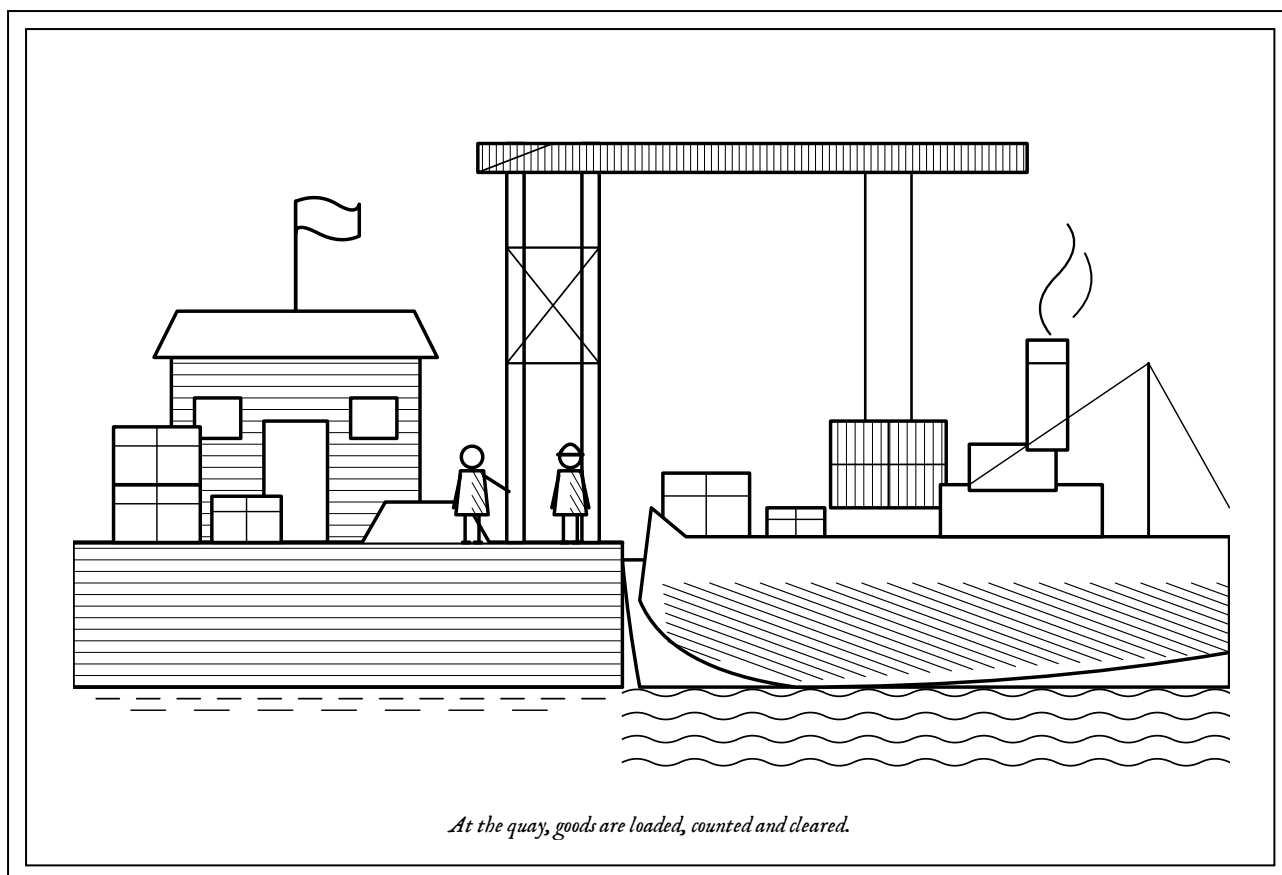
In 1817 the English economist David Ricardo, who had made his fortune as a stockbroker, published *On the Principles of Political Economy and Taxation*. In it he used the example of England and Portugal, which traded cloth and wine. Even if Portugal could make both more cheaply, he argued, each country gained by making the good it gave up least to make, and exchanging. At that time many English landowners defended taxes on imported grain, and Ricardo's argument became a weapon in the case for freer trade.

In 1817 an English economist showed why even a weaker producer gains by trade.

REVIEW QUESTIONS

QUESTIONS FOR REVIEW

NO.	QUESTION
1	Define home trade and foreign trade. State three ways in which they differ.
2	Explain the terms export and import. Give one example of each for a Bangladeshi firm.
3	Mina can make 8 loaves or 4 pots in a day; Imran can make 2 loaves or 4 pots. Who has the comparative advantage in loaves? Explain.
4	Explain why a country that is better at every product may still gain



CHAPTER X

Export and Import in Practice

A stranger across the sea: who sends first, the goods or the money?



Chapter IX explained why nations trade. This chapter shows how one sale crosses a border: the steps an exporter and an importer follow, the papers that carry the trade, and the barriers that Bangladeshi exporters meet and how they may be lowered.

Seller and buyer have never met, and neither will move first.

This chapter needs the ideas of foreign trade, exchange rates and tariffs, and of banks and transport as aids to trade.

Exporter. A person or firm that sells goods to a buyer in another country.

The exporter is the seller; the importer is the buyer abroad.

An export follows a fixed order of steps from first contact to final payment.

A baker in Dhaka receives an order from a shop owner in Dubai whom she has never met. She will not ship the biscuits until she is paid, for if the money never arrives she cannot get the goods back. The shop owner will not pay until the biscuits arrive, for if they never come he cannot get his money back. Each is honest, and each is afraid. The goods must travel by sea, and the money must travel by bank. Who moves first? The answer is a set of steps and papers, built over centuries so that strangers can trade. This chapter teaches them.

You will need: export, import, exchange rate and tariff (Chapter IX), and the aids to trade, such as banks, transport and insurance (Chapter I).

EXPORT PROCEDURE

Two words name the two sides. An **exporter** is a person or firm that sells goods to a buyer in another country. An **importer** is a person or firm that buys goods from a seller in another country. Our baker is the exporter; the shop owner in Dubai is the importer. The goods themselves go by ship or aircraft, and the firm that owns the vessel carries them. The person who hands the goods to the carrier is called the **shipper**, and the person named to receive them is the **consignee**.¹ Often the exporter is the shipper and the importer is the consignee, but not always.

An export follows a fixed order. The table lists the steps, and the paragraphs after it explain the less obvious ones. Read down the table once, then read the notes.

STEPS OF AN EXPORT

STEP	WHAT HAPPENS	WHO ACTS
1	The exporter registers with the government to export and finds a buyer	Exporter
2	Buyer and exporter agree the goods, price and terms; the exporter sends a price quotation	Both
3	The buyer arranges a letter of credit through a bank	Importer and bank
4	The exporter checks the letter of credit and makes or collects the goods	Exporter
5	Goods are inspected, packed and marked	Exporter
6	Space is booked with a carrier; insurance is arranged	Exporter or agent
7	Customs checks the papers and clears the goods	Customs
8	Goods are loaded; the carrier issues a bill of lading	Carrier
9	The exporter sends the papers to the bank and receives payment	Exporter and bank

¹ A shipper may be a forwarding agent acting for the exporter, and a consignee may be a bank until the importer has paid.

² In Bangladesh an exporter registers with the office that controls imports and exports, and also holds a valid trade licence (Chapter V). Check the present rules and forms.

of sale: what is sold, how many, the price, who pays for carriage and insurance, and how the buyer will pay.

Step 4 matters more than it looks. The exporter reads the letter of credit line by line, because the bank will pay only if the exporter follows its terms exactly. If anything is wrong, such as a wrong date or a missing document, the exporter must ask the buyer to correct it *before* shipping. Steps 5 and 6 are practical: goods are checked for quality, packed so that they survive the journey, and marked with the buyer's name and port, and cargo insurance is bought to cover loss at sea.

Step 7 is **customs clearance**: permission from the customs service for goods to leave or enter a country, after the papers have been checked and any duty paid. We tend to think of customs only at the point where goods *enter* a country, but exports are checked too, to confirm that the goods match the papers and that nothing banned is leaving. In step 9 the exporter hands the papers to a bank. The bank forwards them to the importer's bank and, when they are in order, the exporter is paid.

Put these in the right order: shipment loaded; letter of credit received; goods packed; payment received; papers sent to the bank. The answer is at the back of the book.

Before moving on: an export runs from registration and a quotation, through a letter of credit, packing and clearance, to shipment and payment. You should now be able to say why the exporter reads the letter of credit before making the goods.

Before shipping, the exporter checks the letter of credit and prepares the goods.

Customs clearance.

Permission from the customs service for goods to leave or enter a country, after papers are checked and duty is paid.

Customs must approve goods before they leave the country.

PAUSE AND CHECK.

Test the order of the steps.

Recap: the steps of an export.

IMPORT PROCEDURE

An import is the same trade seen from the other side. The importer holds the money and orders the goods, so the importer's steps are mirror images of the exporter's. The table follows the same layout. Read it beside the export table to see the pairs.

An import mirrors an export, with the buyer in charge.

STEPS OF AN IMPORT

STEP	WHAT HAPPENS	WHO ACTS
1	The importer registers and decides what to buy	Importer
2	The seller sends a price quotation; the importer places an order	Both
3	The importer asks a bank to open a letter of credit in the seller's favour	Importer and bank
4	The seller ships the goods and sends the papers through banks	Exporter and banks
5	The importer's bank gives the papers when the importer pays or agrees to pay	Bank
6	The importer files a customs declaration, and customs works out the duty	Importer and customs
7	The importer pays duty and taxes	Importer
8	Customs releases the goods; the importer collects them from the port	Customs and importer

Bill of entry. The importer's declaration to customs listing the goods, their value and their origin.

The importer's declaration to customs lets the duty be worked out.

A worked example shows how duty adds to the cost of an import.

PAUSE AND CHECK.

Test the method on new figures.

Recap: the steps of an import.

Every border sale rests on papers, and each paper has one clear job.

Steps 6 and 7 concern the government. The importer files a declaration, called the **bill of entry**, which lists the goods, their value and their origin.³ Customs checks the declaration against the papers, may inspect the goods, and then charges the tariff you studied in Chapter IX, together with other taxes such as VAT. Only after payment will customs release the goods. Delay here costs money, since goods left at a port may incur storage charges each day.

Here is a small example, with an invented duty rate. *Given.* Goods are invoiced at Tk 2,00,000; freight and insurance are Tk 20,000; the duty rate is 5 per cent of the total value at the port. *Find.* The duty and the total cost to the importer. *Formula.* Duty equals the rate times the value at the port; total cost equals that value plus duty. *Steps.* Value at the port = Tk 2,00,000 + Tk 20,000 = Tk 2,20,000. Duty = 5 per cent $\times$ Tk 2,20,000 = Tk 11,000. Total = Tk 2,20,000 + Tk 11,000 = Tk 2,31,000. *Answer.* The duty is Tk 11,000 and the importer's cost Tk 2,31,000. *Check.* Five per cent of Tk 2,20,000 is one-twentieth, and $\text{Tk } 2,20,000 \div 20 = \text{Tk } 11,000$.

Goods are invoiced at Tk 80,000; freight and insurance are Tk 10,000; the duty rate is 10 per cent. Find the duty and the total cost. The answer is at the back of the book.

Before moving on: an importer orders, opens a letter of credit, files a bill of entry, pays duty, and collects the goods. You should now be able to say which party opens the letter of credit.

DOCUMENTS OF FOREIGN TRADE

The baker and the shop owner cannot see each other, so they trust papers. Each paper has a job: it describes the goods, proves they were loaded, shows who owns them, or promises payment. The table names the main documents and their purpose. After the table, we study the four that students find hardest: the invoice, the bill of lading, the charter party and the letter of credit.

MAIN DOCUMENTS OF FOREIGN TRADE

DOCUMENT	WHO PREPARES IT	WHAT IT DOES
Invoice	Seller	Lists goods, quantity, price and total owed
Packing list	Seller	Shows what is in each package
Certificate of origin	A chamber or authority	States the country where the goods were made
Bill of lading	Carrier	Receipt for goods, contract of carriage, and proof of ownership
Insurance document	Insurer	Proves the cargo is covered against loss
Letter of credit	Importer's bank	A bank's promise to pay the seller if the papers match

Invoice. A seller's document listing the goods sold, their price and the total the buyer

An **invoice** is a seller's document listing the goods sold, their price and the total the buyer must pay. It serves as a bill for the importer,

³ The name "bill of entry" is used in Bangladesh and in many other countries. The forms and the way of filing change with the customs system; check the current practice.

The **bill of lading** is a carrier's document that gives a receipt for goods loaded and states the terms on which they are carried. It does three jobs. It is a receipt, since it proves that the carrier took the goods on board in good order. It is the contract of carriage, since it records the terms of the journey. And it is a *document of title*: whoever holds the original document may claim the goods at the end of the voyage. That third job makes it valuable, which is why banks keep it until payment is made.

A **charter party** is a contract by which a person hires a whole ship, or a large part of it, for a voyage or a period. A small exporter with a few cartons does not hire a ship; the cartons travel with others on a ship the carrier already runs, and the carrier issues a bill of lading. A firm shipping a full cargo of grain may charter the entire vessel. The two documents therefore differ in size and purpose, as the table shows.

BILL OF LADING COMPARED WITH CHARTER PARTY

POINT	BILL OF LADING	CHARTER PARTY
What it is	Receipt and contract for one consignment	Contract for hire of a ship
Who uses it	Any shipper, large or small	Firms with large cargoes
What is hired	Space for the goods	The ship, or much of it
Proof of ownership	Yes	No

Now we can answer the puzzle of the opening page. Think first of an everyday case. You wish to buy a bicycle from a stranger, but you are afraid to hand over money before you see it, and the seller fears to hand over the bicycle before the money. So you both go to a trusted friend. You leave the money with the friend, and the friend gives it to the seller when the bicycle is handed over. The friend is the go-between. In foreign trade the go-between is a bank, and its promise is the **letter of credit**: a bank's written promise, made at the buyer's request, to pay the seller if the seller presents the papers it names.

Follow the steps. The importer, the *applicant*, asks his bank to issue a letter of credit naming the exporter as the *beneficiary* and listing the papers required. The bank, the *issuing bank*, sends the letter to a bank near the exporter, the *advising bank*. The exporter ships the goods and takes the required papers to that bank. If the papers match the letter exactly, the bank pays. The importer's bank then collects from the importer. The exporter is safe because a bank promises payment; the importer is safe because the bank pays only when the papers show the goods were loaded. The rule is that the papers must match.⁴

An important limit follows. The bank looks at *papers*, not at *goods*. If the papers match, the bank pays, even if the goods turn out

⁴ Banks around the world follow common rules for these credits, published by the International Chamber of Commerce, called the Uniform Customs and Practice for Documentary Credits.

Bill of lading. A carrier's document that receipts goods for shipment and states the terms of carriage.

Bill. Word in use. In daily life, a request for payment. In shipping, a written record of goods handed to a carrier.

The bill of lading does three jobs at once.

Charter party. A contract by which a person hires a whole ship, or a large part of one, for a voyage or a period.

A charter party hires the whole ship; a bill of lading covers one load.

Letter of credit. A bank's written promise, at the buyer's request, to pay the seller if the seller presents the papers it names.

We solve the opening puzzle with a bank as go-between.

GO SLOWLY HERE.

The letter of credit has four parties and one rule: the papers must match.

Banks check papers, not goods, so quality must be

promise. You should now be able to say why a bank can safely pay against papers.

BARRIERS TO EXPORT AND HOW TO LOWER THEM

Even with the steps known, exporters from Bangladesh meet barriers.

Each barrier has a likely cure, and the table sets them side by side.

Knowing the steps does not make exporting easy. Exporters from Bangladesh, like those in many developing countries, meet barriers of three kinds. Some lie inside the firm or the country: weak roads and ports, delays in clearance, uncertain supply of power, high cost of loans, and a short supply of trained staff. Some lie in the product: a country that sells mostly one kind of good, as Bangladesh largely does with clothing, is exposed when buyers change their taste or prices fall.⁵ And some lie in the buyer's country: tariffs and quotas, strict rules on safety and quality, and buyers' demands about working conditions.

The table lists some barriers, their effect, and a way to lower each. It is a starting point: the right cure for a given firm depends on its product and its market.

BARRIERS TO EXPORT AND WAYS TO LOWER THEM

BARRIER	EFFECT	A WAY TO LOWER IT
Slow port and customs	Delays and storage costs	Faster clearance, simpler forms, better port equipment
Few kinds of export	Risk if one market weakens	Develop new products and new markets
Poor quality or standards	Goods rejected by buyers	Training, testing and quality certificates
Costly or scarce credit	Small firms cannot start	Low-cost loans for exporters
Tariffs and quotas abroad	Goods dearer or limited	Trade agreements and talks through the WTO
Little knowledge of markets	Wrong goods, wrong buyers	Market studies, trade fairs, trade missions

Export promotion. Actions by government and others that help firms to sell more abroad.

Export promotion is the set of actions that help firms sell abroad.

A sound strategy widens both the range of goods and the range of markets.

Export promotion means the actions by government and others that help firms to sell more goods abroad. They include the supports named in Chapter IX, such as cash support and duty refunds. They include trade fairs, where a firm shows its goods to foreign buyers; trade missions, which take groups of firms to visit a market; training in quality and design; and special zones with good facilities. Government bodies and trade bodies carry out much of this, and Chapter XII describes them.

A sound strategy rests on two ideas. First, widen the range of goods, so that the country does not rest on one product. Second, widen the range of markets, so that one buyer's trouble does not become the country's trouble. Both need a steady supply of good-quality goods, trained people, and honest dealing in every consignment. A firm that delivers on time and as promised earns a good name, and a good name brings repeat orders, which is the best pro-

⁵ Ready-made garments supply the large majority of Bangladesh's export earnings. Check the current share before quoting a figure.

Before moving on: barriers lie at home, in the product and in the buyer's country, and promotion aims to lower them. You should now be able to say why a country that sells one product is at risk.

Recap: barriers and promotion.

THE WORKED CASE: THE FIRST EXPORT

Case file, illustrative. March 2027. The bakery, now a private limited company (Chapter VII), accepts an order from a shop in the United Arab Emirates for 2,000 packs of biscuits at Tk 90 a pack, packed in 100 cartons of 20 packs. It costs Tk 62 to make and pack each pack, and Tk 14,000 to carry and insure the whole consignment, which the bakery pays. The buyer opens a letter of credit. All figures are invented.

The bakery's first export, March 2027.

Situation. The bakery will make its first export. *Question.* In what order does the sale move, which papers are needed, and what does the bakery earn before other costs?

The case asks us to put the sale in order and test whether it pays.

Reasoning. The bakery registers as an exporter, agrees the terms with the buyer, and receives the letter of credit. It checks every line against the order. It makes and packs the 2,000 packs into 100 cartons, books carriage and insurance, and has customs clear the cartons. The carrier loads them and issues a bill of lading. The bakery sends the bank the invoice ($2,000 \times \text{Tk } 90 = \text{Tk } 1,80,000$), the packing list, a certificate of origin, the bill of lading and the insurance document, as the letter of credit requires. When the papers match, the bank pays Tk 1,80,000. The cost of making is $2,000 \times \text{Tk } 62 = \text{Tk } 1,24,000$.

We follow the steps in order and name the papers.

Conclusion. Earnings before other costs equal $\text{Tk } 1,80,000 - \text{Tk } 1,24,000 - \text{Tk } 14,000 = \text{Tk } 42,000$. The pilot pays, if other costs are small. The bakery should also watch the exchange rate, as in Chapter IX, since the buyer pays in foreign money. *Check.* The earnings per pack are $\text{Tk } 90 - \text{Tk } 62 - \text{Tk } 7$ (the carriage of Tk 14,000 spread over 2,000 packs) = Tk 21. Then $2,000 \times \text{Tk } 21 = \text{Tk } 42,000$, which agrees.

The earnings figure follows from sales less making cost and carriage.

SUMMARY

An export runs from registration and agreement of terms, through a letter of credit, packing, insurance and customs clearance, to shipment and payment. An import mirrors it, with the importer opening the letter of credit and paying duty on a bill of entry. Documents carry the trade: the invoice bills, the bill of lading receipts the goods and proves ownership, the charter party hires a ship, and the letter of credit promises payment. Exporters from Bangladesh meet barriers at home, in the product and abroad, and export promotion tries to lower them.

The chapter's main points in a few lines.

THINK IT THROUGH

One. A firm will export 1,000 packs of snacks at Tk 120 a pack, packed 25 to a carton. (a) What is the invoice total? (b) How many cartons are shipped? (c) Which document proves the goods were loaded? (d) Who is the shipper and who is the consignee?

Two short cases to reason through on paper.

Five confusions, each stated and corrected.

WHERE PEOPLE GO WRONG

Some say that a letter of credit guarantees good quality. It guarantees payment against matching papers, and nothing more. Others confuse the bill of lading with the charter party: the first receipts a load, the second hires a ship. A third error is to think that customs concerns only imports, when exports are cleared too. Another is to think that the exporter is always the shipper, when an agent may ship the goods. The last is to treat any small mismatch in papers as unimportant; the bank may refuse to pay.

Merchants once travelled with their goods; written receipts let them stay at home.

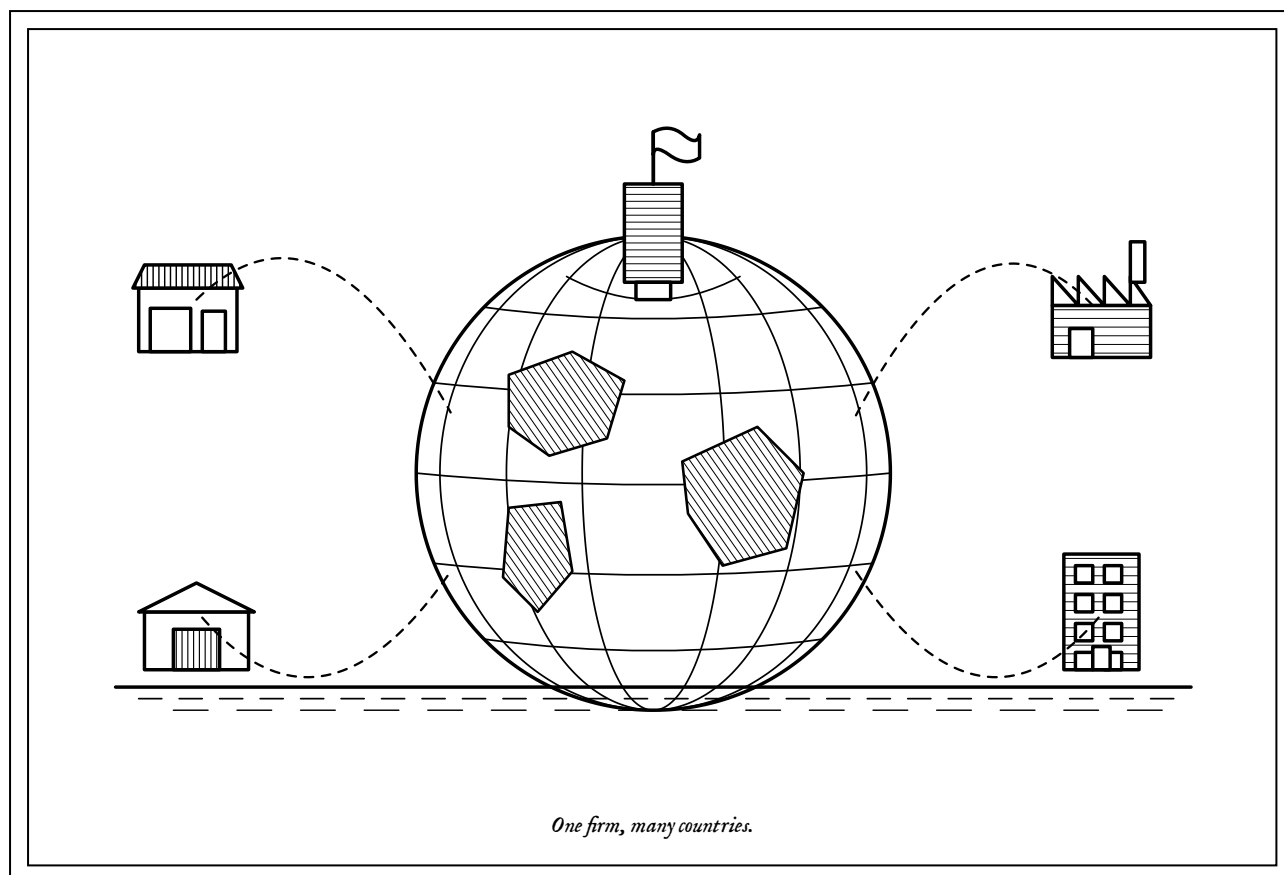
IN HISTORY

In the late Middle Ages, merchants in the Mediterranean often sailed with their goods, or sent an agent, to guard them and to sell them. As trade grew, the need arose for a written receipt that the captain gave for goods loaded, and for a record of where they were to be delivered. These records became the bill of lading. Once the receipt could be passed from one person to another, goods could be bought and sold while still at sea, and a merchant no longer needed to sail with his cargo.

REVIEW QUESTIONS

QUESTIONS FOR REVIEW

NO.	QUESTION
1	List in order the main steps of an export.
2	Explain the terms exporter, importer, shipper and consignee.
3	Goods invoiced at Tk 1,50,000, with freight and insurance of Tk 10,000, bear a duty of 8 per cent of the value at the port. Find the duty and total cost.
4	Describe the steps an importer takes from order to collection.
5	Explain the three jobs of a bill of lading.
6	Distinguish between a bill of lading and a charter party.
7	Explain how a letter of credit protects both seller and buyer.
8	Describe three barriers to export from Bangladesh and one way to lower each.



CHAPTER XI

Multinational Corporations

A firm with one home and many workplaces: friend or master?



Some of the largest firms in the world work in dozens of countries at once. This chapter explains what a multinational corporation is, how it is organised and staffed, why it expands abroad, and what its presence may bring to a developing country such as Bangladesh.

A bakery owner is offered a famous foreign brand, and must ask why anyone offers it.

This chapter needs the idea of a company and the idea of trade between nations.

Multinational corporation. A large firm that owns and runs business operations in several countries.

A multinational corporation runs business in several countries from one centre.

Home country. The country where a multinational corporation has its headquarters and is owned.

The home country is where the firm is based; the host country is where it works abroad.

Foreign direct investment. Money that a firm of one country puts into owning or controlling a business in another country.

Direct investment means putting money into a business abroad, to own or control it.

Franchise. The right to use a firm's brand, products and methods in return for fees.

A franchise lets a local firm use a foreign brand without foreign ownership.

Technology transfer. The passing of machines, methods and skills from one firm or country to another.

Technology transfer passes

A foreign bakery brand, known in many countries, approaches our baker with an offer: use our name, our recipes and our shop design, and pay us a fee. The baker is pleased and uneasy. Why would a firm from another country wish to be in her street at all? It could simply sell its goods across the border, as Chapter IX described. And if it comes, who gains more, the baker, her customers, the nation, or the foreign firm? These questions lead to one of the most debated subjects in business: the multinational corporation.

You will need: the company and its shareholders (Chapter VII), and foreign trade, exports and imports (Chapters IX and X).

WHAT A MULTINATIONAL CORPORATION IS

A **multinational corporation** is a firm that owns and runs business operations in several countries. A firm that only exports goods is not one, for it does not run operations abroad. A firm that builds a factory or opens shops in other countries is one. Such firms are usually very large. They hold much capital, use advanced technology, own well-known brands, and employ many thousands of people. They often take the legal form of a company, as in Chapter VII.

Two words name the countries. The **home country** is the country where a multinational corporation has its headquarters and is owned. The **host country** is a country where it operates but is not based.¹ Take a firm with headquarters in Country Z that runs a factory in Bangladesh. Z is the home country and Bangladesh is the host country. The firm in Z is the *parent company*; the business it runs in Bangladesh is its *subsidiary*, which is a company controlled by another, here by the parent.

How does the parent enter the host country? One way is **foreign direct investment**: money that a firm of one country puts into owning or controlling a business in another country. Building a factory is an example; so is buying most of the shares of a local firm. The parent may own the subsidiary wholly, or share ownership with a local partner in a *joint venture*. Both are direct investment, because the parent controls the business. Contrast it with a loan, which brings money but not control.

A less costly way to enter a country is the **franchise**: the right to use a firm's brand, products and methods in return for fees. The foreign brand gives the right; the local owner, called the *franchisee*, runs the shop with its own money and pays the *franchisor*, usually a lump sum at the start and a share of sales each month. The local owner is not a subsidiary; she owns her shop. A *licence* is similar and allows a local firm to make a product by the owner's methods.

Entry often brings **technology transfer**: the passing of machines, methods and skills from one firm or country to another. When a foreign maker installs a machine and trains local staff to run it, knowledge passes with the machine. How much passes depends

¹ "Host" is an everyday word for a person who receives guests. In this chapter it means the country that receives the firm's operations.

THREE KINDS OF STAFF IN A MULTINATIONAL

NAME	MEANING	EXAMPLE IN BANGLADESH
Parent-country national (PCN)	A person from the home country	A manager from Z
Host-country national (HCN)	A person from the host country	A Bangladeshi engineer
Third-country national (TCN)	A person from neither	A manager from Country Y

Each choice has merits. PCNs know the parent's methods and are trusted by headquarters. HCNs know the language, the law and the customers, and cost less to employ, and their promotion encourages local goodwill. TCNs may bring wide experience of several markets. Many multinationals use PCNs for the first few years and then replace most of them with HCNs, keeping PCNs only for the top posts.

A multinational from Country Z runs a bank branch in Bangladesh. Name the type of each person: (a) the head of the branch, a citizen of Z; (b) a cashier, a Bangladeshi; (c) a systems expert, a citizen of Country Y. The answers are at the back of the book.

Before moving on: a multinational runs operations in several countries from a home country; it enters by direct investment, joint venture or franchise; and it staffs with PCNs, HCNs and TCNs. You should now be able to say why a firm that only exports is not a multinational.

Each choice has merits: PCNs know the parent, and HCNs know the market.

PAUSE AND CHECK.

Test the three names.

Recap: what a multinational is and how it enters.

IMPORTANCE AND ADVANTAGES

Why do firms become multinational? The reasons are mostly the same in every country. They seek new markets, because the home market may be full. They seek cheaper or better inputs: land, labour, materials or skill. They wish to avoid the cost of tariffs and transport that apply to goods sent across borders, by making the goods inside the market. They wish to spread risk, so that trouble in one country does not sink the firm. They gain size: a larger firm can spread its costs of research and advertising over more customers. And governments often offer tax relief to attract them.

The advantages to a host country are real. First, capital: a developing country may lack the funds to build a large plant, and a multinational brings them. Second, jobs, both in the plant and among suppliers and sellers. Third, skills: staff are trained and managers learn modern methods, and the technology transfer described above. Fourth, exports: the subsidiary may sell abroad through the parent's links with world markets. Fifth, revenue: the subsidiary pays taxes, including VAT. Sixth, competition: local firms must improve to keep their customers.

The home country gains too. Profits flow back to the parent and its shareholders. The parent buys machines and materials at home, which gives work to home firms. And the parent's growth strength-

Firms go abroad for new markets, cheaper inputs and lower risk.

Host countries may gain capital, jobs, skills, exports and tax revenue.

The home country also gains from profits, markets and trade.

WHO GAINS FROM A MULTINATIONAL, AND HOW

PARTY	MAIN GAINS
The multinational	New markets, cheaper inputs, spread of risk, savings of scale, avoiding tariffs
The host country	Capital, jobs, skills, exports, taxes, better products and competition
The home country	Profits, orders for home firms, a stronger place in world trade

Recap: who gains from a multinational.

Before moving on: a multinational gains markets and savings; the host gains capital, jobs and skill; and the home country gains profit and orders. You should now be able to give two reasons for a firm to go abroad.

EFFECTS ON DEVELOPING COUNTRIES SUCH AS BANGLADESH

The same multinational may help in one way and harm in another.

A developing country welcomes capital and skill, but the same multinational may also cause harm. Both sides are true, and an honest account must give both. The table pairs seven areas, with a possible gain and a possible problem for each. Read each row across.

GAINS AND PROBLEMS FOR A HOST COUNTRY

AREA	A POSSIBLE GAIN	A POSSIBLE PROBLEM
Jobs	New jobs and training	Best posts held by outsiders; jobs lost in small local firms
Technology	Modern machines and methods	Key knowledge kept abroad; dependence on spare parts
Capital	Money for large projects	Profit sent home may exceed the money brought in
Local firms	Orders for local suppliers; better standards	Local firms driven out by a rich rival
Resources	Use of idle land and labour	Heavy use of scarce resources; pollution
Working life	Higher pay in some cases	Low pay, poor safety in others
Politics and culture	Wider links with the world	Pressure on governments; changed tastes

Profits that leave the country can, over the years, outweigh the capital that came in.

The question of money needs a worked case. *Given.* A foreign firm invests Tk 20,00,00,000 (Tk 20 crore) in a Bangladeshi plant. The plant earns Tk 4,00,00,000 a year in profit, of which 75 per cent is sent to the parent. *Find.* The yearly outflow and the time for the outflow to equal the investment. *Steps.* Outflow = 75 per cent × Tk 4,00,00,000 = Tk 3,00,00,000 a year. Time = Tk 20,00,00,000 ÷ Tk 3,00,00,000 = about 6.7 years. *Answer.* After about seven years the money sent home exceeds the money brought in. *Check.* Seven years at Tk 3 crore is Tk 21 crore, which is above Tk 20 crore.

The sum is not the whole

We must not conclude that the investment was a loss. The plant

A subsidiary earns Tk 2,00,00,000 profit in a year and sends 60 per cent to its parent. How much is sent home, and how much remains? The answer is at the back of the book.

A host government can reduce the harm by rules. It may require a share of ownership to be held by local partners, a minimum of local staff in senior posts, and a minimum of local materials. It may require the training of local staff, the transfer of technology, and compliance with its laws on pollution, safety and tax. It may bargain for conditions before it allows entry. Too many rules discourage firms from coming at all, so the government must balance its wish for investment against its wish for protection.

Reasonable people disagree about multinationals. Some say they bring capital and skills that a poor country cannot find elsewhere; others say they take the profit and leave the host dependent. The facts differ from firm to firm. A multinational that trains local staff, buys from local suppliers and obeys the law serves the host well; one that avoids tax and pollutes serves it badly. The strength of the host's rules and officials largely decides which kind it meets.

Before moving on: a multinational may bring capital, jobs and skill but may also cause outflows of profit, harm to local firms and pressure on resources, and host governments use rules to shape the result. You should now be able to argue both sides.

PAUSE AND CHECK.

Test the method on new figures.

Governments use rules to keep the gains and reduce the harm.

The judgement depends on the firm, the terms and the host's strength.

Recap: gains, problems and rules.

THE WORKED CASE: AN OVEN AND AN OFFER

Case file, illustrative. August 2027. The bakery, a private limited company, is considering two foreign links. (1) An oven from a multinational maker, at Tk 9,00,000 landed, against a locally made oven at Tk 6,00,000. The imported oven uses 20 per cent less gas; the bakery's gas costs Tk 25,000 a month. The maker will train two staff members, but supplies spare parts only itself. (2) A franchise offer from a foreign bakery brand: a fee of Tk 5,00,000 and a royalty of 5 per cent of all sales. Monthly sales are assumed to be Tk 6,00,000, with a profit of 25 per cent on any extra sales. All figures are invented.

Situation. Two multinational firms have made offers. *Question.* How should the bakery judge each?

Reasoning, oven. The imported oven costs Tk 3,00,000 more. Gas saved is $20 \text{ per cent} \times \text{Tk } 25,000 = \text{Tk } 5,000$ a month. Time to recover the extra cost is $\text{Tk } 3,00,000 \div \text{Tk } 5,000 = 60$ months, or five years. Savings alone are slow. But the staff training is a technology transfer, and the oven may bake more or better. On the other side, spare parts come only from the maker, which makes the bakery dependent. *Reasoning, franchise.* If extra sales are E, the profit on them is 25 per cent of E, and the royalty is 5 per cent of $(\text{Tk } 6,00,000 + E)$. The royalty is covered when $0.25E = 0.05 \times (6,00,000 + E)$. So $0.20E = \text{Tk } 30,000$, and $E = \text{Tk } 1,50,000$, which is 25 per cent more sales, before the fee is counted at all.

Conclusion. The oven is a defensible purchase if its capacity and quality, and a written promise on parts and service, are worth the extra cost. The franchise needs a rise of one-quarter in sales just to pay its royalty, and the fee comes on top: the owners should refuse

The bakery's oven and franchise choices, August 2027.

The case weighs a technology purchase and a brand offer.

The oven's savings are small, but its other terms matter.

The conclusion separates a defensible purchase from an uncertain brand deal.

SUMMARY

The chapter's main points in a few lines.

A multinational corporation owns and runs operations in several countries, from a home country to host countries. It may enter by direct investment, a joint venture or a franchise, and it staffs with parent-country, host-country and third-country nationals. Firms go abroad for markets, cheaper inputs, lower risk and savings of scale. Host countries may gain capital, jobs, skills and revenue, but may also suffer an outflow of profit, harm to local firms, and pressure on resources. Rules and bargaining help to keep the gains and limit the harm.

THINK IT THROUGH

Two short cases to reason through on paper.

One. A foreign firm invests Tk 10,00,00,000 in a plant that earns Tk 2,00,00,000 a year in profit, and sends 80 per cent home. (a) How much is sent home each year? (b) After how many years does the outflow equal the investment? (c) Name two benefits to the host that this sum does not count.

The second case tests a franchise fee.

Two. A franchise costs a fee of Tk 3,00,000 and a royalty of 4 per cent of sales. Monthly sales are Tk 5,00,000. (a) What is the monthly royalty? (b) What is the total paid in the first year? (c) Who owns the shop, the franchisor or the franchisee?

WHERE PEOPLE GO WRONG

Five confusions, each stated and corrected.

Some say that any firm which exports is a multinational. It must run operations abroad. Others say that a franchisee is owned by the foreign brand, but the franchisee owns the shop and only rents the brand. A third error is to treat foreign direct investment as a loan; it buys ownership or control. Another is to say that multinationals always harm the host, or always help it; the evidence differs by firm and by rule. The last is to think that a host-country national is a foreigner: he or she is a citizen of the country where the subsidiary works.

IN HISTORY

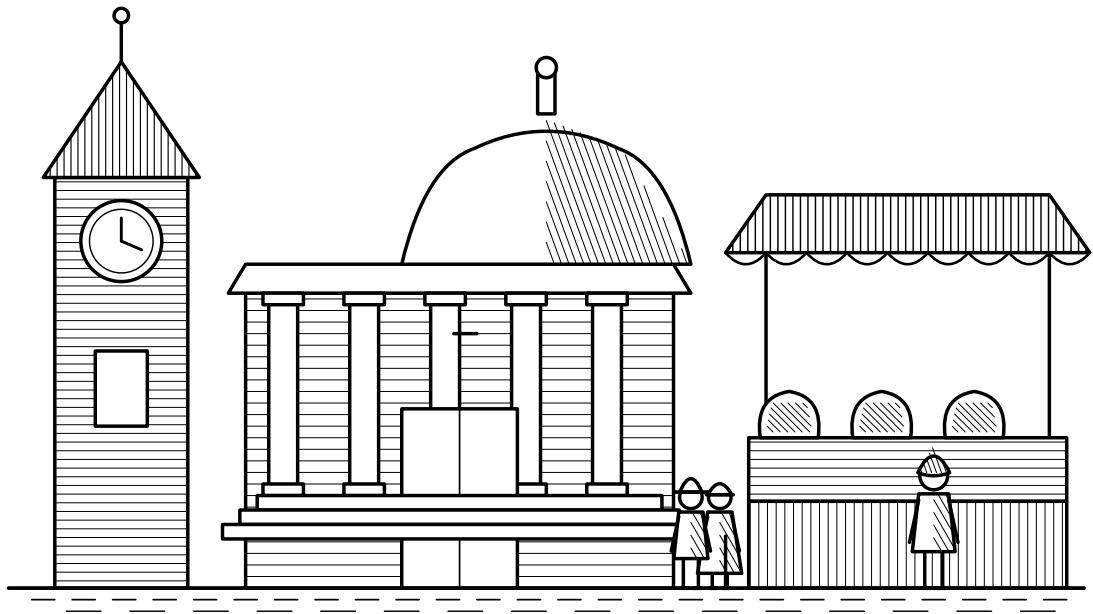
A trading company of 1600 shows how a firm may grow into a power.

On 31 December 1600, Queen Elizabeth I of England granted a charter to a company of London merchants to trade with the East Indies. It was not a multinational in the modern sense, but it was a firm based in one country that traded and kept stations in many others. Over the next 150 years it grew in India, and after the Battle of Plassey in 1757 and the grant of the right to collect revenue in Bengal in 1765, it came to rule much of the region. The story shows what can follow when a firm's power outgrows the control of any host government.

REVIEW QUESTIONS

QUESTIONS FOR REVIEW

NO.	QUESTION
1	Define a multinational corporation. How does it differ from a firm that only exports?
2	Explain home country, host country, parent company and subsidiary.
3	Name and explain three types of staff in a multinational.
4	Explain foreign direct investment and a franchise. How do they differ?
5	Give four reasons why firms become multinational.
6	Give four advantages of a multinational to a host country.
7	Describe four problems that a multinational may cause in a developing country.
8	A subsidiary earns Tk 5,00,00,000 profit and sends 70 per cent to its parent. How much is sent home? Suggest two rules a host might use to limit harm.



The exchange, the bank and the market: the institutions that serve trade.

CHAPTER XII

Markets and Institutions that Support Business

Where do strangers meet to share the ownership of a firm?



A business does not stand alone. It raises money in markets, follows rules set by regulators, speaks to government through trade bodies, and is helped to sell abroad by special zones and agencies. This chapter describes the share market and the main institutions that support business in Bangladesh.

Money for growth must come from people who have never seen the business.

This chapter needs the ideas of shares and capital, and of exports.

Share market. The market in which shares are issued and then bought and sold.

The share market has two parts: new shares, and shares already issued.

Stock exchange. An organised market, run under rules, where listed shares are bought and sold through licensed brokers.

A stock exchange is an organised place with rules for trading shares.

Listing. The admission of a company's shares to trading on a stock exchange, after it meets the exchange's rules.

Only companies that pass the exchange's tests may have their shares traded.

The main stock exchange in Bangladesh is the Dhaka Stock Exchange.

DSE. Dhaka Stock Exchange, the main stock exchange of Bangladesh, in Dhaka.

GO SLOWLY HERE.

The bakery owners want to open a second outlet. It will cost about Tk 10,00,000, which is more than the partners can find from their own savings and more than a bank will lend on easy terms. They think of selling small slices of the company to many people. But who will buy a slice of a bakery they have never visited? And if a buyer later needs the money back, to whom can she sell her slice? The puzzle has two halves: how a company finds new owners, and how those owners can later leave. Markets and institutions exist to answer both.

You will need: shares, capital and the public company (Chapter VII), and the exporting steps of Chapter X. Chapter XIII will use the share figures we reach here.

THE SHARE MARKET AND THE STOCK EXCHANGE

Think first of a bicycle. A factory sells a new bicycle to a customer. Later the customer sells the used bicycle to a neighbour. The factory is paid only the first time; the second sale is between two customers. Shares behave in the same way. The **share market** is the market in which shares are issued and then bought and sold. It has two parts. The *primary market* is where a company sells new shares and receives the money. The *secondary market* is where people who already own shares sell them to others, and the company receives nothing.

You might sell a used bicycle by shouting across a street, but shares need more care, since a buyer must be sure the seller owns the shares and that payment will be made. A **stock exchange** is an organised market, run under rules, where listed shares are bought and sold through licensed brokers. A **broker** is a licensed person or firm that buys and sells shares for clients and earns a fee. The investor does not walk onto the exchange; she gives an order to a broker, and the broker carries it out.

A company cannot simply announce that its shares are for sale on the exchange. It must apply, show its accounts and its plans, and meet conditions on size, record and honesty. If it passes, its shares are admitted to trading, which is called **listing**. A listed company is also bound to publish its accounts and important news. The conditions protect buyers, who can trust that a listed company has been checked.

The main stock exchange in Bangladesh is the **Dhaka Stock Exchange (DSE)**. A second exchange operates in Chattogram.¹ The DSE is itself a company, and it works under the Companies Act and the securities law of the country. Its functions are easy to list. It provides a place where shares can be bought and sold at any time, so that owners can turn shares into money. It sets prices through the meeting of buyers and sellers. It enforces rules of honest dealing on its members. It requires listed companies to publish information. It helps companies to raise money by giving buyers confidence. And its price index gives a rough picture of how investors feel about the economy.

Recall from Chapter VII that a share has a *par value* such as Tk 100.
¹ The Chittagong Stock Exchange began in 1995.

Follow one share. The bakery company sells it for Tk 10 to Rahima in the primary market. The bakery receives Tk 10. Two years later, Rahima sells it through a broker on the exchange to Karim for Tk 14. Rahima gains Tk 4. The bakery receives nothing from this second sale, though Karim is now its owner and will receive any dividend. The journey shows why a company welcomes a busy secondary market: buyers in the primary market are more willing to subscribe when they know they can later sell.

Aklima buys 200 shares from a company in its first public sale at Tk 10. Later she sells them on the exchange at Tk 13. (a) In which market is each sale? (b) How much does the company receive from the second sale? The answers are at the back of the book.

Before moving on: the share market has a primary part, where companies sell new shares, and a secondary part, where owners trade them; the stock exchange organises the second. You should now be able to say who is paid when a share is sold on the exchange.

A share's journey shows who is paid at each step.

PAUSE AND CHECK.

Test the two markets.

Recap: the two markets and the exchange.

ISSUING SHARES TO THE PUBLIC AND THE REGULATOR

When a company sells its shares to the public for the first time, the sale is an **IPO**, short for *initial public offering*. The steps follow the formation steps of Chapter VII, with extra care. The board decides how many shares to sell and at what price. It prepares a *prospectus*, the public invitation described in Chapter VII, giving the facts about the company, its plans and its risks. It then applies for approval, and the approving body checks the papers.² After approval the public may apply for shares. If applications exceed shares offered, the shares are shared out by a fair method. The shares are then listed on the exchange.

An example follows. *Given.* A company offers 1,00,000 shares at Tk 10 each. Applications arrive for 2,50,000 shares. *Find.* The money raised, and the share of each application met if shares are sold in proportion. *Steps.* Money raised = $1,00,000 \times \text{Tk } 10 = \text{Tk } 10,00,000$. Share met = $1,00,000 \div 2,50,000 = 0.4$. *Answer.* The company raises Tk 10,00,000, and each applicant receives 40 per cent of the shares applied for. *Check.* 40 per cent of 2,50,000 is 1,00,000.³

Why is a referee needed? Because a buyer of shares cannot see inside the company. A dishonest seller might hide losses, or a trader might spread false news to push the price up. A **regulator** is a public body with the power to make and enforce rules for a market. In Bangladesh the regulator of the share market is the **Bangladesh Securities and Exchange Commission (BSEC)**, set up by law in 1993.

IPO. Initial public offering: the first sale of a company's shares to the public.

The first sale of shares to the public is called an IPO.

A worked example shows the sharing out when applications exceed shares.

Regulator. A public body with the power to make and enforce rules for a market.

BSEC. Bangladesh Securities and Exchange Commission, the government body that regulates the share market.

A market this important needs a referee, and the referee is the regulator.

² Companies are often helped in this by a merchant bank acting as issue manager. The rules for pricing, for the share of the offer kept for small investors, and for the method of sharing out change from time to time; check the current rules.

³ In practice shares are sometimes given by lot, not by proportion. The principle, that demand exceeding supply forces a choice, is the same.

Recap: IPO and the regulator.

Before moving on: an IPO is the first public sale of shares, approved by BSEC after a prospectus is checked. You should now be able to say why a company cannot sell shares to the public without approval.

Business people form associations to speak with one voice.

Chambers speak to government, give services, and help trade.

FBCCI. Federation of Bangladesh Chambers of Commerce and Industry, the top body of Bangladeshi chambers and trade associations.

One apex body brings the chambers and associations together.

Recap: chambers, associations and the FBCCI.

CHAMBERS OF COMMERCE AND TRADE BODIES

One bakery has a small voice. If a new rule threatens bakers, one owner may not be heard, but a body of a thousand firms will be. For this reason business people form associations. A **chamber of commerce** is an association of business firms of an area or kind, formed to protect and advance their common interests. A **trade association** is an association of firms in one line of business, such as garment makers, formed for the same purpose. Examples are the Dhaka Chamber of Commerce and Industry and the Metropolitan Chamber of Commerce and Industry, both of which are old and respected, and the association of garment makers and exporters.⁴

What do such bodies do? They put the views of members to government, and are often asked to sit on official committees that discuss trade, tax and ports. They provide information on markets and rules. They give services to members, such as the certificates of origin you met in Chapter X, and settle disputes among members. They organise fairs and training. And they link members with business bodies abroad. These tasks matter most to small firms, which could not do them alone.

Above the many chambers and associations stands the **Federation of Bangladesh Chambers of Commerce and Industry (FBCCI)**. It was set up in 1973, and its members are chambers and trade associations. Because it speaks for the whole private sector, the government consults it on large questions of trade and industry. It also keeps links with business bodies in other countries and takes part in fairs. We call it an *apex* body, because it stands at the top of a structure of smaller bodies.

Before moving on: chambers and trade associations give business firms a voice, services and links, and the FBCCI stands at their head. You should now be able to say why a small bakery would join a chamber.

EXPORT ZONES, EXPORT PROMOTION AND OTHER INSTITUTIONS

EPZ. Export processing zone: an area with special facilities for firms that make goods mainly for export.

An export zone offers firms special conditions to attract them.

An **EPZ**, or *export processing zone*, is an area with special facilities for firms that make goods mainly for export. Firms inside may bring in machines and materials without duty, may enjoy tax relief for some years, and have roads, power and services ready, with the papers handled in one place. The aim is to attract investors, create jobs and earn foreign money. Bangladesh passed a law for zones in 1980 set up an authority to run them in 1981 and opened its first

⁴ The Metropolitan Chamber traces its beginnings to 1904, as the Narayanganj Chamber of Commerce. Names and rules of these bodies change; check each body's current name.

⁵ The authority is the Bangladesh Export Processing Zones Authority. Dates differ slightly between sources, so check them before citing.

The **Export Promotion Bureau (EPB)** is a government body that helps Bangladeshi firms find markets and sell abroad. It gathers and gives out information on foreign markets, helps firms to attend trade fairs, keeps records of exporters, and helps to carry out export policy. In Chapter X you saw that an exporter must find a buyer; the EPB is one of the bodies that helps.

Several other bodies play a part. The central bank, Bangladesh Bank, controls the money supply, supervises banks, and has rules for foreign exchange and for the letters of credit you studied in Chapter X. The National Board of Revenue collects taxes and runs customs. A government investment agency helps firms, including foreign ones, to start. And the Export Processing Zones Authority runs the zones. The table sets out the main bodies and what each is for.

INSTITUTIONS THAT SUPPORT BUSINESS IN BANGLADESH

BODY	KIND	MAIN JOB
Dhaka Stock Exchange	Market	Provides the place for trading listed shares
BSEC	Regulator	Approves issues; supervises exchanges and brokers
Chambers and trade associations	Private associations	Speak for members; give services
FBCCI	Apex private body	Speaks for the private sector as a whole
Export processing zones	Government zones	Give special facilities to export firms
Export Promotion Bureau	Government body	Helps firms find foreign markets
Bangladesh Bank	Central bank	Supervises banks; sets foreign exchange rules

Before moving on: zones, the EPB and other bodies help firms to export and invest. You should now be able to match each body to its job.

EPB. Export Promotion Bureau, a government body that helps Bangladeshi firms to find markets and to sell abroad.

The Export Promotion Bureau helps firms find buyers and markets.

Other bodies share the work of supporting business.

Recap: zones, the EPB and other bodies.

THE WORKED CASE: BECOMING PUBLIC

Case file, illustrative. March 2029. The bakery, a private limited company (Chapter VII), has 2,00,000 shares of Tk 10 issued: 1,20,000 held by the first owner and 80,000 by the second partner. Authorised capital is 5,00,000 shares (Tk 50,00,000). The owners plan to convert to a public limited company and offer 1,00,000 new shares of Tk 10 to the public, to pay for a second outlet. BSEC approval is needed. All figures are invented.

Situation. The owners wish to raise money from the public.
Question. How much will they raise, can the company issue so many shares, and who will control it after the issue?

Reasoning. Issued shares would become $2,00,000 + 1,00,000 = 3,00,000$. This is below the authorised 5,00,000, so no change of authorised capital is needed. Money raised is $1,00,000 \times \text{Tk } 10 = \text{Tk } 10,00,000$.

The bakery's plan to become public, March 2029.

The case asks how much the bakery raises and who then owns it.

We check the limit, the money raised and the new ownership.

The owners keep control, but with new duties to the public.

Conclusion. The plan raises the money and leaves the two partners with a clear majority, so they keep control. They gain new duties: a prospectus, BSEC approval, listing on the exchange, and public accounts. **Check.** $40 + 26.7 + 33.3 = 100$ per cent, and 3,00,000 shares at Tk 10 equals Tk 30,00,000 of issued capital.

The chapter's main points in a few lines.

The share market has a primary part, where companies sell new shares, and a secondary part, where owners trade them. The stock exchange organises the second under rules, through brokers, and lists only companies that qualify. An IPO is a company's first public sale of shares; BSEC, the regulator, approves it. Chambers and trade associations give business a voice, with the FBCCI at the head. Export processing zones, the Export Promotion Bureau and other bodies help firms to invest and sell abroad.

Two short cases to reason through on paper.

One. A company sells 80,000 new shares at Tk 10, and applications reach 2,00,000 shares. (a) How much money is raised? (b) What share of each application is met if sharing is in proportion? (c) The shares later trade at Tk 15 on the exchange. Does the company receive the extra Tk 5? Explain.

The second case tests ownership after an issue.

Two. A firm has 2,00,000 shares, held 60 per cent by its founder. It issues 2,00,000 new shares to the public. (a) How many shares has the founder now? (b) What percentage does the founder hold? (c) Does the founder still control the firm?

Five confusions, each stated and corrected.

Some think that the company receives money whenever its shares are traded. It receives money only in the primary sale. Others think that BSEC is the stock exchange; the exchange is the market, and BSEC is the referee. A third error is to take par value as the price on the exchange, though the two differ. Another is to think that only large firms need a chamber; small firms need one most. The last is to treat an export processing zone as a place to sell at home: its firms make mainly for export.

A stock exchange was founded in 1954 because another had closed to Pakistani shares.

In 1952 the stock exchange in Calcutta stopped dealing in the shares of Pakistani firms. The government then decided that East Pakistan needed an exchange of its own. On 28 April 1954, eight promoters incorporated the East Pakistan Stock Exchange Association, which was later renamed the Dhaka Stock Exchange. Formal trading began in 1956. Trading stopped during the war of 1971 and began again in 1976, when only nine companies were listed. The exchange has grown since, with the regulator BSEC added in 1993.

SUMMARY

THINK IT THROUGH

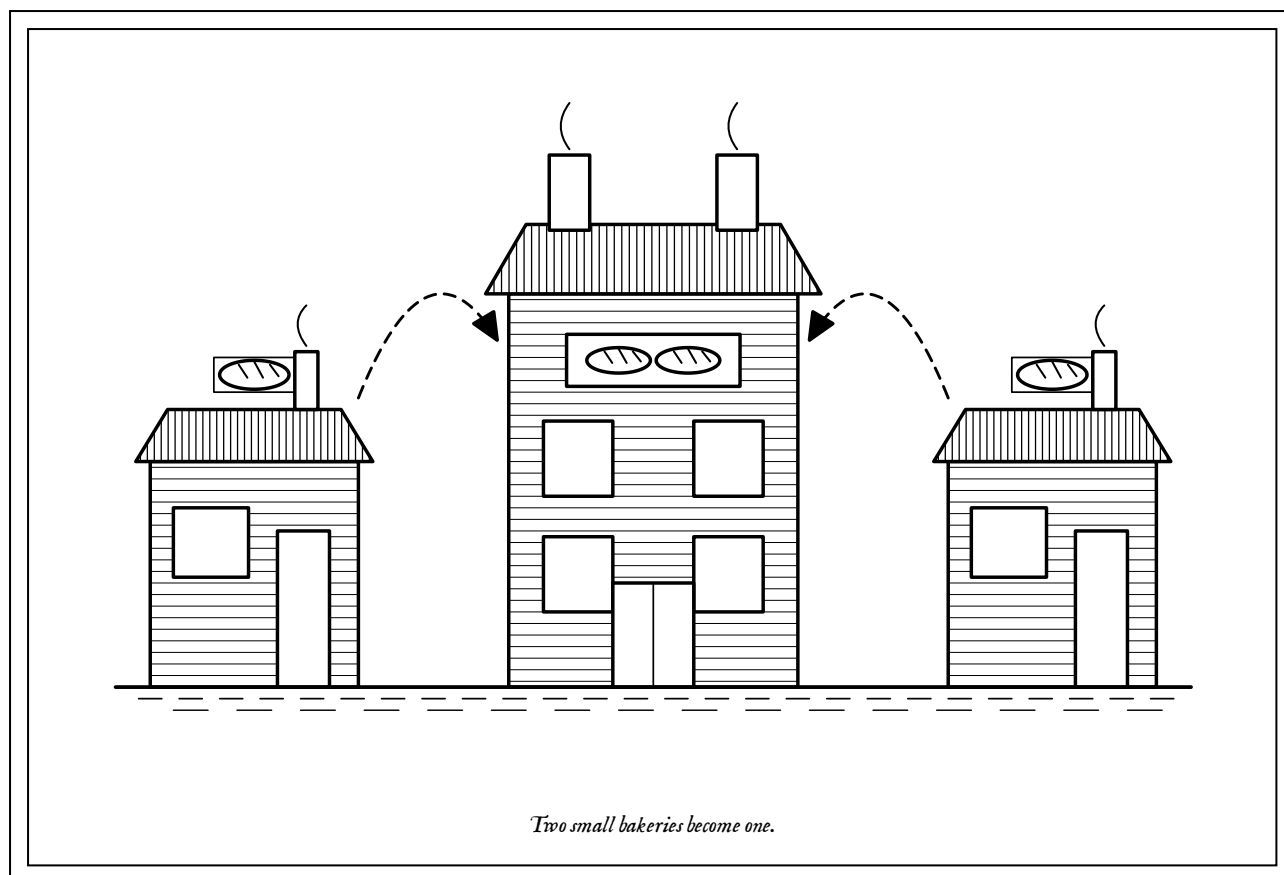
WHERE PEOPLE GO WRONG

IN HISTORY

REVIEW QUESTIONS

QUESTIONS FOR REVIEW

NO.	QUESTION
1	Distinguish between the primary market and the secondary market.
2	Define a stock exchange and a broker. State four functions of a stock exchange.
3	A company offers 50,000 shares at Tk 20, and applications reach 1,25,000 shares. Find the money raised and the share of each application met.
4	What is an IPO? List the steps of a public issue.
5	Explain the role of BSEC.
6	Describe the work of a chamber of commerce and of the FBCCI.
7	What is an export processing zone? Why do governments set them up?
8	Name three other institutions that support business and state the job of each.



CHAPTER XIII

Business Combination

When two firms become one, who is stronger, and who is at risk?



Firms do not only grow by selling more. They also grow by joining with other firms. This chapter explains why firms combine, the forms that a combination can take, and the gains and dangers that follow for firms, buyers, workers and the nation.

A bakery owner is offered a deal by her nearest rival, and must decide.

This chapter needs the idea of a company and of shares, as raised in Chapter XII.

Business combination. The joining of two or more firms, in a way that gives them common control or common policy.

A combination is any joining of firms for common control or policy.

Firms combine to grow, to cut costs, to meet competition, and to secure supply.

Economies of scale. The fall in cost per unit that comes when a firm produces more.

GO SLOWLY HERE.

Larger output can spread fixed costs over more units and cut the cost of each.

Size has limits: very large firms may become slow and costly to manage.

Two bakeries stand three hundred metres apart. They bake the same bread, hire from the same neighbourhood, and fight each other for the same customers. One morning the owner of the second bakery visits the first and says: "Why do we not join?" The first owner sees at once what she might gain: fewer rivals, shared costs, a larger name. She also sees what she might lose: her full control, and perhaps her customers' goodwill. How should she think about the offer? This chapter gives her the words and the tools.

You will need: the company, shares and control (Chapters VII and XII), and the competitive force on a firm (Chapter III). The share figures at the end of Chapter XII are carried forward in the worked case.

MEANING AND CAUSES OF COMBINATION

A **business combination** is the joining of two or more firms, in a way that gives them common control or a common policy. The joining may be loose, as when firms only agree to fix a price. It may be complete, as when one firm absorbs another. In every case the aim is to act together where acting alone would be weaker. The word covers many forms, which the next section sorts one by one.

Why do firms combine? Several causes recur. The first is competition: two rivals who fight on price may both do better by joining, since they no longer undercut each other. The second is growth: buying another firm is faster than building one's own. The third is lower cost, which we explain below. The fourth is security: a bread maker who buys a flour mill is sure of flour, and a flour mill that buys bakeries is sure of buyers. The fifth is spread of risk: a firm in several lines is not ruined by trouble in one. The sixth is cost of new methods: research and machines are costly, and large firms can bear the cost. Last, a weak firm may join a strong one to survive.

The third cause needs care, because it rests on an idea. **Economies of scale** means the fall in cost per unit that comes when a firm produces more. Start with an everyday case: a household that cooks for four spends little more on gas and fuel than one that cooks for two, so the fuel cost *per person* falls. Now a business case. *Given.* Two bakeries each pay fixed costs of Tk 60,000 a month, such as rent and oven costs, and each bakes 6,000 loaves. If they join and need fixed costs of only Tk 90,000 in all, the joined firm bakes 12,000 loaves. *Find.* The fixed cost per loaf, before and after. *Steps.* Before: $\text{Tk } 60,000 \div 6,000 = \text{Tk } 10$ a loaf. After: $\text{Tk } 90,000 \div 12,000 = \text{Tk } 7.50$ a loaf. *Answer.* The fixed cost per loaf falls by Tk 2.50. *Check.* $12,000 \text{ loaves} \times \text{Tk } 7.50 = \text{Tk } 90,000$, which agrees.

Scale has a limit. A firm may grow so large that managing it becomes costly and slow. Orders pass through many hands, staff lose touch with customers, and a mistake at the top spreads far. When cost per unit rises with size, the firm suffers *diseconomies of scale*. A combination does not lower costs automatically; it does so

FORMS OF COMBINATION

Combinations come in several forms, and the names are easy to confuse. Two questions sort them. First, how tightly are the firms tied? Some stay separate and merely agree; some give up part of their control; some disappear into one. Second, which stages of business do the firms occupy: the same, or different? This section answers the first question and then the second. Take it slowly, and keep the table in view.

The loosest forms are agreements. In a **pool**, firms agree to share the market among themselves, or to put their profits into one fund and divide it by a fixed rule. In a **cartel**, independent firms agree to fix prices or limit output, so that they do not compete.¹ In both, each firm keeps its own owners and its own name. Because such agreements may raise prices against buyers, many countries forbid cartels, or limit them by law.

A tighter form uses shares. In a **trust**, the owners of several firms hand their shares to a small group of trustees, who then control all the firms together; the owners receive certificates and a share of the joint profit. In a **holding company**, one company buys enough shares in others to control them. The controlled firms, called *subsidiaries*, stay separate in law and keep their names, but their policy is set by the holder. This form has two merits: the holder needs to buy only a majority, not everything, and the firms keep their local goodwill.

The tightest forms make the firms one. In a **merger**, one firm takes over another, which then ceases to exist as a separate firm. If firm A takes over firm B, then A continues and B disappears. In an **amalgamation**, two or more firms are dissolved and a new firm takes over all of their business. If A and B amalgamate, both disappear and a new firm C appears.² The shareholders of the old firms receive shares in the continuing or the new firm, and the old firms' staff and assets pass to it.

Combinations differ in how closely firms are tied, and in whether they survive.

Pool. An agreement among firms to share the market or to put their profits together and divide them by rule.

Cartel. An agreement among independent firms to fix prices or limit output, so as to avoid competing.

Loose forms: pools and cartels are agreements, and the firms stay independent.

Trust. A combination in which the owners of several firms hand their shares to trustees, who then control the firms together.

Holding company. A company that owns enough shares in other companies to control them.

Closer forms: a trust or a holding company controls firms by shares.

Merger. A combination in which one firm takes over another, which then ceases to exist as a separate firm.

Amalgamation. A combination in which two or more firms are dissolved and a new firm takes over all of their business.

Complete forms: in a merger one firm absorbs another; in an amalgamation a new firm is born.

FORMS OF BUSINESS COMBINATION

FORM	HOW THE FIRMS JOIN	DO THE FIRMS STAY SEPARATE?
Pool	Agree to share market or profits	Yes
Cartel	Agree on prices or output	Yes
Trust	Owners hand shares to trustees	Yes in law; one control
Holding	One company owns a	Yes in law; one

¹ Books vary a little in how they use "pool" and "cartel", and some treat them as the same. This book keeps them apart as above.

² In daily speech "merger" is often used for both. The difference is whether an existing firm continues or a new one is formed.

Horizontal combination. A joining of firms that work at the same stage of making and selling a product.

Vertical combination. A joining of firms that work at different stages of making and selling a product.

The second question: are the firms at the same stage or at different stages?

Now the second question, which cuts across the first. A **horizontal combination** joins firms that work at the same stage of making and selling a product, for instance two bakeries. A **vertical combination**, also called *vertical integration*, joins firms that work at different stages, for instance a bakery and a flour mill. If the bakery buys its supplier, the move is *backward*; if it buys the shops that sell its bread, the move is *forward*. A third kind joins firms in unrelated lines, such as a bank and a biscuit maker; it is called a *conglomerate*, and it chiefly spreads risk.

HORIZONTAL AND VERTICAL COMBINATION

KIND	STAGE	EXAMPLE FROM THE BAKERY	MAIN AIM
Horizontal	Same stage	Bakery joins another bakery	Fewer rivals, shared cost
Vertical, backward	Earlier stage	Bakery buys a flour mill	Secure supply
Vertical, forward	Later stage	Bakery buys a chain of cafés	Secure sales
Conglomerate	Unrelated	Bakery joins a transport firm	Spread risk

Remember that the two questions combine: a merger may be horizontal or vertical.

PAUSE AND CHECK.

Name each combination twice.

Recap: the forms of combination.

Keep the two questions apart. A merger of two bakeries is a merger by form and horizontal by stage. A holding company that owns a flour mill and a bakery is a holding company by form and vertical by stage. When you meet a combination, name it twice: say what form it takes, and say what stage it joins.

(a) Firm X buys all the business of firm Y, and Y is closed. (b) A bakery buys a wheat farm. For each, give the form, if it can be told, and the stage. The answers are at the back of the book.

Before moving on: pools and cartels are agreements; trusts and holding companies control by shares; mergers and amalgamations make one firm; and any of them may be horizontal or vertical. You should now be able to say how a merger differs from an amalgamation.

OPPORTUNITIES AND THREATS

Combinations offer gains to firms, and some to buyers and workers.

Combinations also bring dangers, chiefly less competition and less choice.

Monopoly. A market in which one seller supplies all or nearly all of a good.

A combination can bring gains. The firms may lower their cost per unit, as in our example. They may gain a larger share of the market and a stronger voice with suppliers, who will cut prices to win a large customer. They may share research, machines and skilled staff. They may reach new markets. Buyers may gain too, if lower costs become lower prices, or if the firm can afford better quality. And a weak firm may be saved, with its jobs.

The dangers are as real. The chief one is less competition. If rivals combine until few remain, the firm may fix high prices, since buyers have nowhere else to go. A firm that is the only seller of a good is a **monopoly**. Buyers may also lose choice and service. Workers may lose jobs, since two firms joined need fewer staff than before. Management may fail: two different ways of working may clash, and a very large firm may be slow. And a firm that pays

OPPORTUNITIES AND THREATS OF COMBINATION

PARTY	A POSSIBLE OPPORTUNITY	A POSSIBLE THREAT
The firms	Lower cost, larger share, shared research	Clash of methods, heavy debt, slow management
Buyers	Lower prices, better quality	Higher prices and less choice if rivals vanish
Workers	Safer jobs in a stronger firm	Job losses where work is duplicated
The nation	Stronger firms that can sell abroad	Power in few hands; weaker small firms

Because of the dangers, governments make rules about combinations. A competition law may forbid cartels, forbid a firm from abusing a monopoly, and require large mergers to be reported and approved. Bangladesh has a competition law and a Competition Commission to enforce it.³ The aim is not to forbid all combinations, which can serve the public, but to stop those that harm buyers.

Before moving on: a combination may lower costs and strengthen firms, but it may also reduce competition and jobs, so governments make rules. You should now be able to give one gain and one danger of a merger.

Governments therefore make rules to keep competition alive.

Recap: gains, dangers and rules.

THE WORKED CASE: THE RIVAL BAKERY

Case file, illustrative. 2030. After the public issue of Chapter XII, the bakery company has 3,00,000 shares of Tk 10 issued: 1,20,000 held by the first owner, 80,000 by the second partner, and 1,00,000 by the public. Authorised capital is 5,00,000 shares. The rival bakery is valued at Tk 15,00,000. The bakery proposes to take over the rival's business and to pay the rival's owners with new shares of Tk 10, valued at par. All figures are invented.

Situation. The bakery will take over its nearest rival and pay in shares. *Question.* What kind of combination is this, how many shares are issued, and who controls the firm afterward?

Reasoning. The two firms bake the same product, so the combination is horizontal. The bakery continues and the rival's business is absorbed, so the form is a merger, not an amalgamation. The rival is worth Tk 15,00,000, and each new share is Tk 10, so the bakery issues $15,00,000 \div 10 = 1,50,000$ shares. Total issued shares become $3,00,000 + 1,50,000 = 4,50,000$, still below the authorised 5,00,000. Holdings: partners $2,00,000 \div 4,50,000 = 44.4$ per cent (the first owner 26.7, the second partner 17.8); the rival's owners $1,50,000 \div 4,50,000 = 33.3$ per cent; the public $1,00,000 \div 4,50,000 = 22.2$ per cent.

Conclusion. The merger removes the nearest rival and enlarges the firm, but the partners fall from 66.7 per cent (Chapter XII) to 44.4 per cent and lose their majority. No single group holds more than half. The partners must decide whether the gain in size and

The bakery's merger with its rival, 2030.

The case asks what kind of combination this is and who controls the result.

We name the form, count the shares, and find each group's percentage.

The merger adds size but costs the original owners their majority.

³ The Bangladesh Competition Act was passed in 2012. Check the present law and the rules on which mergers must be reported.

SUMMARY

The chapter's main points in a few lines.

A business combination is a joining of firms for common control or policy. Firms combine for growth, lower cost, security of supply and sales, spread of risk, and survival. The forms are the pool and cartel (agreements), the trust and holding company (control by shares), and the merger and amalgamation (one firm). Combinations are horizontal, vertical or conglomerate according to the stage they join. They offer lower cost and strength but threaten competition and jobs, so governments make rules.

THINK IT THROUGH

Two short cases to reason through on paper.

One. Name the form and the stage of each. (a) A shirt maker buys a cotton farm. (b) Two tailors dissolve their firms and start a new one. (c) Three firms agree to charge the same price and to keep their names. (d) A bank buys a biscuit maker.

The second case tests control after a merger.

Two. A firm has 4,00,000 shares, of which its founder holds 2,40,000. It takes over another firm and issues 3,00,000 new shares to that firm's owners. (a) How many shares are now issued? (b) What per cent does the founder hold? (c) Has the founder kept control?

WHERE PEOPLE GO WRONG

Five confusions, each stated and corrected.

Some treat a merger and an amalgamation as the same, though one firm continues in the first and a new firm is born in the second. Others say that every combination is a monopoly; most are not. A third error is to take a cartel for a holding company: the cartel is an agreement among independent firms, and the holding company controls through shares. Another is to say that a larger firm always has lower cost, when very large firms may suffer diseconomies. The last is to say that vertical means larger; it means a different stage.

IN HISTORY

A trust of 1882 gave its name to the fear of combined power.

In 1882 the shareholders of the oil companies run by John D. Rockefeller in the United States handed their shares to a board of trustees, who controlled the whole refining business as one. The arrangement, called the Standard Oil Trust, gave its name to the whole class of combination, and the public came to fear "trusts" as power in a few hands. In 1890 the American Congress passed the Sherman Antitrust Act against such combinations, and in 1911 the Supreme Court ordered Standard Oil to be broken into separate companies.

REVIEW QUESTIONS

QUESTIONS FOR REVIEW

NO.	QUESTION
1	Define a business combination. Give four causes of combination.
2	Two firms each pay fixed costs of Tk 80,000 and each make 8,000 units. Joined, they pay Tk 1,20,000 and make 16,000 units. Find the fixed cost per unit before and after.
3	Distinguish between a merger and an amalgamation.
4	Explain a pool, a cartel and a trust.
5	What is a holding company? Why are its subsidiaries still separate?
6	Explain horizontal and vertical combination with an example of each.
7	State three opportunities and three threats of a combination.
8	Why do governments make rules about combinations?

GLOSSARY

Active partner. A partner who puts in capital and helps to run the firm. *(Chapter VI)*

Adulteration. Mixing something cheap, impure or harmful into food or goods. *(Chapter IV)*

Advertising. Telling people about goods and services so that they will want to buy. *(Chapter I)*

Agent. A person who is allowed to act for another. *(Chapter VI)*

Aids to trade. Services that help buying and selling take place, such as transport and banking. *(Chapter I)*

Aim. A result that a business works to reach. *(Chapter II)*

Amalgamation. A combination in which two or more firms are dissolved and a new firm takes over all of their business. *(Chapter XIII)*

Articles of association. The company's internal rules on shares, meetings and directors. *(Chapter VII)*

Audit. A careful check of whether work, goods or records meet agreed standards. *(Chapter IV)*

Authorised capital. The largest amount of share capital a company may issue, as set in its memorandum. *(Chapter VII)*

Balance. Word in use. In daily life, a weighing scale or what remains. In trade, the difference between two totals. *(Chapter IX)*

Balance of payments. A record of all money that enters and leaves a country in a period, for trade, services, income and investment. *(Chapter IX)*

Balance of trade. The value of a country's exports of goods minus the value of its imports of goods. *(Chapter IX)*

Bank. An organisation that keeps money safe, lends money and carries payments. *(Chapter I)*

Bill. Word in use. In daily life, a request for payment. In shipping, a written record of goods handed to a carrier. *(Chapter X)*

Bill of entry. The importer's declaration to customs listing the goods, their value and their origin. *(Chapter X)*

Bill of lading. A carrier's document that receipts goods for shipment and states the terms of carriage. *(Chapter X)*

Board of directors. The group of people, chosen by shareholders, that manages a company. *(Chapter VII)*

Bribe. Money or a gift offered to an official to win an unfair favour. *(Chapter IV)*

BSEC. Bangladesh Securities and Exchange Commission, the government body that regulates the share market. *(Chapter XII)*

Business. The activity of providing goods or services to customers in order to earn a profit. *(Chapter I)*

Business combination. The joining of two or more firms, in a way that gives them common control or common policy. *(Chapter XIII)*

Business culture. The shared habits and beliefs about how work is done inside one firm. *(Chapter III)*

Businessperson. A person who owns or runs a business. *(Chapter I)*

Capital. Word in use. In daily life, the chief city of a country, or a large letter. In business, money and the things it buys for use in the business. *(Chapter II)*

Certificate of commencement. The Registrar's second certificate that a public company may begin business. (*Chapter VII*)

Certificate of incorporation. The Registrar's certificate that a company has been registered and now exists. (*Chapter VII*)

Charter party. A contract by which a person hires a whole ship, or a large part of one, for a voyage or a period. (*Chapter X*)

Code of conduct. A written set of rules about how people in a firm must behave. (*Chapter IV*)

Commerce. Trade together with all the services that help trade take place. (*Chapter I*)

Communication. Passing messages between people, by post, telephone or internet. (*Chapter I*)

Community. The people who live and work near a business. (*Chapter IV*)

Company. A business that the law treats as a separate person, owned by its shareholders. (*Chapter VII*)

Comparative advantage. The ability to make a good while giving up less of other goods than another producer would. (*Chapter IX*)

Competitive force. The pressure that competitors place on a firm. (*Chapter III*)

Competitor. Another business that sells similar goods or services to the same customers. (*Chapter III*)

Consumer protection. Protecting customers from unsafe goods, false claims and unfair practices, by law and by firms' own rules. (*Chapter IV*)

Controllable factor. A force the firm can change by its own decision. (*Chapter III*)

Cooperative society. A business owned and run by its members, to serve their common needs rather than to earn profit for outside owners. (*Chapter VIII*)

Cost. Money a business spends to make or sell what it offers. (*Chapter I*)

Creditor. A person to whom money is owed. (*Chapter V*)

Customer. A person or organisation that buys goods or services. (*Chapter I*)

Customs clearance. Permission from the customs service for goods to leave or enter a country, after papers are checked and duty is paid. (*Chapter X*)

Debt. Money that one person must pay to another. (*Chapter V*)

Demand. The amount of a good or service that customers are willing and able to buy at a price. (*Chapter III*)

Dissolution. The ending of a partnership as it stood. Word in use: in daily life, mixing into a liquid; here, ending a partnership. (*Chapter VI*)

Dividend. The part of a company's profit that is paid to shareholders. (*Chapter VII*)

DSE. Dhaka Stock Exchange, the main stock exchange of Bangladesh, in Dhaka. (*Chapter XII*)

E-commerce. Buying and selling goods and services over the internet. (*Chapter I*)

Economic force. Outside conditions of money and trade, such as demand, prices and incomes. (*Chapter III*)

- Entrepreneur.** A person who starts a business, brings its parts together and accepts its risk. *(Chapter I)*
- Environment.** All the forces, inside and outside a firm, that affect what it does and earns. *(Chapter III)*
- Environmental scanning.** Watching the outside forces regularly to notice change early. *(Chapter III)*
- EPB.** Export Promotion Bureau, a government body that helps Bangladeshi firms to find markets and to sell abroad. *(Chapter XII)*
- EPZ.** Export processing zone: an area with special facilities for firms that make goods mainly for export. *(Chapter XII)*
- Ethics.** Ideas of right and wrong that guide a person's choices. *(Chapter IV)*
- Exchange.** Giving one thing and receiving another in return. *(Chapter I)*
- Exchange rate.** The price of one country's money in terms of another country's money. *(Chapter IX)*
- Export.** A good or service sold to a buyer in another country. *(Chapter IX)*
- Export promotion.** Actions by government and others that help firms to sell more abroad. *(Chapter X)*
- Exporter.** A person or firm that sells goods to a buyer in another country. *(Chapter X)*
- External environment.** All the forces outside a firm that affect it. *(Chapter III)*
- Factor of production.** A resource used to make goods or provide services. *(Chapter II)*
- FBCCL.** Federation of Bangladesh Chambers of Commerce and Industry, the top body of Bangladeshi chambers and trade associations. *(Chapter XII)*
- Foreign direct investment.** Money that a firm of one country puts into owning or controlling a business in another country. *(Chapter XI)*
- Form of ownership.** The legal way a business is owned and controlled. *(Chapter V)*
- Franchise.** The right to use a firm's brand, products and methods in return for fees. *(Chapter XI)*
- Function.** A main kind of work that a business must do. *(Chapter I)*
- Goods.** Word in use. In daily life, a person's belongings. In business, physical things grown or made to be sold. *(Chapter I)*
- Goodwill.** The value of a firm's good name and loyal customers. Word in use: in daily life, a kind feeling; in business, a good name that has a money value. *(Chapter V)*
- Holding company.** A company that owns enough shares in other companies to control them. *(Chapter XIII)*
- Home country.** The country where a multinational corporation has its headquarters and is owned. *(Chapter XI)*
- Home trade.** The buying and selling of goods and services within one country. *(Chapter IX)*
- Horizontal combination.** A joining of firms that work at the same stage of making and selling a product. *(Chapter XIII)*
- Implied duties.** Duties that the law adds where the deed does not mention them. *(Chapter VI)*

Insurance. A contract in which a small payment buys protection against a named loss. (*Chapter I*)

Interest. Word in use. In daily life, curiosity or a hobby. In business, payment for the use of borrowed money. (*Chapter II*)

Internal environment. The people, money and ways of working inside a firm. (*Chapter III*)

Investor. A person who puts money into a business in the hope of a return. (*Chapter IV*)

Invoice. A seller's document listing the goods sold, their price and the total the buyer must pay. (*Chapter X*)

IPO. Initial public offering: the first sale of a company's shares to the public. (*Chapter XII*)

Issued capital. The value of the shares that the company has actually issued. (*Chapter VII*)

Labour. Human work, of body or mind, used to make goods or provide services. (*Chapter II*)

Land. Word in use. In daily life, ground. In business, all gifts of nature that a business uses: ground, water, minerals and forests. (*Chapter II*)

Legal person. Something the law treats as a person: it can own property, sign contracts and be sued, apart from its members. (*Chapter VII*)

Letter of credit. A bank's written promise, at the buyer's request, to pay the seller if the seller presents the papers it names. (*Chapter X*)

Liability. A legal duty to pay a debt. Word in use: in daily life it can mean blame; here it means only the duty to pay. (*Chapter V*)

Limited liability. The rule that owners are liable for a company's debts only up to the amount they agreed to pay for their shares. (*Chapter VII*)

Listing. The admission of a company's shares to trading on a stock exchange, after it meets the exchange's rules. (*Chapter XII*)

Location. The place where a business is set up. (*Chapter II*)

Loss. The amount by which costs are greater than sales. (*Chapter I*)

Market. Word in use. In daily life, a place to shop. In business, any meeting of buyers and sellers. (*Chapter I*)

Member. A person who belongs to a cooperative society, owns a part of it and takes part in its decisions. (*Chapter VIII*)

Memorandum of association. The company's charter: its name, office, objects, liability and capital. (*Chapter VII*)

Merger. A combination in which one firm takes over another, which then ceases to exist as a separate firm. (*Chapter XIII*)

Money. Anything people accept as payment for goods and services. (*Chapter I*)

Monopoly. A market in which one seller supplies all or nearly all of a good. (*Chapter XIII*)

Multinational corporation. A large firm that owns and runs business operations in several countries. (*Chapter XI*)

Mutual agency. The rule that each partner is both agent and principal for the others in the firm's business. (*Chapter VI*)

Nationalisation. The taking of a private business by the government, which then owns it. (*Chapter VIII*)

Natural force The weather, climate, land, water and other

Nominal partner. A person who lends a name to the firm and puts in no capital. (*Chapter VI*)

Opportunity. A change outside the firm that the firm can use to gain. (*Chapter III*)

Ordinary share. A share whose holder has a vote and receives whatever profit remains. (*Chapter VII*)

Owner. A person with the right to a business's profit, who also bears its loss. (*Chapter I*)

Paid-up capital. The amount of the issued capital that shareholders have paid so far. (*Chapter VII*)

Par value. The amount printed on a share, also called its face value. (*Chapter VII*)

Partnership. A business owned by two or more people who have agreed to run it together and share its profit. (*Chapter VI*)

Partnership at will. A partnership with no fixed time that any partner may end by notice. (*Chapter VI*)

Partnership deed. A written agreement between partners that sets out how the firm will be run. (*Chapter VI*)

Plant. The buildings, land and machines where goods are made. Not a living plant. (*Chapter II*)

Political-legal force. Government decisions, laws and taxes that a firm must follow. (*Chapter III*)

Pollution. Harm to air, water or land caused by waste or smoke. (*Chapter IV*)

Pool. An agreement among firms to share the market or to put their profits together and divide them by rule. (*Chapter XIII*)

Preference share. A share whose holder is paid a fixed dividend before ordinary shareholders. (*Chapter VII*)

Price. The amount of money asked for one unit of goods or services. (*Chapter I*)

Primary industry. Industry that grows or takes things from nature, such as farming. (*Chapter I*)

Principle of cooperation. A basic rule that cooperatives follow, such as open membership and one member, one vote. (*Chapter VIII*)

Private limited company. A company with at most fifty members that restricts the sale of its shares and may not ask the public to buy them. (*Chapter VII*)

Privatisation. The sale or transfer of a state enterprise to private owners. (*Chapter VIII*)

Profession. Work that needs long special training and follows rules set by a professional body. (*Chapter I*)

Profit. The money left from sales after all costs are paid. (*Chapter I*)

Profit-sharing ratio. The proportion in which partners divide the profit and the loss. (*Chapter VI*)

Prospectus. A public invitation to buy a company's shares, giving facts about the company. (*Chapter VII*)

Public corporation. A state enterprise set up by a special law, with its own board and money. (*Chapter VIII*)

Public limited company. A company that may ask the public to buy its shares and has at least seven members. (*Chapter VII*)

Regulation. A rule made by government that businesses must follow. (*Chapter III*)

Rent. Payment for the use of land or buildings. (*Chapter II*)

Reputation. What people in general believe about a firm's honesty and quality. (*Chapter IV*)

Retailer. A trader who sells small amounts of goods to final customers. (*Chapter I*)

Risk. The chance that things turn out worse than planned. (*Chapter I*)

Sales. The money a business receives from selling goods or services. (*Chapter I*)

Secondary industry. Industry that turns materials into other goods or builds things. (*Chapter I*)

Services. Work done for someone else that cannot be held, such as a haircut. (*Chapter I*)

Share. One of the equal parts into which a company's ownership is divided. Word in use: in daily life, a part given to each person; in business, a unit of ownership. (Some books say *stock*.) (*Chapter VII*)

Share market. The market in which shares are issued and then bought and sold. (*Chapter XII*)

Sleeping partner. A partner who puts in capital but does not help to run the firm. Word in use: *sleeping* here means not taking part; the partner is still fully liable. (*Chapter VI*)

Social force. The habits, tastes, beliefs and numbers of the people around a firm. (*Chapter III*)

Social responsibility. The duty of a business to act for the good of the people and society it affects, not only its owners. (*Chapter IV*)

Sole proprietorship. A business that one person owns and controls. (*Chapter V*)

Stakeholder. A person or group affected by a business, or able to affect it. (*Chapter III*)

State enterprise. A business owned by the government and run for the public's benefit. (*Chapter VIII*)

Stock exchange. An organised market, run under rules, where listed shares are bought and sold through licensed brokers. (*Chapter XII*)

Substitute. A different good that a customer can buy in place of another. (*Chapter III*)

Supplier. A person or business that sells goods or services to another business. (*Chapter III*)

Surplus. The money a cooperative has left after paying all its costs. (*Chapter VIII*)

Sustainability. Using resources in a way that leaves enough for people in the future. (*Chapter IV*)

Tariff. A tax placed on imported goods. (*Chapter IX*)

Tax. Money that people and businesses must pay to the government by law. (*Chapter III*)

Technological force. A change in technology, outside the firm, that reaches the firm. (*Chapter III*)

Technology. The tools, machines and methods used to make or sell goods and services. (*Chapter III*)

Technology transfer. The passing of machines, methods and skills from one firm or country to another. (*Chapter XI*)

Threat. A change outside the firm that can harm it. (*Chapter III*)

Trade. Buying goods and selling them again to earn a profit

Transport. Moving goods and people from one place to another.

(Chapter I)

Trust. A combination in which the owners of several firms hand their shares to trustees, who then control the firms together.

(Chapter XIII)

Uncontrollable factor. A force the firm cannot change by its own decision. *(Chapter III)*

Unlimited liability. A duty to pay all the firm's debts, using the owner's own property if the firm's things are not enough. *(Chapter V)*

VAT. Value added tax: a tax added to the price of goods and services, collected by the seller for the government. *(Chapter III)*

Vertical combination. A joining of firms that work at different stages of making and selling a product. *(Chapter XIII)*

Wages. Payment for labour. *(Chapter II)*

Want. Something a person would like to have but can live without. *(Chapter I)*

Warehousing. Storing goods safely until they are wanted. *(Chapter I)*

Wholesaler. A trader who buys large amounts from makers and sells smaller amounts to shops. *(Chapter I)*

WTO. World Trade Organization, the world body that sets rules for trade between its member countries. *(Chapter IX)*



A first course in how business works, written for the reader who is meeting the subject for the first time. Beginning with two women baking bread in a Dhaka lane, it moves step by step from the meaning of business to the forms of ownership, the markets and institutions that support trade, trade between nations, and the firms that join together to grow. Key terms are explained where they first appear, notes run beside the text, and each chapter closes with worked cases and questions to think through.

CUTUSH KATUSH PUF I